The Ramco Cements Ltd. (RAMCOCEM)

Conference call transcripts, oldest-first. 7 call(s). Generated 2026-08-02.

Call: Aug 2022

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THE RAMCO CEMENTS LIMITED

19 August 2022

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051.
Scrip Code: RAMCOCEM
BSE Limited,
Floor 25, “P.J.Towers”,
Dalal Street,
Mumbai – 400 001.
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Emkay Confluence

Ref: Disclosure under Clause 15(b) of Para A , Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In continuation of our letter dated 12th August 2022, providing you the weblink of the Audio Recording of Conference Call of Emkay Confluence held on 12.08.2022, we attach the transcript of the conference call and the same is also made available at –

http://www.ramcocements.net/ramcocements/EarningsConferenceCallTranscript/ Emkay -Conf -Trans-12082022.pdf

Thanking you,

Yours faithfully,
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM
SECRETARY

WEBVTT

1
00:04:44.940 --> 00:04:46.200
Harshal Mehta: Hello yeah.

2
00:04:51.900 --> 00:04:53.610
Mehak Rohra: Hello Hello hello, can you hear me.

3
00:04:54.060 --> 00:04:54.780
Harshal Mehta: I can hear you.

4
00:04:56.040 --> 00:04:56.370
Mehak Rohra: Hello.

5
00:04:58.560 --> 00:04:59.280

Harshal Mehta: hello, Mr able.

6
00:05:02.310 --> 00:05:02.730
Mehak Rohra: To have a.

7
00:05:03.900 --> 00:05:04.170
Harshal Mehta: Meeting.

8
00:05:04.470 --> 00:05:06.570
Mehak Rohra: or any channel could get slower.

9
00:05:07.680 --> 00:05:07.980
Harshal Mehta: slower.

10
00:05:13.260 --> 00:05:13.560
Mehak Rohra: again.

11
00:09:56.310 --> 00:09:56.700
emkay123: Hello.

12
00:09:59.670 --> 00:10:00.030
Harshal Mehta: Hello.

13
00:10:03.510 --> 00:10:03.750
Harshal Mehta: Hello.

14
00:10:10.680 --> 00:10:10.950
Harshal Mehta: Hello.

15
00:10:12.240 --> 00:10:12.660
emkay123: yeah.

16
00:10:17.100 --> 00:10:17.340
Harshal Mehta: Hello.

17
00:10:18.390 --> 00:10:18.990
emkay123: Hello.

18
00:10:24.300 --> 00:10:24.960
emkay123: Hello.

19
00:10:55.560 --> 00:10:55.890
emkay123: Hello.

20
00:10:57.390 --> 00:10:58.020
emkay123: Everybody.

21
00:10:59.490 --> 00:11:00.090
emkay123: Hello Hello.

22
00:11:05.010 --> 00:11:06.390
emkay123: hello to our.

23
00:11:14.250 --> 00:11:14.490
emkay123: But.

24
00:11:21.840 --> 00:11:23.160
emkay123: Not the ball for him.

25
00:11:31.230 --> 00:11:32.130
emkay123: Do.

26
00:11:48.810 --> 00:11:49.680
emkay123: No problem.

27
00:12:25. 170 --> 00:12:25.500
Harshal Mehta: Okay.

28
00:15:17.760 --> 00:15:18.000
Hello.

29
00:15:57.540 --> 00:15:57.870
Priyanka Bhagnari: Recording.

30
00:15:59.760 --> 00:16:00.180
emkay123: i'm gonna be.

31
00:16:03.780 --> 00:16:05.040
emkay123: Okay, to.

32
00:16:07.590 --> 00:16:07.830
emkay123: Have.

33
00:16:10.740 --> 00:16:12.780
emkay123: High quality management now here the purchase.

34
00:16:13.680 --> 00:16:13.980
Okay.

35
00:16:15.510 --> 00:16:15.810
emkay123: yeah.

36
00:17:27.930 --> 00:17:28.290
Dharmesh Shah: Hello.

37
00:17:30.810 --> 00:17:30.960
Dharmesh Shah: Good.

38
00:17:32.310 --> 00:17:32.730

Vaithiyanathan: morning.

39
00:17:34.530 --> 00:17:37.950
Dharmesh Shah: So we'll wait for a minute people to join in, and then we will start.

40
00:17:38.670 --> 00:17:39.000
yeah.

41
00:19:21.900 --> 00:19:25.020
Dharmesh Shah: Good morning, everyone the hell away.

42
00:19:26.070 --> 00:19:27.840
Dharmesh Shah: From consuming.

43
00:19:29.160 --> 00:19:37.470
Dharmesh Shah: process, I will hand over to the management for their opening remarks, and then we will have a question and answer session over to you, sir.

44
00:19:37.830 --> 00:19:43.680
Vaithiyanathan: Unless we can directly go to the question answer session because we've already covered the earnings call we have covered that.

45
00:19:44.910 --> 00:19:47.370
Vaithiyanathan: We can, to save time, we can quickly go to the.

46
00:19:49.32 0 --> 00:19:58.860
Dharmesh Shah: Show Sir, I request participant, if you have any questions, please raise your hand, or you can unmute your line and ask the questions.

47
00:20:12.390 --> 00:20:15.210
Shivani Furia - SBI Life: Good morning services shirv ani from SDN life.

48
00:20:16.680 --> 00:20:24.060
Shivani Furia - SBI Life: So we've done and fantastic for volume growth this quarter, it was almost up more than 50% up.

49
00:20:24.750 --> 00:20:36.000
Shivani Furia - SBI Life: On your on your bases and even sequentially if we seen all companies have a declining volume, as some better the much water, but our volumes we

re actually up.

50
00:20:36.630 --> 00:20:52.470
Shivani Furia - SBI Life: sequentially also so I understand that you know the markets east and south markets that demand was very good, but I wanted to understand or you know what are the initiatives that the company speaking, or because of which you know we've got such fantastic volumes.

51
00:20:53.370 --> 00:21:00.810
Vaithiyanathan: See one big initiative they've been talking to for a long time, is the right products for right applications, so this we have been.

52
00:21:02.070 --> 00:21:13.830

Vaithiyanathan: we've been talking about this for quite some time, so this is a lot of evidence now and the volume growth related to first quarter is to some extent.

53
00:21:15.060 --> 00:21:34.680
Vaithiyanathan: Due to the base effect of the previous year squatter because previous a first quarter was severely impacted by in the south, mainly due to discovery issues, so the base was no so that's why the the related growth is much higher, as far as our company is concerned.

54
00:21:35.880 --> 00:21:43.530
Vaithiyanathan: Then boring this comedy show issue the right products f or light application started yesterday, so a lot of students.

55
00:21:45.600 --> 00:21:50.010
Shivani Furia - SBI Life: federal when you said right products for right application to do.

56
00:21:51.150 --> 00:22:04.050
Shivani Furia - SBI Life: Some further light, I mean what is the company actually knowing how is the company pushing those new products are specialized product in the retail market if you can just throw some light on next.

57
00:22:04.890 --> 00:22:08.430
Vaithiyanathan: So you actually w e have a water level all products we have.

58
00:22:09.780 --> 00:22:14.700
Vaithiyanathan: This is not only for retail, we have also for build a segment also there is non trade also.

59
00:22:15.150 --> 00:22:17.760
Vaithiyanathan: To these products we've done over a period of time.

60
00:22:19.320 --> 00:22:24.120
Vaithiyanathan: For the last two to three years so via all the products are now available.

61
00:22:25.500 --> 00:22:37.530
Vaithiyanathan: So we have a very strong robust r&d Center and the help of r&d and we have dealt with these variants these these products are actually to suit certain customers.

62
00:22:38.280 --> 00:22:45.510
Vaithiyanathan: needs specifically so also be understood the customers, the customers.

63
00:22:46.020 --> 00:22:57.180
Vaithiyanathan: needs musically and according to according to their mates we will customize the products, so far we have customized start on all products which are broadly you know cater to the different.

64
00:22:57.870 --> 00:23:09.030
Vaithiyanathan: types of users in the construction field so whether it's a trade or Monterey be able to products for each category, so that really helps us.

65
00:23:10.080 --> 00:23:10.830
Shivani Furia - SBI Life: So far, is it.

66

00:23:12.810 --> 00:23:15.780
Shivani Furia - SBI Life: Okay, to say that you have gain market share also.

67
00:23:17.280 --> 00:23:20.280
Vaithiyanathan: yeah obviously we've gained some other channels in this process.

68
00:23:21.090 --> 00:23:25.500
Shivani Furia - SBI Life: OK OK, so the beast specialist products do they.

69
00:23:26.610 --> 00:23:30.090
Shivani Furia - SBI Life: own initial premium for you in terms of fabric.

70
00:23:30.870 --> 00:23:32.550
Vaithiyanathan: yeah obviously but.

71
00:23:33.720 --> 00:23:44.070
Vaithiyanathan: on the same side know be also include some additional cost in terms of packing and the cost of production also is a slightly higher or the normal chick products.

72
00:23:44.580 --> 00:23:53.940
Vaithiyanathan: So i'd love fo r gst you need to show the world all these things, the net effect will be 510 rupees

per bag, the margin reseller margin will be available.

73
00:23:55.290 --> 00:23:59.490
Shivani Furia - SBI Life: So what is the final chance of these specialized products in our current volume.

74
00:24:00.420 --> 00:24:10.860
Vaithiyanathan: So you currently our showers are over 42 to 44% so we hope to receive two to 40% of the next two three to five y ears.

75
00:24:15.120 --> 00:24:15.990
Shivani Furia - SBI Life: Is a bulldog.

76
00:24:16.530 --> 00:24:18.120
Vaithiyanathan: And that is what our target is.

77
00:24:18.630 --> 00:24:19.290
Shivani Furia - SBI Life: OK OK.

78
00:24:21.120 --> 00:24: 21.480
Shivani Furia - SBI Life: Okay.

79
00:24:27.000 --> 00:24:28.080
Aditya Chheda_InCred Asset Management: hi again go ahead.

80
00:24:29.610 --> 00:24:30.030
Priyanka Bhagnari: You.

81
00:24:31.290 --> 00:24:41.400

Aditya Chheda_InCred Asset Management: said, would you say branding as a pricing power strategy is exclusive to the top four or five players or it is applicable for you or others.

82
00:24:42.570 --> 00:24:44.490
Vaithiyanathan: See branding is also an important.

83
00:24:4 4.490 --> 00:24:51.120
Vaithiyanathan: factor for pricing, but what is the brand building exercise is finally longer so long term.

84
00:24:52.650 --> 00:25:03.720
Vaithiyanathan: Actually, so definitely one one brand consciously know, improve its image in the marketplace so definitely can reach additional premium.

85
00:25:04.740 --> 00:25:05.610
Vaithiyanathan: for a period of time.

86
00:25:08.220 --> 00:25:14.670
Vaithiyanathan: So you not only the promotional activities, but it should be, it will be supported by the quality and.

87
00:25:16.110 --> 00:25:20.280
Vaithiyanathan: It should be acceptable by the customers my class is.

88
00:25:25.860 --> 00:25:29.040
Aditya Chheda_InCred Asset Management: Short and can you command in terms of.

89
00:25:30.150 --> 00:25:40.320
Aditya Chheda_InCred Asset Management: inventory, how is the world sourcing strategy for your company apologies if there is any reputation, because I haven't acted before, but I just want to understand overall.

90
00:25:41.61 0 --> 00:25:47.310
Aditya Chheda_InCred Asset Management: How do you go about procuring the inventory that you use, and if you can share them assessment.

91
00:25:48.510 --> 00:25:51.630
Vaithiyanathan: Of what inventory you say mean to save fuel in metairie.

92
00:25:51.660 --> 00:25:52.410
Aditya Chheda_InCred Asset Management: Yes, yes.

93
00:25:53.070 --> 00:26:13.170
Vaithiyanathan: Okay, there is no reputation for sourcing in one, three, so it all driven by the market, basically, but of course know surely lobster declare wilton get a better price from the suppliers so that's it, there is no big.

94
00:26:15.630 --> 00:26:21.300
Vaithiyanathan: Differences there as well as for the sourcing is concerned, we fight to fight to $10 even though.

95
00:26:22.440 --> 00:26:31.080

Vaithiyanathan: We difference, and it also depends on what the quantum of volume you buy from one particular, one that makes the difference motivations that's all.

96
00:26:32.760 --> 00:26:36.660
Aditya Chheda_InCred Asset M anagement: So predominantly in South, how does the sourcing happen for you.

97
00:26:38.100 --> 00:26:49.740
Vaithiyanathan: will be up also important for fuel sort of school is concerned 100% to be reporting in terms of the coke we use ministry, and we a lso source.

98
00:26:52.110 --> 00:26:52.950
Vaithiyanathan: Through importance.

99
00:27:01.680 --> 00:27:02.100
Aditya Chheda_InCred Asset Management: and

100
00:27:05.910 --> 00:27:10.980
Aditya Chheda_InCred Asset Management: In terms of incremental capacity addition, can you throw some lights as to.

101
00:27:12.990 --> 0

0:27:14.130
Aditya Chheda_InCred Asset Management: What is the.

102
00:27:15.270 --> 00:27:26.880
Aditya Chheda_InCred Asset Management: Do we have capacity in brownfield or autonomy greenfield and if you can use some numbers to just show us our own roadmap, as to how the company's going to progress from where it is today.

103
00:27:28.350 --> 00:27:29.310
See actually.

104
00:27:31.020 --> 00:27:43.950
Vaithiyanathan: capacity for currently capacity is increased up to 40 million transposed 40 million times so last year, we talked around 11 million times only types of seats will you Oh, whereas we add.

105
00:27:45.240 --> 00:27:46.500
Vaithiyanathan: capacity of about 13.

106
00:27:46.530 --> 00:27:51.690
Vaithiyanathan: or 14 million times capacity in terms of capacity now after commissioning.

107
00:27:52.920 --> 00:27:58.320
Vaithiyanathan: third line of change, th e problem we are capable of producing around a particular tax.

108
00:27:59.400 --> 00:28:04.890
Vaithiyanathan: plan for different types of products so, particularly the.

109
00:28:05.190 --> 00:28:06.360

Vaithiyanathan: capacity has jumped.

110
00:28:06.480 --> 00:28:11.490
Vaithiyanathan: From 30 to 40 million bucks to 40 million times this year, so this is about.

111
00:28:12.660 --> 00:28:30.000
Vaithiyanathan: His capacity edition, so we spent around the photos are trying to cross the last t hree four years for to build this capacity, so this is what we're building the capacity for us, so what X what what what exactly you wanted this connection for additional information.

112
00:28:32.820 --> 00:28:35.700
Aditya Chheda_InCred Asset Management : focus from here would be to ramp up from.

113
00:28:36.270 --> 00:28:37.650
Aditya Chheda_InCred Asset Management: 11 million to 14.

114
00:28:37.710 --> 00:28:47.400
Vaithiyanathan: yeah we will be focusing on the purple volume from 7 million to 40 billion times and, as I will do is, it will also be.

115
00:28:48.210 --> 00:29:05.460
Vaithiyanathan: expanding our capacity father, because we are one some option in the lecture doctrine in Canada, so we will be putting up a plant or they in what three fo ur years to 45 years down the line, so I had to be me also come up with some some grinding plant is suitable.

116
00:29:06.810 --> 00:29:10.920
Vaithiyanathan: To a to use the law So these are all the plans.

117
00:29:14.460 --> 00:29:17.010
Vaithiyanathan: Are the three 4 million that's in the next two.

118
00:29:18.090 --> 00:29:19.290
Vaithiyanathan: extra five years down the line.

119
00:29:21.090 --> 00:29:26.730
Aditya Chheda_InCred Asset Management: For that immediate short term that is consolidation of the existing capacity that.

120
00:29:27.900 --> 00:29:32.520
Vaithiyanathan: We have a huge capacity available for the playstation will be will be focusing on that.

121
00:29:34.890 --> 00:29:36.540
Aditya Chheda_InCred Asset Managem ent: So thanks are you coming back.

122
00:29:49.530 --> 00:29:55.230
Priyanka Bhagnari: participants are going to raise their hand in order to ask a question, or they can either question in the chat box.

123
00:30:18.990 --> 00:30:27.750
Dharmesh Shah: I would like to take two question so now SP all the companies are talking about the capacity expansion and the volume growth.

124
00:30:28.950 --> 00:30:42.540
Dharmesh Shah: Second, you said the other company strategy in terms of the volume growth, and that is also without diluting industry pricing dynamics are how we would like to compete with peers, in terms of the volume growth.

125
00:30:44.160 --> 00:30:47.250
Vaithiyanathan: So you know our capacities know increase to continually enhance.

126
00:30:47.760 --> 00:30:49.380
Vaithiyanathan: and other three to four months.

127
00:30:49.

710 --> 00:30:54.840
Vaithiyanathan: down the line it's possible once we put up a mother planters integrated plan.

128
00:30:56.250 --> 00:31:01.650
Vaithiyanathan: With his new life, thanks to a long term lease so another four to five years another.

129
00:31:02.670 --> 00:31:11.190
Vaithiyanathan: Four 5 million tons really is poss ible, so we comfortably market this in existing markets se and some parts of.

130
00:31:12.690 --> 00:31:18.780
Vaithiyanathan: southern part of our service is a desert desert all the strategy for disagree to cyrus.

131
00:31:21.930 --> 00:31:32.250
Dharmesh Shah: Here, because one of the larger player like siri cement is also talking about the aggressive expansion in the south market and in the Russian media interview they they commented that the.

132
00:31:32.580 --> 00:31:42.480
Dharmesh Shah: The y are also very much positive, especially in the south and central market and are we see this as a fear for the existing players, because the history is not to be one of the aggressive player.

133
00:31:43.980 --> 00:31:44.880
Dharmesh Shah: In the indust ry.

134
00:31:46.920 --> 00:31:51.600
Vaithiyanathan: See, let us, let us talk about or performance basically one performance.

135
00:31:53.550 --> 00:31:55.470
Vaithiyanathan: See let's not talk about the mothers.

136
00:31:57.060 --> 00:31:57.840
Dhar mesh Shah: shush shush.

137
00:31:59.490 --> 00:32:12.060
Dharmesh Shah: Secondly, what at the irs we are targeting in terms of the capacity in terms of the capex, because if we see the last five to seven years, whatever capex we have done.

138
00:32:14.250 --> 00:32:22.980
Dharmesh Shah: Our return ratios are very poor in terms of the that capex if i'm not mistaken, it is in the range of 10 to 12% only.

139
00:32:23.610 --> 00:32:36.540
Dharmesh Shah: So I understand that the capital employed h as happened in the eastern market where the profitability will be relatively lower than the south market, but what are the internal rate of return, we are targeting on of a capex.

140
00:32:37.350 --> 00:32:39.030
Dharmesh Shah: See the issue.

141
00:32: 39.180 --> 00:32:41.040
Vaithiyanathan: That interest rate of return for a.

142
00:32:41.310 --> 00:32:49.560
Vaithiyanathan: Specific market was we cannot expand, not only as no company can expand it only gets averaged out and this irr.

143
00:32:50.070 --> 00:32:56.760
Vaithiyanathan: thing cannot work in sport industry, what we can look at these reasonable larose for in the longer period of time.

144
00:32:57.210 --> 00:33:02.610
Vaithiyanathan: So that's, so we should do because, is it a capital inte nsive and long gestation period of construction.

145
00:33:03.000 --> 00:33:10.980
Vaithiyanathan: and very volatile price conditions and very volatile commodity prices So these are all the inventor innate with these industries, has been.

146
00:33:11.610 --> 00:33:28.860
Vaithiyanathan: Facing for quite some time, so what being a regional regional is the commodities, so it becomes very difficult to have one standard formula we cannot measure the performance through one standard I a disability difficult.

147
00:33:31.050 --> 00:33:41.520
Dharmesh Shah: carrot cake, but say, even if we look at from a long gestation period so So is there any specific number which we are, we are targeting that the this will be the bare minimum, we can, what we are .

148
00:33:42.330 --> 00:33:44.160
Vaithiyanathan: Because no, no such a.

149
00:33:44.400 --> 00:33:54.330
Vaithiyanathan: See, even if you make assumptions, to work out some I are all hypothetical sometimes the numbers are achievable sometimes many ti mes, the numbers are not achievable.

150
00:33:55.770 --> 00:33:56.070
Dharmesh Shah: Carry okay.

151
00:33:59.130 --> 00:34:16.440

Dha

rmesh Shah: Like in the queue and I will share in the eastern Asian market is significantly increase, and it is in the range of around 30% so going forward are we expecting it will again normalized to 18 to 20% or or at least you caught it likely to be in the higher range only.

152
00:34:17.100 --> 00:34:35.940
Vaithiyanathan: See, we cannot take a comment, right now, bec ause it all depends on the price price situation, the prices continue to be good, healthy, then we will will try to know take take as much as possible the prices are much better it's out.

153
00:34:37.080 --> 00:34:41.700
Vaithiyanathan: we'll focus on South more so it it all depends on the prices.

154
00:34:43.890 --> 00:34:52.800
Vaithiyanathan: And the what the margin that we are getting from each each market, so our objective is to maximize the budget so we'll push the volume, where the ma rkets are more.

155
00:34:55.620 --> 00:34:56.340
Dharmesh Shah: kind of character.

156
00:34:57.720 --> 00:34:58.800
Dharmesh Shah: Thank Thank you, Sir.

157
00:35:10.410 --> 00:35:12.600
Shivani Furia - SBI Life: yeah search of American.

158
00:35:14.190 --> 00:35:15.060
Shivani Furia - SBI Life: So Sarah.

159
00:35:18.390 --> 00:35:23.310
Shivani Furia - SBI Life: Could you let us know what is the kind of you know, price so some enterprises so.

160
00:35:24.450 --> 00:35:32.490
Shivani Furia - SBI Life: Currently, that are going on in our market we've heard that there has been some old backs in all the markets, so if you can give us some color on that.

161
00:35:34.440 --> 00:35:37.920
Vaithiyanathan: See actually the prices, if you look at the prices in South.

162
00:35:39.030 --> 00:35:43.860
Vaithiyanathan: of crisis has been very good in the month of April.

163
00:35:44.460 --> 00:35:47.130
Vaithiyanathan: And there was some roll back in the month of May.

164
00:35:47.640 --> 00:35:56. 910
Vaithiyanathan: And there was a father who back in the month of June and the some wrap up of pricing July, so this is what what is our payment.

165
00:35:57.960 --> 00:35:59.580
Shivani Furia - SBI Life: provider from increase in July.

166
00:36:00.600 --> 00:36:03.480
Vaithiyanathan: There is a there is increasing delay when compared to June.

167
00:36:04.140 --> 00:36:04.560
Okay.

168
00:36:06.420 --> 00:36:07.080
Shivani Furia - SBI Life: i'm kind of.

169
00:36:08.700 --> 00:36:09.900
Vaithiyanathan: History, if you look at.

170
00:36:11.640 --> 00:36:14.160
Vaithiyanathan: The prices are really good in April.

171
00:36:15.330 --> 00:36:17.130
Vaithiyanathan: me the most severe correction.

172
00:36:18.240 --> 00:36:21.960
Vaithiyanathan: And the dude was also muted and delay, there was an interesting.

173
00:36:23.970 --> 00:36:25.920
Shivani Furia - SBI Life: We have an increase in July.

174
00:36:26.040 --> 00:36:29.040
Shivani Furia - SBI Life: You know motifs fence out market was this document.

175
00:36:29.340 --> 00:36:29.640
yeah.

176
00:36:31.260 --> 00:36:34.440
Shivani Furia - SBI Life: Okay Okay, I know I said coming to just.

177
00:36:35.520 --> 00:36:36.030
Shivani Furia - SBI Life: pause.

178
00:36:37.050 --> 00:36:40.230
Shivani Furia - SBI Life: So, what was the consumption costs last quarter.

179
00:36:41.580 --> 00:36:45.600
Vaithiyanathan: We see all those things will give it to the investor presentation.

180
00:36:46.230 --> 00:36:49.740
Vaithiyanathan: Anyway, I share it to you, so the average.

181
00:36:50.970 --> 00:36:52.830
Vaithiyanathan: Cost was around 120 dollars.

182

00:36:54.630 --> 00:36:55.080
Shivani Furia - SBI Life: Okay.

183
00:36:56.730 --> 00:37:03.360
Shivani Furia - SBI Life: So Sarah, you said that for you cost will start start redu

cing from September
onwards right.

184
00:37:04.650 --> 00:37:07.650
Vaithiyanathan: Correct because the prices have picked in the month of July.

185
00:37:0 8.400 --> 00:37:11.970
Vaithiyanathan: So low inventory pay effectively be.

186
00:37:12.300 --> 00:37:18.360
Vaithiyanathan: Starting in August so from September onwards, we can see the reduction in fuel prices.

187
00:37:19.170 --> 00:37:25.230
Shivani Furia - SBI Life: So honorific going services or maybe four 5% increase in no fuel costs, we can expect.

188
00:37:26.580 --> 00:37:29.340
Vaithiyanathan: yeah 5% I can take 5% increase.

189
00:37:39.330 --> 00:37:41.310
Shivani Furia - SBI Life: some light on green power and.

190
00:37:43.350 --> 00:37:48.540
Shivani Furia - SBI Life: You know why is that so the company has or is building.

191
00:37:50.190 --> 00:38:04.560
Vaithiyanathan: See tie in data from full operations there, in as far as who is is concerned, which is about 27 mega what which is running now and in Carmel disarm with a paper, what else who else is.

192
00:38:06.540 --> 00:38:22.050
Vaithiyanathan: going to be ready anytime now so that's all we have a phosphorus the power, who is concerned, tomato plants we we don't have much of a little jealous, but we have we have different forms of who is.

193
00:38:23.310 --> 00:38:40.200
Vaithiyanathan: In a terminal plants, so this is about who then we are, we are having a board certified megawatt of power, and it was originally connected to the grid, which we are slowly removing it, and then we are trying to use it in.

194
00:38:40.500 --> 00:38:44.910
Vaithiyanathan: captivity, so that way, the three power consumption.

195
00:38:46.380 --> 00:38:48.420
Vaithiyanathan: plan production we go.

196
00:38:50.040 --> 00:38:55.110

Shivani Furia - SBI Life: So far in totality what is the percentage of green power or aerodynamics.

197
00:38:56.100 --> 00:39:00.990
Vaithiyanathan: See, we are in the if you look at the this year as a whole.

198
00:39:02.010 --> 00:39:07.530
Vaithiyanathan: We we may we may even touch around 40 40%.

199
00:39:08.940 --> 00:39:10.470
Vaithiyanathan: from three things or says.

200
00:39:11.730 --> 00:39:13.590
Shivani Furia - SBI Life: Okay that's good.

201
00:39:15.600 --> 00:39:15.720
Shivani Furia - SBI Life: To.

202
00:39:18.990 --> 00:39:19.170
Shaurin Shah - ENAM: know.

203
00:39:20.940 --> 00:39:22.350
Shaurin Shah - ENAM: Sir oh Hello.

204
00:39:24.930 --> 00:39:27.060
Shaurin Shah - ENAM: yeah so you mentioned about.

205
00:39:28.080 --> 00:39:40.110
Shaurin Shah - ENAM: expanding our capacities to put an integrated plan in karnataka So could you give a rou gh ballpark number, what kind of greenfield capex so we would be looking for in dollar per 10 basis.

206
00:39:41.010 --> 00:40:03.330
Vaithiyanathan: Points is really to give the number because land acquisition is here to start so events once we come to all the price of 10 will be able to stay prices are very peak now, so we need we don't know what will be the prices next two to three years so we'll throw will not be able to.

207
00:40:04.470 --> 00:40:09.990
Vaithiyanathan: throw some light on that, as of now probably we to be around the.

208
00:40:11.910 --> 00:40:16.710
Vaithiyanathan: Most hundred $210 that's what my my rough estimate is.

209
00:40:17.250 --> 00:40:19.920
Vaithiyanathan: OK interesting land everything.

210
00:40:20.820 --> 00:40:26 .520
Shaurin Shah - ENAM: Okay Okay, and so are we looking for any other limestone mind sending any other regions.

211
00:40:27.270 --> 00:40:36.810
Vaithiyanathan: That we are, we have been trying so one we we were able to take so other agents

are also we are participating, let us see.

212
00:40:37.8

90 --> 00:40:41.910
Shaurin Shah - ENAM: Okay, so currently, are there any bids going on in the region.

213
00:40:42.660 --> 00:40:46.770
Vaithiyanathan: No other regions, as of now, there is no.

214
00:40:48.150 --> 00:40:54.810
Vaithiyanathan: Upcoming auction one one more upcoming opportunities coming in the Canada region again.

215
00:40:55.230 --> 00:40:56.340
Vaithiyanathan: Okay, oh.

216
00:40:58.680 --> 00:41:05.190
Vaithiyanathan: The auctions are qualified and subsequently was postponed, so this is the current status of option.

217
00:41:06.690 --> 00:41:13.710
Shaurin Shah - ENAM: Okay answer on or not inorganic capex the are we looking for any.

218
00:41:14.820 --> 00:41:16.710
Shaurin Shah - ENAM: capacity in different regions.

219
00:41:17.370 --> 00:41:22.200
Vaithiyanathan: yeah we are open to look at this not only way of.

220
00:41:23.370 --> 00:41:36.510
Vaithiyanathan: acquisition, but unfortunately the prices are not that common today to these units potential so that is the issue that is that we are experiencing so far.

221
00:41:37.560 --> 00:41:49.860
Shaurin Shah - ENAM: Okay Okay, and so just one technical part of in on the pet coke sid e, do we use 5% so for coke or we can also use a person surfer cook.

222
00:41:50.370 --> 00:41:52.680
Vaithiyanathan: We have been using up to a point 5%.

223
00:41:53.550 --> 00:41:54.270
Shaurin Shah - ENAM: OK OK.

224
00:41:54.420 --> 00:41:58.290
Vaithiyanathan: To lakewood 4.5 to 8.5 we have been using.

225
00:41:59.850 --> 00:42:09.510
Vaithiyanathan: We can we are, we are getting the materials in good the categories so depending on availability and the prices, we can use it, but our process can handle up to a point 5%.

226
00:42:10.020 --> 00:42:14.310

Shaurin Shah - ENAM: Okay, so this eight 8.5% so for us or procure indigenous domestically.

227
00:42:15.480 --> 00:42:17.580
Vaithiyanathan: As well as Saudi Saudi pitfalls are.

228
00:42:17.58 0 --> 00:42:24.420
Shaurin Shah - ENAM: The petco and and how much discount is this 8% petco versus 5% petco.

229
00:42:25.920 --> 00:42:26.400
Shaurin Shah - ENAM: generally.

230
00:42:27.180 --> 00:42:42.870
Vaithiyanathan: See generally to be $10 10 t o $15 more 8.5 cents a 6.4 point 5% but finally now the prices on the riverside 4.5% silver prices.

231
00:42:44.550 --> 00:42:46.350
Vaithiyanathan: Attractive by $10.

232
00:42:46.440 --> 00:42:46.680
Vaithiyanathan: For.

233
00:42:47.190 --> 00:42:49.800
Vaithiyanathan: Two months, which is, which is very strange.

234
00:42:50.220 --> 00:42:59.280
Shaurin Shah - ENAM: yeah okay Okay, so this really this about eight 8.5% is broker from Saudi and the pending is from us and.

235
00:42:59.490 --> 00:43:00.420
Shaurin Shah - ENAM: Yet geographies.

236
00:43:00.510 --> 00:43:02.130
Vaithiyanathan: yeah okay okay.

237
00:43:02.190 --> 00:43:03.360
Shaurin Shah - ENAM: Great Thank you, thank you.

238
00:43:15.870 --> 00:43:16.410
Vaithiyanathan: S orry.

239
00:43:17.100 --> 00:43:18.330
Priyanka Bhagnari: Meanwhile, I like to take a people.

240
00:43:19.350 --> 00:43:20.970
Vaithiyanathan: Suddenly, your voice is not clear.

241
00:43:22.440 --> 00:43:23.400
Priyanka Bhagnari: Hello America.

242
00:43:24.000 --> 00:43:24.720

Vaithiyanathan: Yes, please.

243
00:43:25.800 --> 00:43:32.760
Priyanka Bhagnari: So my first question was what else is available with the company to include a relation, as well as the question from your.

244
00:43:34.200 --> 00:43:35.370
Vaithiyanathan: Sorry come back again.

245
00:43:36.030 --> 00:43:41.610
Priyanka Bhagnari: I would love to work on really was available with us to improve our religion, as well as the course material from he

re on.

246
00:43:42.300 --> 00: 43:44.250
Vaithiyanathan: Sustainable voice is not audible Sir.

247
00:43:45.720 --> 00:43:46.320
Priyanka Bhagnari: And just a second.

248
00:43:59.220 --> 00:43:59.700
Harshal Mehta: hi Mr.

249
00:44:00.570 --> 00:44:03.390
Vaithiyanathan: yeah please for this lake como una Cosa.

250
00:44:06.510 --> 00:44:10.590
Harshal Mehta: I said I was asking what are the believers available with us to improve relation from your own.

251
00:44:11.970 --> 00:44:22.140
Vaithiyanathan: se e it is driven by market prices are driven by the market, so a lot of sleepless these only demand and supply and the prices.

252
00:44:23.850 --> 00:44:31.710
Vaithiyanathan: As well as the prices that by religion is concerned, of course, for cost managem ent and we can, there are a lot of scope.

253
00:44:32.790 --> 00:44:37.980
Vaithiyanathan: To reduce our costs and we can reduce costs through the.

254
00:44:39.360 --> 00:44:53.970
Vaithiyanathan: combination of fuels and the right time by the purchase of the fuel right time, the prices are low and building up a more creative and the prices are low, this kind of strategy if you follow, then you can manage posture some extent.

255
00:44:57.720 --> 00:45:03.780
Harshal Mehta: Thank you, Sir, so my second question was what is the pricing differential you currently between the south and east market.

256
00:45:06.300 --> 00:45:09.210
Vaithiyanathan: is not compatible, you have actually south and east.

257
00:45:10.530 --> 00:45:14.370
Vaithiyanathan: me to return to the absolutely distance per hour per bag basis.

258
00:45:17.160 --> 00:45:18.510
Vaithiyanathan: For the month of July.

259
00:45:22.470 --> 00:45:25.050
Vaithiyanathan: We have about 4050 rupees difference will be the.

260
00:45:29.640 --> 00:45:31.380
Harshal Mehta: focus and the profitability so.

261
00:45:32.670 --> 00:45:35.370
Vaithiyanathan: Profitability will not be able to share it is a secret.

262
00:45:36.960 --> 00:45:41.700
Vaithiyanathan: You didn't waste profitability will not be able to tell this is classified information.

263
00:45:44.040 --> 00:45:50.070
Harshal Mehta: No, Sir, Sir, Sir, my last question was on the limestone so, can you update us on the line of duty, with the company.

264
00:45 :51.030 --> 00:45:56.310
Vaithiyanathan: We are huge limestone deserves and options as to because will be.

265
00:45:57.630 --> 00:46:06.600
Vaithiyanathan: be coming in the state of Florida so on the position we have a sufficient limestone for another 30 years.

266
00:46:07.200 --> 00:46:21.660
Vaithiyanathan: So we also have a sterling, we also have a limestone bearing lines for each options we can vector so as far as this lunch home security is concerned, we are, we are well protected for another seven to 7080 years we are.

267
00:46:24.060 --> 00:46:24.270
Harshal Mehta: You.

268
00:46:25.380 --> 00:46:26.850
Harshal Mehta: Using the first thing we need to use correct.

269
00:46:27.390 --> 00:46:27.750
yeah.

270
00:46:28.830 --> 00:46:30.990
Harshal Mehta: Okay okay Thank you, Sir, so that's all from my side.

271
00:46:38.130 --> 00:46:38.520
Dharmesh Shah: Yes, I.

272

00:46:39.840 --> 00:46:46.830
Dharmesh Shah: Go with a couple of question so one thing we mentioned that the we are open for inorganic acquisition so.

273
00:46:48.570 --> 00:46:56.820
Dharmesh Shah: Sarah are we looking any specific markets, or are we looking in our existing market only, or are we are looking from a diversified perspective.

274
00:46:56.880 --> 00:46:58.530
Vaithiyanathan: Any any market in India.

275
00:47:03.420 --> 00:47:12.870
Dharmesh Shah: Okay Okay, then, secondly, it said what either costly versa available with the company or,

if I can say that the now the.

276
00:47:13.740 --> 00:47:29.460
Dharmesh Shah: We are having a new clients, which are getting commissions and so So what are the efficiency difference here between the vintage plant and the new clients and what kind of the savings, we can expect from this say any quantification would be here.

277
00:47:30.540 --> 00:47:32.670
Vaithiyanathan: See, for example.

278
00:47:33.810 --> 00:47:41.340
Vaithiyanathan: The degree Porsche or if it goes up the cost will come down and, once these are up some.

279
00:47:42.780 --> 00:47:50.640
Vaithiyanathan : modernization is done during the cost savings for us both a 7080 cross per annum alone will come tomorrow.

280
00:47:51.690 --> 00:47:52.140
Vaithiyanathan: and

281
00:47:54.210 --> 00:47:57.750
Vaithiyanathan: that's all these are all the major custom ers and once Cardinal comes.

282
00:48:00.450 --> 00:48:03.270
Vaithiyanathan: With a, why does the cost will come down karate.

283
00:48:04.290 --> 00:48:11.550
Vaithiyanathan: The plant is running without a double hrs ones who is Commission another 200 rupees per ton of think.

284
00:48:12.750 --> 00:48:15.060
Vaithiyanathan: overall cost will come down.

285
00:48:16.440 --> 00:48:18.480
Vaithiyanathan: To these are all the major cost, he was available.

286
00:48:19.590 --> 00:48:21.900

Vaithiyanathan: For us, the next couple months.

287
00:48:25.470 --> 00:48:34.920
Dharmesh Shah: Correct correct answer one last thing is the TV how we would like to balance between the growth and leverage over the coming yasmin's.

288
00:48:35.580 --> 00:48:51.390
Dharmesh Shah: Can we expect that the, the focus will be first in a couple of years now is to getting the cash flow from the new plans and to deliver the balance sheet and then again, we will look for the aggressive growth pers pective is this the correct understanding set.

289
00:48:53.520 --> 00:48:57.990
Vaithiyanathan: Is not aggressive we never follow others you kind of strategy.

290
00:48:58.320 --> 00:48:59.280
Vaithiyanathan: yeah actually.

291
00:48:59.430 --> 00:49:01.560
Vaithiyanathan: See, if you look at in the past we have.

292
00:49:03.570 --> 00:49:05.310
Vaithiyanathan: We have created capacity through.

293
00:49:08.880 --> 00:49:26.820
Vaithiyanathan: That leveraging then we become debt free by then w e learn next cycle of psychometric assessment that is a we have been following so we now we've created a capacity, only be focusing on do raging once D leveraging two parties done then we'll slowly.

294
00:49:29.010 --> 00:49:37.470
Vaithiyanathan: Go for the next cycle of skeptics that's what the renewal rate, so we focus on this capacity creation again.

295
00:49:39.480 --> 00:49:39.960
Dharmesh Shah: Okay.

296
00:49:41.790 --> 00:49:43.290
Dharmesh Shah: Thank you, thank you, sir.

297
00:49:44.340 --> 00:49:57.210
Dharmesh Shah: participant, please note this is the final reminder for the questions if anyone has a question, please raise your hand or can unmute your line and ask the question, this is the final reminder.

298
00:49:59.340 --> 00:50:06.210
Aditya Chheda_InCred Asset Management: I study in your assessment, which would be the two three key factors, you would look for an inorganic opportunity.

299
00:50:07.980 --> 00:50:15.870
Aditya Chheda_InCred Asset Management: example you can take the south region, of course, there are many variables, but which are the first two three parameters, you would want to assess.

300
00:50:17.460 --> 00:50:20.700

Vaithiyanathan: See one is the one is a market.

301
00:50:20.850 --> 00:50:24.270
Vaith iyanathan: combinations availability and.

302
00:50:25.350 --> 00:50:26.400
Vaithiyanathan: The.

303
00:50:27.660 --> 00:50:45.000
Vaithiya

nathan: Age of the plant and the the overall health of the plant, these are all the things, of course, we know the market dynamics in the markets, so if they are then the important factor will be the price of a price.

304
00:50:47.010 --> 00:50:54.390
Aditya Chheda_InCred Asset Management: So do we have a certain price band, where we feel that it would be comfortable I mean just hypothetically.

305
00:50:55.410 --> 00:50:58.710
Aditya Chheda_InCred Asset Management: What will be the right price for you, if you can share a man.

306
00:51:00.120 --> 00:51:02.910
Aditya Chheda_InCred Asset Management: Of course, lower the better, more comfortable.

307
00:51:03.480 --> 00:51:09.930
Vaithiyanathan: debut CD DVD from place to place region to region, and it all depends on the.

308
00:51:13.320 --> 00:51:18.120
Vaithiyanathan: risk and r eturn, so it is very there is, there is no standard kind of.

309
00:51:18.600 --> 00:51:21.660
Aditya Chheda_InCred Asset Management: fair but for the client probably.

310
00:51:22.380 --> 00:51:22.770
Vaithiyanathan: depends.

311
00:51:23.010 --> 00:51 :34.860
Vaithiyanathan: On the depends on the quality of us and basically under the related limestone assets attached to that that's only other parameters which we have to the which we have to look into.

312
00:51:36.330 --> 00:51:41.640
Vaithiyanathan: Mainly risk and reward Emilio to see the depending on that patrick's we can.

313
00:51:42.900 --> 00:51:49.620
Vaithiyanathan: We can indicate the price and the market combinations without which you know it is difficult to tell quantify th is.

314
00:51:56.280 --> 00:51:58.860
Vaithiyanathan: say that no 120 dollars and across the India.

315

00:51:59.340 --> 00:52:04.410
Vaithiyanathan: So one of the ingredients out at different price is a lot will be different price east, where we price.

316
00:52:04.770 --> 00:52:05.970
Vaithiyanathan: This will be different price.

317
00:52:10.350 --> 00:52:16.320
Aditya Chheda_InCred Asset Management: I was just referring to South so I mean you can take a example and then put a number to it that way.

318
00:52:16.920 --> 00:52:20.250
Vaithiyanathan: When it comes to me that there is there are more seats available in South.

319
00:52:25.860 --> 00:52:26.520
Aditya Chheda_InCred Asset Management: and east.

320
00:52:27.690 --> 00:52:29.940
Vaithiyanathan: East also studies, there is no limestone.

321
00:52:32.220 --> 00:52:33.450
Vaithiyanathan: Ladies and central.

322
00:52:34.560 --> 00:52:35.580
Vaithiyanathan: Some assets on their.

323
00:52:39.000 --> 00:52:43.800
Vaithiyanathan: lis t also know, almost a bunch of asset quality as it's available.

324
00:52:55.230 --> 00:52:58.860
Vaithiyanathan: Was there anything else I don't want to speculate on this anymore.

325
00:53:02.460 --> 00:53:03.540
Aditya Chheda_InCred Asset Management: Sure thanks that's it.

326
00:53:06.570 --> 00:53:07.320
Priyanka Bhagnari: Can you.

327
00:53:12.330 --> 00:53:12.480
Aditya Chheda_InCred Asset Management: know.

328
00:53:19.830 --> 00:53:27.000
Dharmesh Shah: It seems there are no further questions, I think all the participant and management for joining this call.

329
00:53:28.620 --> 00:53:32.340
Dharmesh Shah: We are we are end up the call Thank you Thank you everyone.

330
00:53:32.670 --> 00:53:35.190
Vaithiyanathan: arrest, can I can I read it again.

331
00:53:35.610 --> 00:53:36.780
Dharmesh Shah: yeah shorter yeah.

332
00:53:37.020 --> 00:53:37.710
Vaithiyanathan: Okay, thank you.

333
00:53:40.980 --> 00:53:42.090
Aditya Chheda_InCred Asset Management: Thank you so much.

334
00:53:53.490 --> 00:53:54.420
Priyanka Bhagnari: Recording now.

335
00:53:57.300 --> 00:53:57.600
Priyanka Bh

agnari: Hello.

Call: Aug 2022

J <c.
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Corporate Identity Number: L26941TN1957PLC003566
6 August 2022
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra-Kurla Complex,
Bandra {E), Mumbai -400 051.
BSE Limited,
Floor 25, "P.J.Towers",
Dalal Street,
Mumbai-400 001.
Dear Sir, Scrip Code: RAMCOCEM
Scrip Code: 500260
Sub: Transcript of the Audio Recording of Conference Call -1QFY23 Financial
performance
Ref: Disclosure under Clause 15{b) of Para A, Part A of Schedule Ill, read with
Regulation 30 of SEBI {LODR) Regulations, 2015.
In continuation of our letter dated ist August 2022, providing you the weblink
of the Audio Recording of Conference Call with respect to 1QFY23 Financial
performance held on 01.08.2022, organised by B & K Securities, we attach the
transcript of the conference call and the same is also made available at -
http.://www.ramcocements.net/ramcocements/EarningsConferenceCallTranscript/BKSec-Ramco-AugOl-2022.pdf
Thanking you,
Yours faithfully,
Fo.r THE RAMCO CEMENTS LIMITED,
k .s. (V'ov""-f' ,v'YY1
K.SELVANAYAGAM
SECRETARY ·
Registered Office: "Ramamandiram", Rajapalayam -6261171 Tamil Nadu
•I
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"Ramco Cements Limited
· Q 1 FY2023 Conference Call"
·-
ANALYST:
MANAGEMENT: August 01, 2022
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\\F. U~l)l:RSTA\·n.M,o~r~·
MR. AMIT SRIVASTAVA -BATLIVALA & ·KARANI
SECURITIES PRIVATE LIMITED
i
MR. P.R.V. RAJA -MANAGING DIRECTOR- RAMco
.. CEMENTS LIMITED .
MR. A.V. DHARMAKRISHNAN -CHIEF EXECUTIVE
OFFICER- RAMco CEMENTS LIMITED
MR. S. V AITHIYANATHAN -' CHIEF FINANCIAL
OFFICER- RAMCO CEMENTS LIMITED

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\
Moderator:
Amit Srivastava:
Venkatrama Raja: Ramco Cements Limited
. August OJ, 2022
Ladies and gentlemen, good day, and welcome to the Ramco Cements QI FY2023 Conference
Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant

lines will be in the listen-only mode and there will be an oppot'tunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" and "O" on your touchtone phone. Please_ note that this conference is being recorded. I now hand the conference over to Mr. Amit from Batlivala & Karani Securities. Thank you and over to you Sir!
Hello everyone on behalf of B&K Securities, we welcome you all to IQ FY2023 Earnings · Conference Call with the management of Ramco Cements. We have with us from the management Mr. P.R.V. Raja -MD, Mr. A.V Dharinakrishnan -CEO and Mr. S. Vaithiyanathan -CFO. I would like to thank the management for giving us the opportunity to host the earnings call. We will start the call with opening remarks from the management which will be followed by Q&A. Over to you Sir!
Good evening, everybody. This is Venkatrama Raja the Managing Director talking. I warmly welcome all of you to our earnings call for QI FY2023 and I hope all of you have already seen the results which we published in the afternoon. During the current year Ql the sale of cement was 3.31 million tonnes compared to 2.14 million tonnes in the corresponding period of the previous year with a growth of55%. The share of premium products has improved to 24% in this quarter from 19% in the previous quarter. The utilization rate for the current year in QI is 68% against 44% in the previous QI. The trial production from the clinkering plant in our Kumool project is successful and is running well. With this the overall clinkering capacity of our company has gone up to I 3.65 million tonnes per annum. Cement prices have been volatile throughout the quarter and during the current year QI the company has generated v.fod power of 7.71

Crores units as against 7.01 Crores units in the previous year's QI with an increase of 10%. The EBITDA for current year QI is 308 Crores against 370 Crores in the previous year QI with a \
decrease of , 7%. EBITDA margin for the current quarter sto_od at I 7% as against 30% in the previous year QI. The blended EBITDA per tonne for the current year QI is Rs.929. As you all know that _fuel prices have tripled in the last 18 months particularly from Q3 of previous year the fuel prices started moving up to unprecedented level. During the previous year Q3 our EBITDA was Rs.790 per tonne and in Q4 we pushed it to Rs.956 per tonne and we have been trying to maintain that for this current quarter too. The main reason for drop in profitability for the current quarter QI is due to the increased pressure on the prices of cement and increase of pet coke and coal prices, in addition diesel prices have also increased by about 11 % during the current quarter which led to an overall cost increase in both inbound and outbound logistics. The operations of our 27-megawatt waste heat recovery plant in our Jayanthipuram plant has helped offset the power cost to some extent. The cement grinding facility and the 6 megawatt of waste heat recovery plant in our Kumool plant are expected to be commissioned during the month of August 2022. The balance 6.15 megawatt of waste heat recovery will be commissioned in March 2023.

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During the year the comp~ny has incurred a capital expenditure of 482 Crores and the company's net debt stood at 4148 Crores of which the working capital was 800 and odd Crores and the long term debt stood at 3400 Crores, the average cost of interest-bearing borrowings for the current year has increased to 5.68% from 5.50% in the corresponding previous period. So, with this brief summary I will leave it to you for question and answers.
Thank you very much. -We will now begin with the question-and-answer session. We take the first question from the line of Amit Murarka from Axis Capital. Please go-ahead Sir.
First question was on the fuel cost while we know that the industry is struggling with the rise in power cost, but you seemed to have managed it better particularly in the current quarter so just wanted to understand what kind of further increase do you anticipate in the second quarter and what would be your fuel cost in the rupees per KTM in the quarter?
See the second quarter my fuel prices go by· another 5% to 6% in the month of July and August, from September onwards it will be up and down again, and those are current indications.

Essentially, we are saying that there will be marginal increase in Q2?
Marginal increase or it may be remained same.
Could you help us understand your fuel mix in this quarter?
Fuel mix is almost same we have not changed anything. The fuel mix is almost same mainly petcoke and coal.
Coal I see was 30% in the quarter but was this all-imported coal?
All imported coal. We have very, very minimal monthly some 3000 to 4000 tonnes local coal.
What will be the rupees per KTM cost for you do you have that number handy?
It will be around Rs.2.70 to Rs.3 between petcoke as well as imp~rted coal between Rs.2.50 and Rs.2.95. Coal is mainly for TPP, and we use some coal in our Jayanthipuram plant, Tamil Nadu plant l 00% on petcoke. Kumool plant TPP is also on coal.
Just on the pricing side when do you expect the pricing to really recover, we have seen the industry attempt hike every month, but it has been rolled back actually, so what is actually the problem that beside a strong demand cost inflation we are still not seeing any increase in prices?
You know the problem better than us. I need not explain definitely

you people know better than
us because you people attend many of the conference calls, you deal with many managements.

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Moderator.: Ramco Cements Limited
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So, we should not expect the situation to change.much in the near term then?·
Do not be negative also. It could change because everybody is suffering from high cost. Do not be too optimistic, do not be too pessimistic.
In the last call you had mentioned that you had started supplying in east from February I think in January you had not supplied so in this quarter you supplied through the quarter?
We have grown very well in the east in fact our main growth has come from the east.
So, would you be able to provide a breakup in terms of volume like what percentage would be in this quarter?
East would be around 30%.
Got it. That is all from my side. Thank you.
Thank you Sir. We take the next question from the line of Indrajit Agarwal from CLSA. Please go ahead.
Hi good afternoon thanks for the opportunity. Couple of questions. First you'mentioned east is 30% so this number was around 15% in 4Q is that correct?
The fourth quarter also it was around 18% to 20% it has never been 15%. It will be always close to around 20 this quarter we have grown in east.
What will be your capex guidance for the full year?
The capex for the full year will be 850 Crores including the maintenance capex of 130 Crores.
Lastly you mentioned that pricing competition is high so what would be the current prices versus last quarter average?
Like Sensex Everyday it goes up by 4% comes down by 4%, it goes up and comes down, so if you ask me the exact prices then you will be surprised how it can vary so much.
Alright. Thank you. That is all from my side.
Thank you. We take the next question from the line of Harsh Bohra from VT Capital. Please go ahead.

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Moderator:
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Company Speaker: Ramco Cements Limited
August OJ, 2022
Thanks for taking my question. I just wanted to check like what are the days of inventory we are carrying for coal and petcoke?
Four months including in transit I am telling.-
Okay got it. Thank you, Sir.
We take the next question from the line ofShravan Shah from Dolat Capital. Please go ahead.
First one on the government front definitely we have done a strong growth in this quarter, as the growth continued significantly because last time, we guided 12% to 15% volume growth in FY2023 so will we be achieving upper end of that target 15%?
We will achieve that.
Sir second thing just wanted to understand this quarter the net debt has increased close to 400 odd Crores, and we were guiding that we will reduce the net debt by 500 odd Crores including working capital of 200 Crores so in FY2023 so do you think this is still possible?
It is still possible because definitely there will be some reduction in the working capital also, working cap!tal we never carry this level, so that is one, number two we are expecting some payment from two department government department and one subsidy in another month or two that should be around 100 plus Crores. We are confident whatever we have committed definitely we will do that.
Secondly you have already mentioned that in the second quarter we expect a kind of flattish power and fuel cost but I just wanted to further understand in the last concall we said that our consumption cost was $190 odd and we did a call around end of May and at that time our cost was around 225 and this quarter average comes at around 170 odd so what has help

ed us to
reduce the average cost in the last month ofJune?
Because of our purchasing efficiency we are able to buy at good prices.
What is the trade mix for this quarter?
Trade mix is around 70:30.
Sorry 70:30?
Yes.

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Moderator:
Satyadeep Jain: Ramco Cements Limited
August OJ, 2022
Okay and then in terms of the premium share that 24% and last time we guided that we will try to increase to 30% in this year so that remains as it is?
Yes, definitely because 5% already we increased from 19 it was now 24% definitely we are confident to maintain this number.
Lastly Sir for the new Karnataka Government grinding unit last time you said 'that work will start in six months and the capex was 350 odd Crores any change in that so by next quarter end so October, November we will start working on that?
The problem is in Karn·ataka I never expected the procedure is so lengthy, it is not as simple as in Andhra, Tamil Nadu, or Odisha, and we are on the track but exact timing I will let you know because ofland purchasing. The procedure of the government that you have to register with the industry department then they have to approach then only you can buy the land. This is a lengthy procedure for buying the land in Karnataka.
But we are targeting one MTP A grinding to start by FY2024 so if we are already getting delayed?.
We had Mathodu plant that we shut down three years back now the cement grinding has started

·from there already we started the cement grinding, we are transporting clinker from Kurnool to Mathodu plant in Karnataka already we have done that. Today we have the cement capacity of around 2.5 lakh tonne. Further if you want to have, we have also one raw mill that also we will convert it into cement mill the work is going on. Okay to that extent even there is some delay in that grinding unit to come but our Karnataka capacity will go up because of Mathodu unit. Kurnool grinding plant will also be commissioned in another three to four days time.
So, the capex you already mentioned 850 odd Crores this year so next year the similar run rate would be there in terms of capex?
Next year it will be around 550 to 600 Crores.
Thank you Sir and all the best.
Thank you. We take the next question from the line ofSatyadeep Jain from Ambit Capital. Please go ahead.
I have two questions first on the Tamil Nadu auction. It has been a while there has been no updation in the time line, can we expect an announcement on that· front and Ultratech has also announced some expansion in Tamil Nadu, do you see competitive intensity in Tamil Nadu increasing in future or is it more or less stable?

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RahulJain:

Timeline I cannot guarantee because the government has to decide. Number two the competition will be everywhere, why Tamil Nadu particularly competition is everywhere it all depends upon people's interest.
The wind power you are mentioning even the company would be able to use more captive wind power is it something to do with the interstate transmission charges which have been based or there anything else going on and what kind of savings can we expect on that front going forward?
We have installed the wind power of 175 megawatt qnly for captive I am telling in 2010 itself we completed our investment in captive wind power in 2010 itself afterwards in 2018 there was severe power cut jn Tamil Nadu almost for 6 to 7 hours, the power cut in such a way that morning peak hours, evening peak hours we could not draw any power from the grid. Cement being continuous process for 6 to 7 hours we cannot stop our clinker so we had to run

with diesel
which was very costly that is why we have put up thermal plant everywhere so the entire wind power will become surplus, so we are sending to the grid. Unfortunately, the payment from the grid is very much delayed and coal cost also going up we thought from the board mostly we converted into captive consumption. Two things one cost angle another thing is also to comply wit.h ESG standard because now you people are very much attracted by ESG standard so being our facility of green power will go up.
Itwill be totally 175 megawatt which will translate to natural usage about ...
Around 35 to 40 megawatts.
Any savings that you could outline based on ...
If you take today the cost is around Rs.7 whereas I am getting Rs.3 from the electricity board so straightaway Rs:4 extra savings I will get, but if I do not consider Tamil Nadu my cost of generation for wind power is going to be Jess than Rs.] against Rs. 7 for cost of generating power from the thermal plant it would be good saving. If you see the incremental cash flow you can take Rs.4 a unit, if you take real savings then Rs.6 a unit.
Thank you so much.
Thank you Sir. We take the next question from the line ofRahul Jain_from Systematix. Please go ahead.
In Kamataka I think we have got some 'mine which is at 25% premium so what is the facility around that and what is the timeline you have built to commission?
Already we surveyed the land, and we formed a team to buy the land so again these things will take some time arid exact timeline I do not have except I have to meet the statutory timeline we

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August 01, 2022
will be working towards that and the facilities we will be starting with either 7500 tonnes or 10,000 tonnes going _maximum, minimum will be 7500 tonnes.
Any grinding unit around that unit?
We will have grinding unit to the full capacity we will have grinding unit also, not only clinker we will put us cement grinding plant also there.
I see that our NSR is actually a bit weakish compared to your com.petitors which have reported, are we taking a sort of setback on pricing to push more volumes because volumes we have done really outstanding, so l am just wondering what is the strategy going forward because we are also wanting to increase our utilization rates and things like that?
Okay coming quarters we will bounce back. Do not take one or two quarters and do not judge'us coming quarters we will bounce back.
Thank you so much.
Thank you. We take the next question from the line ofKeshav from HDFC Securities. Please go ahead Sir. I think we have lost the line from Mr. Keshav. I am promoting the next questionnaire that is Ritesh Shah from Investec Capital. Please go-ahead Sir.
Thanks for the opportunity. Sir my question was pertaining to the plants what we have detailed on page number three pertaining to dry mix products wherein we have also indicated waterproofing, repair products, and flooring screeds is it possible to give some indication on the capacity incremental capex and the kind of contribution that it can have on both P&L as well as balance sheet? Thank you so much.
Incremental capex already we incurred. Two plants we already completed, only thing the final stages _of completion so the capex already has been incurred in two plants. The other two plants for the next six months we deferred the capex expenditure to conserve the cash so the turnover from each plant and each this one will be around Rs.80 Crores to Rs. I 00 Crores.
Sir what will be the cumulative revenues from this dry mix products?
Rs.80 Crores to Rs. I 00 Crores per plant at full capacity.
Sir how many plants in all that we have l think it is two?
Today we have only one plant that is in Chennai a very smaller plant and our RR

Nagar plant is
ready. The Salem plant is also ready. Jayanthipuram and Odisha we will be doing after six

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months or nine months depending upon because you people do not want our borrowings also to go up, so we are very careful about this also. The capacity is 80 tonnes per hour.
This is quite useful Sir. Thank you so much.
Thank you Sir. We take the next question from the line of Prateek Kumar from Jefferies India Private Limited. Please go ahead.
So, on the Kurnool project in our annual report and our management commentary we have said due to delay in working by contractors the project was delayed and we are optimistic of achieving commercialization of the standby in 2023 so why does it says that like we are not.close to commercialization while we are talking about trial production completion in the results?
No, what we told very clearly the cement will be commissioned now, already we commissioned the clinker plant, the trial production is also over, almost we touched 100% capacity also number

one. Number two the cement will be commissioned by first week of now August. Only the waste heat recovery one phase will be over now second phase will be completed by March 2023 is the thing we had mentioned.
So commercial production of both clinker and grinding is expected?
You can take it September.
Okay and this is a question which was asked earlier?
' ----
Nowhere we have told Q4 of 2023.
Sure, okay I will recheck on the same. On pet coke CIF prices, it is mentioned in your presentation it is at around $240 what could be the current CIF prices for pet coke?
It is coming down now around 210 and the indications are that it will come down further also. E,ven we got offer for 185 also, cannot be finalized because we have some stocks, so it is coming down.
So that should start reflecting froin Q3?
You are right because already we have inventory for two to three months so even ifl order today it is going to land at our factory after two to three months. You are right.
Thank you Sir. These are my questions.

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Thank you very much Sir. We take the next question from the line ofRajesh Kumar Ravi from HDFC Securities Limited. Please go-ahead Sir.
In Q4 presentation you have mentioned your blended fuel cost per tonne of $198 and in this QI it has come down to $178 is that understanding, correct?
Yes, your understanding is right.
But what has led to this sharp decline?
Coal we are able to get at much cheaper rate. Again, coal depends upon different varieties of coal we are able to buy coal at much cheaper rates.
So, on a per kilo cal also what will be this change Sir versus Q4 into QI?
At the beginning I told you it is between Rs.2.50 to Rs.2.90 because we import different types of coal. We import from Russia; we import-from Indonesia. Indonesia itself we import some three to four types of coal depending upori price, depending upon currency value, depending upon availability at that time to use in our thermal plant or use in process so normally the cost is between Rs.2.50 and Rs.2.90 for the coal as well as the pet coke.
Why I am looking at the blended-on a per kilo cal because that is the actual whatever?
It is between Rs.2.50 paisa and Rs.2.90 depending upon per calorie and depending upon type of coal I am using at that point of time.
So that increase for you quarter-on-quarter versus Q4 or was

it actual decline on a per kilo cal
also?
Per kilo cal it is almost constant compared to Q4.
Sir just on this thermal power plant which you mentioned you are using Indonesian coal and all where prices have shot up from Rs. I to Rs.2. and North of Rs.2 so what would be your average cost of generation for electricity?
It will be Rs.7.
Despite that sliarp increase almost more than doubling of it just at Rs. 7 only?
Yes.
Okay and the second question is on the capex program?

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Rajesh Kumar Ravi: Before increase it is only Rs.3.50 now Rs.7.
Understood Sir and Sir for this Kumool you are also adding a thermal power plant, right?
Yes.
That will be commissioned this year itself?
By March 2023 it will be commissioned.
Total· capex you mentioned Rs.850 Crpres for this financial year so would that assume that all your capex will be.
Including Kumool plant, RR Nagar plant and whatever ifl spent sorriething for our grinding unit is Kamataka everything together. ·
Rs.850 Crores out of which Rs.480 Crores you ha:ve already incurred in QI?
Yes.
Okay and lastly on the dry mix capex cost has gone up from Rs.45 Crores to Rs. 70 Crores is that reading right?
Yes, you are right because the number of products, now we have seen a lot of opportunities with increased number of products. Products previously we thought we will produce four to five types of products, now we thought we can produce almost 50 types of products.
What is the revenue potential and margins for this dry mix?
The revenue potential is Rs.80 Crores to Rs.100 Crores.
Per plant?
Yes, per plant and the margin will be somewhere between 20% and 30%.
20% to 30% EBITDA margin?
Yes.
Okay super. Great Sir. Thank you. I will come back in queue.
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Thank you very much Sir. We take the next question from the line of Sumangal Nevatia from Kotak Securities Limited. Please go-ahead Sir.
In the sector that we are evaluating and also the other way round in case a larger buyer is.willing to give us an . attractive price to acquire our company are we opened to evaluate such opportunities?
That is not the right question you are putting to us. We are hurt by this question.

Sorry.
We are very much hurt by this question.
No Sir the first part of the question is with respect to our growth ambition.
Yes, from Rs.12 million to Rs.20 million we have grown.
In the future are there any existing inorganic opportunities in the sector?
Yes, that we will evaluate.
But on the second part we are not open to such discussions?
We are hurt. Do not repeat that question again.
Okay got it. Sorry Sir for this. Thank you.
Because we are in the business for the iast 70 years such questions you cannot put to a group where the group is in business for more than 70 years and on the EBITDA level, we are the making the highest and we are the benchmark for the industry.
Certainly Sir. Thank you and all the best.
Thank you. We take the next'question from the line ofKeshav from HDFC Securities Limited. Please go ahead.
I just want to know what sort of net debt to EBITDA you guys are comfortable with?
Normally this one is to maintain two.
Okay understood and what was the lead distance for this quarter?

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Parthiv Shah: Around 301.
Okay thank you. That is, it.
Thank you Sir. We take the next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Thanks for the opportunity again so just on the capex side again so like is it fair to say that the peak capex is now over for us given that the rest of nine months we are guiding only Rs.370 Crores and then Rs.500 Crores or Rs.550 Crores, of that balance Rs.370 Crores actually do you think that Rs.150 odd Crores and we will maintain the growth capex is left with only Rs.200 Crores for the rest of this year?
Totally it will be around Rs.850 Crores out of that we spent Rs.482 Crores so another Rs.400 Crores is there.
Yes, but of which maintenance is also there?
Including that I only am telling even Rs.482 Crores including maintenance capex that also includes maintenance capex.
Rest of that it is Rs.120 Crores for maintenance capex.
Yes, so broadly Rs.300 odd Crores of growth capex?
Because almost completed projects are completed. Just we are waiting for the waste heat recovery also to complete so that we can save the cost. Otherwise with such severe cost it may not be economical to run it now that is why we are delaying. Apart from the contractors delay we are also delaying our commissioning by one or two months because of this.
Right got it and how much is the debt free payment plan given that now the capex will not -be much?
Around Rs.500 Crores.
Thank you.
Thank you Sir. We take the next question from the line of Parthiv Shah from Tracoin Stock Brokers Private Limited. Please go ahead.
The groups like Shree, Dalmia, Adani Group, and UltraTech all of them have visibility up to say 2025 to 2030 as to where these companies will be positioned themselves in terms of the size and

Company Speaker:
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Nishant Bagrecha:
Company Speaker: Ramco Cements Limited
August OJ, 2022
the capacity, even I would say the smaller players like Orient Cement or Birla Corp we are talking about say Birla Corp is saying doing 30 million tonnes by say 2027 or for that matter even if i is delayed by 2030 where are we positioned because all these companies historically used to be reached IS million tonne companies and now they are aspiring to touch 40 to SO, we have done capex which is very good we will be touching 20 million tonnes currently at 68% capacity utilization but where do we see ourselves as a group five years or seven years down the line because this industry is becoming so huge and we are relatively as compared to other players shrinking in size in terms of capacity?
How do you say we are shrinking in size?
In the sense that when other groups who are at IS to 20 million tonnes, they are going to reach 40 million tonnes in the next five years?
See the turnover and let me know where they are. Others can say in paper so many' this one. See the turnover and see where we are and always, we are number five. Not today 1982 we are number five even today we are number five.
Sir is it safe to assume Sir going ahead we will be betting more on increasing our capacity utilization and trying to sweat our assets and becoming more efficient that way?
We have our own plans. There are two things. If I have our own plans then you will be asking then the leverage will be very high, if I do not announce the plan then you will say we are very conservative do not worry we will grow our own way and we will improve our position.
Compared to industry our growth will also be good and our capacity utilization much better than others.
True Sir. Thank you, Sir.
Thank you very much Sir. We take the next question from the line of Nishant Bagrecha fr

om
InCred Equities. Please go ahead.
Thank you for the opportunity. I have two questions so firstly apart from this grinding unit of I million tonnes in Karnataka so last quarter we have highlighted that one more grinding unit will be planned in Maharashtra but again the location has not been finalized so is it finalized or your color on that?
Maharashtra location is not finalized yet. Now that the one mining lease in Karnataka we are having second thoughts whether to put up grinding unit in Maharashtra or because from that location itself we can serve Maharashtra better so that is why we have second thoughts to go for grinding into Maharashtra.

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Moderator:
Sanjay Nandi:
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Sanjay Nandi:
Moderator: Ramco Cements Limited
August OJ, 2022
It is very helpful Sir and my second question is on pricing again so as we do not have much visibility about how the prices are going to behave in the coming months or let us say now the monsoon is there so again but looking at today if you were to do how much pricing fee do you require just to cover up the cost of inflation going ahead let us say for the next one quarter?
Only to cover up the cost increase Rs. IO to Rs.15 price increase enough only to cover up the cost increase but EBITDA it has to improve EBITDA is one of the lowest, but we have to improve our EBITDA, for that another Rs.50 to Rs.60 price. Also, the cost will also come down. It is a very dynamic situation so the cost also the pet coke has gone up to $260 to $270 also coming down to $180 so it is very dynamic.

Approximately -Rs.30 to Rs.35?
That will improve our EBITDA.
Okay that is helpful Sir thank you.
Thank you very much. We take the next question from the line of Sanjay Nandi from Ratnabali Investment Private Limited. Please go-ahead Sir.
Good evening, Sir. Thank you for the opportunity. Congrats on a good set of numbers. Sir can you just guide us on the pet coke visibility like what kind of inventories we are holding as on the exit of QI and what will be the impact like in the next quarter what kind of incremental thing we can expect in the coming quarters?
Inventory level you are asking?
Inventory level in pet coke Sir?
Inventory level in pet coke I told you at any point of time we have four months in transit as well as in stock \It the factory it will be around four months both pet coke and coal together.
So, Sir in the coming quarters like the coal, power, arid fuel cost per tonne we can expect on a flat note, right?
Yes. In fact, July, and August, it will goup little but September it will come down.
Okay that is it from my side Sir. Wish you all the very best Sir.
Thank you very much. We take the next question from the line of Shravan Shah from Dolat Capit~I Market Private Limited. Please go ahead.

Shravan Shah:
Company Speaker:
Shravan Shah:
Company Speaker:
Shravan Shah:
Company Speaker:
Shravan Shah:
Company Speaker:
Shravan Shah:
Moderator:
Venkatrama Raja:

Yes Sir, Sir just wanted to clarify wind farm 126 megawatt are we currently using for ourselves and subsidiary wind farm of 39.8 that is 40 megawatts so that we are selling to the grid, or we are planning to use entirely for our consumption?
The subsidiary group whatever we are having that is used by our group companies ,that is our old dealing. Instead of selling to the grid because the grid makes payment after one year or two years t_hat is why at that time, we form subsidiary. We transferred all the very old equipments so that at least we get the payments we are getting the same price of what we are selling to !he grid, but we are getting the payment immediately that will continue. Remaining that 138 megawatt what we are selling to the grid w

e are converting into captive almost 70% will be converted and another
. 30% we will be converting now.
Okay so this quarter out of 126 roughly around 70% we have used for ourselves and may be in one or two quarters we will be using 100%?
Not. one or two quarters it will happen in another 10 days time also because this is a peak generation we want to have because after one or two quarters there will not be any generation, so we want to convert. Already the court has given direction to get covert into captive power. Already we got the order. The only thing now the electricity board has to implement it.
Okay so ifwe use the entire then the g~een share will increase by how much?
By another 10%.
Just to clarify again we said Karnataka limestone mine that where we made plan to put up 7500 to I 0600 TPD clinker line so in terms of the grinding unit it would be 3 million to 5 million tonnes for that?
You are right. It will be _3 million to 5 million tonne yes.
Thank you Sir. All the best.
Thank you very much. I would like to hand the conference over to you Sir for the closing comments.
On behalf of Ramco Cements, we thank you for all the participants. We hope we have answered all the questions to your satisfaction, and I will assure you we will make all the efforts for the further growth of this company, and we will not lag behind any of the growth in our growth path. Thank you very much and wish you all the best.
Thank you for your valuable input. That concludes the conference call for today. Thank you very .much.

· Thank you. On behalf ofBatlivala & Karani Securities that concludes this conference call. Thank you for joining us ladies and gentlemen. You may now disconnect your-lines.

Call: Nov 2022

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THE RAMCO CEMENTS LIMITED

16 November 2022

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra- Kurla Complex,
Bandra (E), Mumbai – 400 051.
Scrip Code: RAMCOCEM
BSE Limited,
Floor 25, “P.J.Towers”,
Dalal Street,
Mumbai – 400 001.
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Conference Call - 2QFY23 Financial Performance

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In continuation of our letter dated 9th November 2022, providing you the weblink of the Audio Recording of Conference Call with resp ect to 2QFY23 Financial Performance held on 09.11.2022, organised by B & K Securities, we attach the transcript of the conference call and the same is also made available at –

https://ramcocements.in/cms/uploads/BK_Sec_Ramco_Cements_09_Nov_2022_fac36c85ea.pdf

Thanking you,

Yours faithfully,
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM
SECRETARY

“The Ramco Cements Limited
2QFY23 Earnings Conference Call ”
09 November 2022

MANAGEMENT : MR. P.R. VENKETRAMA RAJA – MANAGING DIRECTOR –
THE RAMCO CEMENTS LIMITED
MR. A.V. DHARMAKRISHNAN – CHIEF EXECUTIVE OFFICER –
THE RAMCO CEMENTS LIMITED
MR. S. VAITHIYANATHAN – CHIEF FINANCIAL OFFICER – THE

RAMCO CEMENTS LIMITED

MODERATOR : MR. AMIT SRIVASTAVA – B&K SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to The Ramco Cement s 2QFY23 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an oppor tunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing 'Star' then 'Zero' on your touchtone phone. Please note that this conference is being recorde d. I now hand the conference over to Mr. Amit Srivastava from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, Sir.

Amit Srivastava: Good afternoon, everyone. On behalf of B&K Securities, we welcome you all to the 2QFY23 Earnings Conference Call with the management of The Ramco Cement s. We have with us from the management ; Mr. P.R.V. Raja, MD ; Mr. A.V. Dharmakrishnan, CEO, and Mr. S. Vaithiyanathan, CFO. We would like to start the call with the opening remarks from the management, which will be followed by Q&A. So over to you, Sir.

P.R. Venketrama Raja: Good evening, everybody, and I warmly welcome you all to the earnings call of The Ramco Cements to discuss the unaudited results of 2 QFY23. Thank you for taking the time to join us for this call. And I am sure all of you have already seen our results, and I would like to highlight a few of our performances. We will start with th e highl ights of our performance of the second quarter.

Our revenue increased YoY from INR 1,501 crores to INR 1,793 crores for 2QFY23 . EBITDA has dropped YoY from INR 402 crores to INR 193 crores. And EBITDA per ton ne stood at Rs 582 tonnes, which is one of the lowest in the last eight years. Profit after Tax stood at INR 11 crores during the quarter. The main reason for the drop in profitability in the current quarter is due to the margin pressure in view of drop in cement prices amid high er fuel prices.

The business environment continue to be uncertain due to rapidly changing economic environment in view of prevailing stress in geopolitical situation across the globe. This has put a strain on the fuel cost due to its high volatility. Usual ly, the short -term visibility of the business are much clearer . But this time, it is the other way around. The situation may continue for a few quarters, considering the prevailing uncertainties. However, we are optimistic about long -term prospects and opportunities in this business.

In spite of all such challenges, we continue to keep our focus firm on critical business parameters, such as improvement of EBITDA per ton ne, premiumi sation of our products, productivity increase, pricing and a lot of empha sis on R&D, and completion of all our capacity expansi ons, which we had initiated before the challenging times started. We are more committed to continue our good efforts to do a much better job going forward.

Now let me give you a market scenario and out look. The current demand for cement is good in the individual house builder markets as well as the infrastructure segment, thanks to improving economic activities after the pandemic amid easing of supply chain bottlenecks. The resilience of cement demand i n the medium -term is also encouraging in view of promising factors like good monsoon,

good water levels in the reservoirs, focus on infra spend by the government and the upcoming elections.

Having said that, with the continuing consolidation of the cement industry, coupled with increased addition of fresh capacity could lead to increased appetite for market share among the players, which may put pressure on margins in the near future, especially due to the uncertainty in fuel prices. Though , there was some respite in the spot CIF pric

es of pet coke in August and September, the spot prices, again sharply increased in October 2022. Any further surge in pet coke prices could affect the margins adversely in coming quarters. The continuing volatility in fuel prices, faster rupee depreciation, hardening interest rates are worrisome factors. We remain watchful on these parameters.

Now let me also give you the status update of our expansion plans. The green field cement plant in Kolimigundla, Kurnool district with a capacity of 1.5 million ton nes of cement grinding commenced commercial production on September 2022. The Honourable Chief Minister of A ndhra Pradesh Shri. Y.S. Jaganmohan Reddy ina ugurated the operations of the unit. The moderni sation of our R.R. Nagar plant will be commissioned before March 2023. With regard to expansion of dry motor capacities,

two units of Tamil Nadu are ready for commissioning and market trials for products are in progress. The remaining two units in Andhra Pradesh and O disha will be commissioned during the financial year 2023 -24.
The company propose to increase the grinding capacity of Haridaspur plant in O disha by 0.9 million tonnes per annum at a cost of only INR 130 crores since other infrastructures are already in place, thereby doubling its capacity to 1.8 million ton nes per annum. During the current quarter, the company has incurred INR 504 crores towards capex. The company 's net debt as on 30-09-2022 is INR 4,741 crores. The average cost of interest borrowing for the current quarter has increased to 6.42% from 5.47% of the corresponding previous quarter. This is a brief update on the performance of this quarter and the situation in the company. We are now o pen to take your questions. Thank you very much.
Moderator: Thank you. Ladies and Gentlemen, we will now begin with a question -and-answer session. The first question is from Mr. Shravan Shah from Dolat Capital.
Shravan Shah: So before asking questions on operational aspect, I want to first understand on the date and the capex front. So the date in the last six months has increased by close to INR 900 crores . And now this year also we are planning to do a capex of INR 1,717 crores, and next year also, the c apex will be IN R 892-odd crores. F irst of all, why such a significant increase in capex in this year? Because last quarter, we guided an INR 850 -odd crores capex. So with this, how do we see our net debt by FY23 and FY24?
Management: The capacity has gone up because in the Kurnool plant, even for second l ine, we made many preparatory works for expansion . So when we put up the second plant, the cost of putting up the

plant will be very less. Take, for example, O disha, although first line co st is around INR 700 crores. The second 1 million ton ne, we have to put only INR 130 crores. So while putting up the second line, we thought many of the silos, many of the common facilities we created now itself , so that we can complete the second line quickly since already ECs in place we want to have the commissioning time very less, and we can go for the production at the earliest. That is the main reason.
The last two quarters, the cash flow is affected because of cost increase, which we have not anticipated. In the third quarter, definitely, we expect a good cash flow. Fourth quarter , we are yet to see. So there may not be a significant increase in borrowing in the third and fourth quarter.
Shravan Shah: So broadly, we can see the same level of debt?
Management: Sorry, the working capital has gone up because for the high value of pet coke, now the price is 3x. Therefore, the working capital has also gone up because of the increase in value rather than volume.
Shravan Shah: So we broadly expect the current INR 4,700 crores net debt to remain by end of March?
Management: Yes, yes.
Shravan Shah: Second, on the O

rissa 0.9 MTPA , the new one that we have said today, when the commissioning will be there, COD will be expected by. ..
Management: May be max 12 months from now. Yes, we want to commission before nine months because already civil work have been commenced and also we placed orders for the equipment and within nine to 12 months, it will be commissioned. Only commissi oning of the equipment is needed, as all other infrastructure is available. That is why we are confident that we can commission in nine to 12 months.
Shravan Shah: Now on the operational aspects, first, in terms of the pricing. Post September, where and how much, if you can specify in terms of the state -wise how much price increase we have taken?
Management: In Tamil Nadu, the price has gone up by almost INR 15 t o INR 20 in the month of October. November also , we announced some price increase, but we are yet to see it in the market. In Andhra Pradesh, there is no price increase in the month of October. In Kerala, there is a price increase of INR 25 to INR 30. Now another INR 15 increase in the month of November. Karnatak a increased the price by INR 20 to INR 25, and we increased the price by INR 5 to INR 10 now. O disha , the prices are already very bad, and we increased the price by INR 1 0 to INR 15. The prices in the month of October was only INR 270 to INR 275. So in the month of October, w e increased the price by INR 40 to INR 45, but only INR 10 to INR 15 we were able to hold. In west Bengal, the price is around INR 310 to INR 315 in the month of September and in the month of October INR 10 to INR 15 we were able to increase the price. Now we are attempting another price hike of INR 10. You have to reduce the GST portion to understand the reali sation .
Moderator: The next question is from the line of Mr. Nitin Arora from Axis Mutual Fund.

Nitin Arora: Yes. So Sir, just on the capex part, you gave your reasoning of preparatory work at Kurnool, but 4 Q,

we guided for some R s 700 crores. Last 1 Q call, you said that, okay, let me take the capex higher to Rs 900 crores, and suddenly you double that capex because of the preparatory work you have done at the Kurnool plant. But I am assuming these forecasts what you do would not be a function of 15, 20 days decision, right? I mean that preparatory work or whether a Kurnool has to expand, you would have taken that call six months back. Can you explain that?
Management: You should not be very sarcastic. When the competition is picking up, and others are consolidating, we should also consolidate in faster pace, rather than in slow pace. So do not think that we do not know how to plan it. We also have good plans on all these things. Sometimes, when the big players are coming, we should also prepare to face the challenges.
Nitin Arora: Sir, my question is not on the planning. What I am trying to ask you is that competition will further increase, right? In our industry, competition never goes down, right? As you always told, we have learned from you that competition is something will always be there in the system. I need to work on the viability of the project. Now even you talked about Maharashtra expansion. So would that come in next quarter announcement? Or how we should l ook at it that this is the number?
Management: Maharashtra expansion, whenever it is finali sed, it will be announced. For example, O disha I have not told you before . Unless the board approves it, I cannot inform you. Based on the Board ’s approval on a particular date, I can give the capex plan. Today, my Board has approved for go ahead of this project because it was kept on hold. Now the demand is good. We have grown by ~ 55% in the first quarter . We have shown another highest growth of 22% in the second quarter . In Odisha , we ha ve already achieved 100% capacity and there is a good

demand for our product. Yo u should also appreciate that I cannot say certain things without approval of my Board. When ever my Board approves my Maharas htra projec t or Karnataka project, definitely we will inform .
Nitin Arora: I got your answer, Sir. Can I go for the second question?
Management: Yes.
Nitin Arora: Sir, what is the primary reason for the working capital increase? Because I remember whether in the last two quarters, you were saying that you had inventory of low fuel cost because it would not hit us so much as compared to the industry ?
Management: Yes, we were havin g very low inventory . Now with the lot of uncertainties, I have to build up my invento ry. W hen the prices were going ups and down, we thought we could wait for some more time. For example, the pet coke prices were US$ 180 to US$ 190, and then suddenly it dropped to US$ 160. Then last week again , it had gone up to US$ 185. W e do not know what is going to be the price for the next month. D epending upon their dynamics , I have to see whether I should build up the stock or not. Normally we source pet coke from BPCL; it went for maintenance shutdown for one month. Therefore, I have to bui ld up the inventory in the month of September .

Moderator: The next question is from the line of Mr Vinay an Individual Investor.
Vinay: My question is for the Chairman. Sir, first, I would like to highlight that I am a very old investor in The Ramco Cement s, and I have immense respect for, Sir, what you and Mr. AVD have done in creating shareholder wealth in this company for the last decade. Sir, having said that ; however, if I look into the last couple of years, I have noticed that Sir, we as a group have taken up huge debt. Be it Rajapalayam Mills which has nearly INR 1,000 -odd crores net debt, Ramco Systems INR 70 crores and now even The Ramco Cements , I think is at its all -time high debt of INR 4,700 crores. So, Sir, given this situation of our gro up and we all know that The Ramco Cements is really the cash cow in this entire group. So having given this background, I wanted to know that as a group, how we are going to manage this challenge of high debt. In addition, as a shareholder of The Ramco Cement s, I wanted complete assurance from your end that the cash cow, which is The Ramco Cement s, we use the funds only to deleverage The Ramco Cement s and to take care of the capex. And if possible , not use it in other way. That is my first question Sir.
Management: Yes, we will not use this anywhere else. We do not do that.
Vinay: Sir, my next question is regarding two of our associates. So I was just going through today this related party transaction , which has come out. So there is this Madurai Trans Carrier. Now I see we have spent almost INR 36 crores, which is huge in first half of ’23. So I wanted to understand why is this such a large number? And what is the spend for what service are we taking?
Manage ment: Madurai Trans Carrier, they were owning two aircrafts and one helicopter also. We used to hire them. Then now, one helicopter and one aircraft were sold. You know, the aircraft s were owned along with other entities for joint usage.
Vinay: So, Sir, this 36 crores that we have spent this year, like for the full year, we have any figure because like our quarterly, this quarter ’s PAT is INR 12 crores, and we have spent almost INR 36 crores here. So is this part of core operating business or what is it an d if you can control this spend?
Management: I told you that the expenses would be controlled.
Vinay: Lastly, Sir, there is The Ramco Cement s associate l ynk logistics, there is not much information about

what this company does. But just if I go through the annual report last year, it made an INR 20 crores loss and this year, almost INR 36 crores loss. So what is the strategy here?

And like what exactly is the business that we are trying to do? And how will FY23 turn out to be for this associate? Thank you.

Management: See, the compan y was originally started by Mr. Abhinav for last mile delivery. Then while doing that business, we are able to understand that the models should be little different and there is no big scope for that last mile delivery ; we had many learning s from that business. N ow we are doing e -commerce, tech-based distribution of FMCG for the kirana stores . They are connecting the brands to the kirana

stores. Now Lynk have taken distribution rights for almost 25 competing brands and they have common facility and tech-based system for the distribution of goods to kirana stores. They buy goods, store goods, also deliver goods and collect payment from them. Now they a re doing around INR 600 crores turnover per annum.

Vinay: Sir, just last, my statement, not a question, Sir, I am an investor in The Ramco Cement s, and I understand cement business. Now this new logistics is in completely some unrelated business, it is making losses, and the losses are just growing. So if we can take some decision, keeping in mind the shareholder , would be really appreciated

Management: Last one year, there is no investment from The Ramco Cement s.

Vinay: Sir, that is really comforti ng. Thank you, and all the best, Sir.

Moderator: The next question is from the line of Mr. Amit Murarka of Axis Capital

Amit Murarka: Regarding the O disha GU expansion, while it is appreciated that it is a low -cost expansion. I was just wondering about the rationale for the same because a couple of quarters back actually, you were saying that East is not making much money. And even now, I don 't think the situation is too different, particularly with new c apacities coming in. So what are the thoughts around further expansion into East India?

Management: I told you it is not making much when compared to South. I never told you that it is not making money at all. We have large limestone reserves in Andhra Pra desh and to use that, definitely, we have to be in the Eastern market. The nearest market is Odisha for us to grow. We are seeing how to reduce the cost and increase the profitability there; we are making all the efforts. Now almost we achieved 100% capaci ty in Odisha plant , there are m any inquiries for our new products mainly from the infrastructure projects. So that is why we are embarking upon this expansion. It may not be as profitable as South market, but still it is profitable . We are not incurring loss.

Amit Murarka: And also in your presentation, there is a comment that you moved some clinker from Andhra Pradesh to the Tamil Nadu plant. So this is only a short -term arrangement, right?

Management: Yes. It is a one -off item. We took ma intenance of two plants in TN at a time . We don 't want to lose market share in Tamil Nadu and Kerala.

Amit Murarka: Could you provide any update on the auction, the limestone auction in Tamil Nadu?

Management: It is put on hold currently .

Amit Murarka: Any idea by when will it be revived on...

Management: I have no idea; we have to wait until the government publish it in the gazette

Moderator: Thank you. The next question is from the line of Mr Prateek Kumar from Jefferies.

Prateek Kumar : My question is on your fuel cost. So based on data on the presentation, in second quarter this quarter, basically, we have reali sed US$ 199, last quarter we said US$ 178. And in the fourth quarter '22, we also said US$ 199. So actually, versus fourth qua rter '22, our fuel cost has sort of not increased. But our like -for-like power and fuel cost looks INR 500 higher at least. So there is a disconnect there...

Management: Sorry, Sir, can you r

epeat?

Prateek Kumar: So there is a data on your presentation, w here you talk about blended fuel consumption per tonne of material during the quarter, during the last quarter and every quarter we give this data. So in current quarter, we have given that as US$ 199, last quarter we gave that number as 175 -odd...

Management: It was US$ 164...

Prateek Kumar: Sorry.

Management: 1Q it was US$ 164, 2Q it is US$ 199...

Prateek Kumar: Okay. Your presentatio n suggested something else. So 2Q, it said US$ 199, in 1Q it said US$ 174

Management: No, see that. 1 Q is US$ 164 and 2 Q is US$ 199. See half ye arly is US$ 181. Q1 is US$ 164. Q2 is

US$ 199.
Prateek Kumar: How about 4 Q last year, same number 4 Q last year, same number?
Management: 4Q last year, okay. Just let you know. We do not have it readily with us . I will give you, be fore end of this call.
Prateek Kumar: So in first quarter call, you are expecting around 5% to 6% kind of inflation in 2Q, while our fuel inflation seems like...
Management: That was expectation, but unfortunately, it fluctuates so much . My last purchase price of pet coke was US$160. Now again, it had g one up to only US$ 180 in a matter of 25 days.
Prateek Kumar: For 2Q expectations, you talked about fuel inflation halfway through...
Management: Yes, because we did not have more than 45 days stock . We changed the fuel to imported coal depe nding upon availability while conserving pet cok e.
Prateek Kumar: And so moving forward is this US$ 199, which we have reali sed in this current quarter, how should we expect it based o n current set of inventory?

Management: 3Q may come down by US$ 10 to US$ 15, but 4 Q, again, it may go up. That is the current tr end as of today. Tomorrow it can change...
Prateek Kumar: My second question is on capex. While we completed this capex of a new unit, we have closed this capex probably at INR 3,000 crores, which first of all, is it INR 3,000 crores? Or is t his still like sort of ongoing?
Management: This will not exceed that amount . We have enlarged the scope of the project. Besides, during the execution of project, t he steel price s had sharply increased .
Moderator: Mr. Kumar we may request that you return to the question queue. The next question is from the line of Mr. Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: The first question is more on a medium -term outlook on our capacity. If we are to five years down the line, I mean the – what is the ambition in terms of increasing the capacity from 21, 22 million tonnes. And the second question is on th e debt side. I mean what is the comfort level of debt, both absolute and in terms of leverage. I mean, do we expect next one or two years to focus on de - leveraging and reduce to some comfortable level or we continue with our expansive plan, our growth plan.
Management: Firstly, our cash flow has been affected by I NR 400 crores to INR 500 crores during the first six months. So that really made you to be uncomfortable , otherwise whatever I committe d earlier, we might have met our commitment. Secondly, we have taken up R.R. Nagar project one year ahead of the schedule since our Kurnool project was delayed, we thought we can make up by saving in R .R. Nagar project. That is why; we have taken a little ahead of this schedule. Otherwise, we wanted to take up RR N agar project only six months or one year later.
See, as far as 2022 -23 is concerned, we are expecting 25% to 30% growth definitely. As on today, our growth is around 33%, and year -end definitely I will maintain the 33% growth. Then next year, we will review and there are many expansion program mes on the drawing board. But depending upon the cash flow, depending upon the debt equity ratio, dividend declaration , we'll decide. A s and when the Board a pproves , we will inform

you. We have many expansion plans o n the drawing board.
Whenever the cash position improves, then definitely we will take the approval from the Board and we will inform you.
Sumangal Nevatia: Sir, any level, which we are looking wh ere we can again resume and expansion plan?
Management: This is comfortable level. So even in 2010, we had almost INR 3,000 crores borrowing for the capacity of 7 million ton nes and successfully, we were able to make zero debt company in 2014 - 2015. Therefore, this is not very alarming. At the same time, okay, now because of uncertainties, we have to be careful too.

Sumangal Nevatia: And Sir, again, in terms of the medium -term expansion plan, I mean, what are the new regions we could enter? Or is it m ore will be consolidation and expansion in our existing regions?
Management: The existing region, still we are seeing a lot of opportunities because now the infrastructure and a lot of spending is there, we are able to feed that market. So previously, we u sed to concentrate only on trade , now we are interested in non -trade also particularly infrastructure projects. In Karnataka, there is a lot of scope. The infrastructure market itself would take care of our expansion. Whatever growth we wanted, if we feed the infrastructure, then definitely we can market it.
Moderator: The next question is from the line of Mr. Rajesh Kumar Ravi from HDFC Securities.
Management: Before that, some one asked about the Pet coke consumption cost. 1Q was US$ 85, 2 Q was US$ 97.

3Q was US$ 149, Q4 for US$ 199. This year, 1 Q was US$ 164, 2 Q is US$ 199. This is the
consumption rate. Sorry, you can proceed with the questions.
Rajesh Kumar Ravi: While you mentioned the blended fuel costs on a per ton ne basis, I believe on a per kilo cal this
number may vary significantly because of the different calorific mix. So would it be prudent if you
could share what was the fuel cost on a per kilo cal...
Management: Per kilo cal will be around INR 2. 70
Rajesh Kumar Ravi : And 1 Q, what was the number?
Management: INR 2.65
Rajesh Kumar Ravi : So this is confusing to most of us, Sir
Management: This all depends upon fuel mix
Rajesh Kumar Ravi : What I'm saying is from INR 2.60 per kilo cal on consumption basis. So from INR 2.60 to INR 2.70,
there is hardly any jump while if I see – if you see the input cost or the – it is almost gone up by INR
400 crores to INR 500 QoQ, which has dented the numbers. So how do we explain t his? Because if
it was from 2.2 to 2.7 , how do we reconcile this
Management: We will g ive you the accurate figures a little later. These figures are based on the consumption cost
and i t depends upon mix.
Rajesh Kumar Ravi : But I am asking on the blended total consumption on a per kilo cal basis.
Management: No. What I have given it to you is the cost of my pet coke I have given to you
Rajesh Kumar Ravi : But that is not the blended fuel cost, right? That is only your pet coke cost which mix is changing
every quarter because the market is volatile when we are optimi sing our sales mix.

Management: We will g ive you the details
Rajesh Kumar Ravi : For the next question , pertains to this capex number, sorry if I missed in your earlier remarks . What
has led to the INR 800 crores to INR 900 crores increase in the capex number versus 1 Q estimates?
Management: R.R. Nagar modernization and limestone beneficiation plant are not include d earlier since the board
did not approve it at the time. I can give you the guidance only if the capex is approved by the Board.
Rajesh Kumar Ravi: And you mentioned that on the leverage side, you are comfortable. Therefore, if I look at net debt -
to-EBITDA is already at 4.7x...
Management: Do not take this quarter. This quarter is o

ne of the worst quarter in the last 10 years. Kindly check
what my EBITDA was before . Based on one quarter, do not judge the ability to meet the obligations
Rajesh Kumar Ravi: So where I ’m coming from is that next two quarters, you are mentioning that the fuel inflation will
remain sharp and elevated only , you’re looking at sharp and cool down and next quarter, it will again.
So the earnings may remain impacted, and you will have ramp -up costs also for the Kurnool project.
Management: Ramp -up cost of Kurnool production is already included because we started producing clinker
Rajesh Kumar Ravi: But ramp -up in 2Q will be only for 8 to 10 days because Kurnool was commerciali sed on the back -
end of the quarter?
Management: No. W e started producing Clinker from June.
Rajesh Ku mar Ravi: So this Kurnoo l clinkeri sation cost inflationary impact is built into the numbers.
Management: Yes.
Moderator: The next question is from the line of Mr. Ritesh Shah from Investec.
Ritesh Shah: Sir, two questions. Firstly, power & fuel cost is definitely something, which is beyond our control.
But Sir, if I had to ask you what are the variables that the company is focusing on when we can
actually optimi se on the cost. This can be any of the variables on the logistic cost or any oth er cost
or discount structure to retain the GST benefit as part of the discounts where the companies cannot
claim. Is that variable under our control?
Management: Whatever discounts we are giving, is GST adjusted , Okay. To that extent, we do not lose GST on
discounts. We do not give any discounts outside GST . Since our volume has gone up almost by 37 %
for the first six months, every other element per ton ne has come down...
Ritesh Shah: Okay. Sir, my second question is on capital allocation. Du ring the call, you indicated a couple of
reasons for going in for incremental expansion. Firstly, you indicated energy balance and hence,
basically, we are announcing incremental capex. Secondly, you indicated lower capex intensity and

third ly, you indicat ed that the change in market order. Sir, basic question is, when we are looking at
growth, and you indicated Maharashtra expansion potential scope over there. So the question is, what
is the minimum hurdle rate minimum ROC that we look at when w e are announcing any incremental
capex?
Management: Yes, R OC expecting minimum 15% to 16% .

Ritesh Shah: This is post tax, Sir?
Management: Yes.
Ritesh Shah: Sir, then if I have to just remind a couple of years back and look at the situation in Eastern India right now, do you think we are able to cover that? And if at all, we had to go into Maharashtra, will we be able to cover up for 15% to 16% ROC ?
Management: See, when I started operations in West Bengal, my profitability was much more than what we used to get in Andhra Pradesh. For a lmos t seven years, EBITDA per ton ne in the eastern region was much higher than EBITDA per ton ne from Andhra Pradesh region. T he situation can change at any time. These are very dynamic. We have seen the lowest price . Kerala price is even lower than Karnataka for one or two months. Now the p rices are better than Karnataka. These are very dynamic. Based on one quarter or one year, we cannot take the decision. W e have to see the long -term.
Ritesh Shah: Sir, I just wanted to squeeze one particular variable. Sir, what I have seen in all the expansion that we have, we do not have any fiscal incentives from the state government. However, the competition also has that. So they are always better equipped on ROC given pricing is there, cost is there, those variables are there, but they have a structural advantage over us when it comes to fiscal incentives. Any particular reason that why we ha ve not been able to extend this out of state governments...
Management: Unfortu

nately, we are doing our operations in the d eveloped states. For example, in Tamil Nadu , industries are much developed than other states and Tamil Nadu do not want to give any incentive. Andhra Pradesh provide some incentive but we are not eligible to avail it . Our grinding unit in Wes t Bengal may get some benefit but it is not notified. In Odisha, the cement grinding unit s are in red category and we are not entitled for it. Whereas Madhya Pradesh, Rajasthan, Gujarat and even Karnataka provide some sales tax benefit. When I put up the plant in Karnataka , I will be entitled for it. However, as on today, I am not gettin g sales tax benefit from any of the state gov ernments . Based on sales tax benefit alone, we cannot put up the plant because it is available o nly for limited period.
Moderator: The next question is from the line of Mr. Satyadeep Jain from Ambit Capital.
Satyadeep Jain: A couple of questions. On the detail – thank you for all the details on the capex. On that, there is a mention of capex for the limestone mine at Jayanthipuram. Can you please explain what is going on there?

Management: In Jayanthipuram , we got a big mini ng lease, almost 100 million ton nes of limestone reserves which is situated 10 to 15 KM s away from our plant , now I am entering into an agreement with railways for 10 years to avail 50% concession in railway freight for transport of limestone from mines to my factory , which is a dedicated line . I have already a railway siding . We have to create railway facilities like loading, unloading facilities at my mines. This will definitely reduce my logistics cost in the long-term. The c ost of transportation limes tone from the Budawada mines, to the plant will be low.
Satyadeep Jain: On the Karnat aka one, I guess the limestone block is so close to B engaluru , which is why it seems the land acquisition cost is so high, which is also reflected in the land acquisition that you ’re budgeting for the next one -and-a-half years. Is there a risk that , given the location, the capital cost may end up being higher and is good environmental approvals also being slightly more difficult given the location it is so close to a main city, which is somewhat rare for a cement plant .
Management: It is not near B engaluru . It is near Wadi only. It is a vast area. It is not a grinding unit . It is an integrated plant. Therefore, we would buy land for the mines as well as for the factory. We have to buy around 2,000 acres. W e will plan the capital cost very carefully and provide you guidance.
Satyadeep Jain: Lastly, if I can squeeze one question on the GU expansion that you are outlining for Odisha I would imagine the clinker is between the int egrated unit at Jayanthipuram , Odisha, and Vizag . I would imagine there is no spare clinker in Jayanthipuram . Would I be right in imagining that some of the spare clinker from Kurnool would be sent to Jayanthipuram for this?
Management: No. Currently, Jayanthipuram is supplying to some of the Rayalaseema areas. These are very near to Kurnool plants. Hence, Kurnool will supply to some of the Andhra Pradesh markets going forward. Therefore, these spare clinkers will b e used for Odisha grinding . That will be sufficient.
Satyadeep Jain: So you are saying there is spare clinker at Jayanthipuram for the GU in Odisha. Right?
Management: Yes.
Moderator: The next question is on the line of Mr. Sanjay Nandi from Ratnabali Investments Private Limited.
Sanjay Nandi: Thank you for the opportunity, Sir. My most questions are answered. Thank you so much, Sir. Thank you.
Moderator: The next question is on the line of Mr. Hiten Boricha from Join dre Capital. Please go ahead.
Hiten Boricha : Thank you for the opportunity, Sir. So, my question is on the premium product specifically. So, currently in this quarter we h

ave about 25% of our sales from premium products. I just wanted to understand what is the total capex we have spent on this premiu m product and what would be our revenue potential from this?

Management: We have spent around INR 200 crores as capex towards creation of the new Silos, packing plant and others infrastructures . The revenue projection is around 30% to 35% of our topline.
Hiten Boricha: 30% to 35% of the topline. It will be done in over the next two to three years period.
Management: Yes. Possible …
Hiten Boricha: I just wanted to understand on the asset turnover of this capex .
Management: More than the asset turnover, you would see the brand image. Nobody gives cement for different applications. That gives us a lot of mileage in the brand also. That is why our growth is much faster than other companies are.
Hiten Boricha: The reason I am asking this question is because this product ha s higher margins around 25% to 30%.
Management: No, it is not 25% to 30%. It is Rs 25 per bag. It is almost 8% not 25% . I told you it is 25% to 30% of my top line.
Hiten Boricha: No, Sir. What would be the EBITDA margin for this product?
Management: EBITDA margin will be 2% to 3% higher than the normal product . This will give you a lot of brand image. In addition, growth can be faster than other companies because I have specific products for specific a pplications. Therefore, that is picking up well.
Hiten Boricha: Okay and what would be the price difference compared to a normal product ?
Management: It range from INR 15 to INR 25 depending upon the products. Again, the INR 25 will not be fully realized because I have to provide special packing that will cost me around INR 5 more . Definitely, it will give me higher price than normal one. It also improves our brand image and accelerates our growth.
Hiten Boricha: So actually, I read somewhere the revenue potential from this is around INR 200 crores to INR 250 crores.
Management: That is for our Dry Mix plant.
Hiten Boricha: And that contributes around 10% to our revenue?
Management: No. I told you that are four plants around INR 250 crores, this is only the beginning. We can put up plants in many place s. Each plant will contribute around INR 80 crores.
Hiten Boricha: So how many plants do you have of this...

Management: Now we have commissioned two plants. For t wo more plants , we have placed orders and the construction is going on. That will be commissioned next year . R&D is going on to develop the value added products for the market a nd the cha nnel will be different. W e have to carefully market it. We cannot market this in normal channels.
Hiten Boricha: So just a clarification, INR 80 crores, you mentioned revenue potential from, one plant, right. Per plant INR 80 crores?
Management: Yes.
Moderator: The next question is from the line of Mr. Kamlesh Bagmar from Lotus Asset Managers.
Kamlesh Bagmar: Just on the part of the capex, like as we had mentioned that we are going to have the enabling facilities where we have already spent for Kurnool and these locations. So when can we expect the second line at Kurnool because we are already spending a part of that?
Management: I will wait for the Board approval . Once my Board approves, I will definitely keep you informed.
Kamlesh Bagmar: But can we expect in over the next couple of years?
Management: Let my board approves and let my cash position improve , definitely we keep you informed.
Kamlesh Bagmar: And Sir, secondly, on that Karnataka grinding unit, like say, a quarter back, we had mentioned that we would extend roughly around INR 350 -odd crores on that grind ing unit and also was expected to start in a six month s' time?
Management: So in the mean

time, what we have done, we had revived our old Mathodu plant as grinding unit, which wa s shut down earlier . Now , we are dispatching 1,000 ton nes from that unit . We have plans to increase the capacity to 2,000 ton nes by minimum capex from INR 10 crores to INR 15 crores. We got Mining lease also, then we have to decide, whether I have to go th ere or we can do something in Mathodu to increase the capacity that we are internally deliberating .
Kamlesh Bagmar: But the clarity on that expansion of the capex would be there in the next six months ' time?
Management: The next six months, definitely can get…
Kamlesh Bagmar: But that would be with in that range of INR 300 crores to INR 350 crores.
Management: It can be lower than that also. It all depends upon what are the facilities that we would like to have and what is our expansion plans in the future. In Odisha, we initially projected to have the expansion

programme in the future and that is the reason we spen t money for preparatory work to accommodate second line. N ow second line i s possible with INR 13 0 crores. May be, the next 1 million ton can be deployed lower than this.

Kamlesh Bagmar: But then the proposed spending on that Karnataka grinding unit, would that be on the Board, or as of now, it has been put o n hold, what is the s tatus?
Management: We are keeping the option open. With the Mathodu plant as well as with the grinding facilities available in Kurnool, definitely, we can market the clinker produced from the Kurnool plant reasonably . However, it is not going to enhance my market share in cer tain parts of Karnataka. So that grinding unit would be useful. During the last two quarters , cash position is not that good and we are thinking at what point of time, we should get there. Otherwise, already, we identified the area.
Kamlesh Bagmar: And Sir, for this Bommanahalli project, INR 350 crores land acquisition, which we have mentioned in our presentation. So eventually, like what will be the timeline for that Greenfield plant or like say the commitment w ith the state government for coming out with the plant or the expansion on that particular location.
Management: Now just last week only, we made application to the state governmen t because the Karnataka procedure is different . Even before buying the land , we will take the approval from the state government. We will let you know the progress. Anyhow , we have to complete the project within four years.
Moderator: The next question is from the line of Mr Shravan Shah from Dolat Capital.
Shravan Shah : Yes. Just two things, first, what was the trade share in 2 Q?
Management: 69%
Shravan Shah: And Sir mentioned, correct me if I ’m wrong, Sir, mentioned that for the full year in terms of volume, we can see the same 30% kind of growth and the next year 23%, is it...
Management: Yes, you are right.
Moderator: The next question is from the line of Mr. Rajesh Kumar Ravi from HDFC Securities.
Rajesh Kumar Ravi: On this volume growth, while you are delivering phenomenal growth, would it be because the market will not be going in these two places at even half the rate. So what is your thought in terms of the implications on the pricing and margins?
Management: Pricing is very dynamic. I am just hoping on a lot of infrastructure spending, so that is why I am projecting this increase because during the last six months, we are able to get a lot of inquiries from NHAI and other infrastructure projects. What we are getting , is much more than what we expected. That is why we are confident we will grow by 30 % in th e next six months also. Our volume will not put any pressure on prices.
Rajesh Kumar Ravi : No, Sir, if trade versus non -trade, how does the margin profile differ Sir?

Management: No, it is almost same. There is no big difference. The adv antage in non -trade is the saving s in logistics cost. There is no need for any stocking since product goes to the site directly from the factory. There is no post discounts, gold scheme and the price is fully realizable .
Rajesh Kumar Ravi : And two more qu estions. First is , this year capex would be around INR 1,700 crores. So fair to assume that subsequently, even your Karnataka project will also come into progress the work on Karnataka project may start. Therefore, INR 1,500 crores to INR 2,000 crores annual capex run -rate is what you would be looking at…
Management: No, it will not be that much. Definitely, it may not be INR 1500 crores to INR 2000 crores.
Rajesh Kumar Ravi : Because currently only for next year y our target is around INR 700 crores, INR 800 crores.
Management: Yes. W ith the current cash flow and capital expenditure approved by the Board, that is the projection.
Moderator: The next question is from the line of Mr. Dharmesh Shah from Emkay Global.
Dharmesh Shah: So, Sir, we see FY23 -24 earlier capex guidance, we have almost increased by INR 12 billion. I am just trying to understand the figure because we do not include the INR 500 crores for R.R. Nagar plant, INR 130 crores for Odisha, INR 160 crore s of Budaw ada and INR 350 crores for Bommanahalli . So if you see this INR 1,200 crores is mainly because of increase in this. So do we have to factor in any material figure for the preparatory work for the second line of Kurnool?
Management: Yes, I told y ou. It is included . My second line in Kurnool can be put up in not more than INR 550 crores to INR 600 crores.
Dharmesh Shah: Sir, I am just trying to understand this incremental INR 1,200 crores, mainly because we are spending in this project. In addition, it seems that we are not materially factoring any capex for the second line of Kurnool?

Management: Many silos that has been built will accommodate the second line. In addition, the railway siding has been built will take care of the second line. Many of the infrastructure also we have extended that will take car e of the second line. T he foundations for the second line is also already ready.
Dharmesh Shah: So can we get the figure like how much capex we are already factoring for the second line?
Management: Around INR 650 crores, already, we have mentioned in our annual report.
Dharmesh Shah: And Sir, second question is , just trying to understand from a capital allocation perspective, like in such an inflationary environment, why we are already spending for the second line, given that we already have a high debt in the books. So I am just trying to understand the reason f or spending or porch spending for the second line?

Management: Dharmesh ji, please go through your reports every day . What are all the exp ansions announced by other competitors, please go through that. What is announced by us also you can go through that, whet her we are conservative , or we are very aggressive, you also can put it in your report.
Moderator: The next question is from the line of Mr. Prateek Kumar from Jefferies.
Prateek Kumar: This follow -up question to earlier question. So you talked about th e fuel consumption cost in fourth quarter last year and current quarter, which is actually same at US$ 199, so why our reported power & fuel cost per ton is higher by like INR 500 per ton over the same period?
Management: Yes. See, there are two things. On e is exchange rate. The exchange rate has depreciated, that is why we had told in dollar terms. So rupee depreciated by more than 12%. Also, consider OPC/PPC cost due to change in mix.
Moderator: Ladies and gentlemen, that is the last question. I now hand the conference over to Mr. Amit Srivastava for his closing comments.

Amit Srivastava: Yes, thank you very much, Sir, for your valuable inputs, and clarification around capex. And that concludes t his conference call for today. Thank you everyone for joining us.
Management: Thank you, Amit Srivastava. The call is nicely arranged. Thanks for all the participants. The questions are very insight ful for us.
Amit Srivastava: Yes, thank you, Sir.
Moder ator: Thank you. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference call. We thank you all for joining us. And you may now disconnect your lines. Thank you.

Call: Feb 2023

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THE RAMCO CEMENTS LIMITED

11 February 2023

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra- Kurla Complex,
Bandra (E), Mumbai – 400 051.
Scrip Code: RAMCOCEM
BSE Limited,
Floor 25, “P.J.Towers”,
Dalal Street,
Mumbai – 400 001.
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Conference Call - 3QFY23 Results

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In continuation of our letter dated 7th February 2023 , providing you the weblink of the Audio Recording of Conference Call with respect to 3QFY23 Results held on 07.02.2023, organised by Antique Stock Broking Limited, we attach the transcript of the conference call and the same is also made available at –

https://ramcocements.in/cms/uploads/Ramco_Cements_Earnings_ Transcript_3_QFY_23_0cb8748061.pdf

Thanking you,

Yours faithfully,
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM
SECRETARY

“The Ramco Cements Limited
Q3 FY ’23 Earnings Conference Call ”
Febru ary 07, 202 3

MANAGEMENT : MR. P.R. VENK ETRAMA RAJA – MANAGING DIRECTOR
– THE RAMCO CEMENTS LIMITED
MR. A. V. DHARMAKRISHNAN – CHIEF EXECUTIVE

OFFICER – THE RAMCO CEMENTS LIMITED
MR. S. VAITHIYANATHAN – CHIEF FINANCIAL
OFFICER – THE RAMCO CEMENTS LIMITED

MODERATOR : MR. KRUPAL MANIAR – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Ramco Cements Q3 FY '23 Earnings Conference Call, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Krupal Maniar from Antique Stock Broking Limited. Thank you, and over to you.
Krupal Maniar: Thanks, Ryan. Good evening and a warm welcome to everyone. On behalf of Antique Stock Broking , we welcome you to the third quarter FY '2 3 Earnings Call of the R amco Cements Limited. On the call, we have with us Mr. P.R. Venk etrama Raja, Managing Director; Mr. A. V. Dharmakrishnan, CEO; and Mr. S. Vaithiyanathan, CFO of the company.
I would now li ke to hand over the floor to the management for their opening remarks, which will be followed by interactive session. Thank you, and over to you, sir.
P.R. Venke trama Raja: Good evening. This is Venk etrama Raja, the Managing Director speaking. I warmly we lcome all of you to the earnings call of R amco Cements to discuss the unaudited results of quarter 3 financial year '23. Thank you all for taking the time to join us on the call, and we hope all of you have seen the results. Let me give you a quick update on the market scenario. The current demand for cement is good in the individual house builder market and as well as the infrastructure segments.
In the budget of 2023, increased allocation is made towards the PMA Y scheme, capital outlay for railways, urban infrastructure development, transport infrastructure projects for end -to-end connectivity for port s, steel and fertilizer sectors etc, for around INR 14 lakh crores. This is a big positive for the cement industr y, which I am sure will sustain the momentum of the cement demand in the coming medium term. The factors like good monsoon, water levels and reservoirs and upcoming elections is also expected to boost the cement demand further.
Then, I would like to summar ize the key highlights of our performance in the third quarter. Our revenue increased year -on-year from INR 1,556 crores to INR 2,018 crores for the quarter 3 financial year '23. This is the first time that the quarterly revenue has sur passed INR 2,000 crores mark. EBITDA for the quarter has increased year -on-year from INR 238 crores to INR 294 crores in quarter 3 amid strong volume growth . Blended EBITDA per ton for the quarter stood at INR 823 per ton as against INR 719 per ton in the corresponding previo us period. During the quarter, railways have re -imposed this busy season surcharge of 15% on inbound and outbound material movements, which resulted in a reduction in EBI TDA by around INR 50 per ton. Profit before tax stood at INR 97 crores during the quar ter as against INR 113 crores during the corresponding period. This is despite an improvement in the average price of cement during the quarter. However, we could not cover a fuel cost increase since the pet coke/coal prices remain at elevated levels . The profitability of cement business continues to be challenging in the last few quarters in view of high fuel prices trending for such a long time amid geo -political

uncertainties. However, we are optimistic about long -term prospects and opportunities in the business .
I would like to update you on the status of our capacity expansion. The production in our Kolimigundla plant has stabilized in quick time and the plant load factor for clinkers around 55% in the quarter, which just ended. This is improving s teadily. Out of the 1

2 MW of WHRS
in Kolimigundla, 5 MW was commissioned in Nov’22, another 3 MW will be commissioned in February i.e by end of this month, and the balance 4 MW will be commissioned by May 2023. The TPP of 18 megawatts and railway siding is expected to be commissioned i n the financial year 2024. T he third kiln at R .R Nagar will be commissioned before by the end of March 23. With regard to proposed expansion capacity of dry m ix products in 2 locations in Tamil Nadu ,

production has started in 1 unit in December 22, and another unit is expected to be operational by February 23. The remaining 2 units in AP and O disha will be commissioned in financial year '24. During the quarter 3 of financial year '23, the company has incurred a capex of INR 390 crores, including for the above -mentioned capacity expansion program.
The ne t debt for the company as on 31/ 12/2022 is INR 4,556 crores as compared to INR 4,741 crores as on 30/9/2022. Out of which INR 564 crores is short -term loan. The average cost of interest borrowing for the quarter 3 financial year '23 has increased to 7.13% from 5.44% in the corresponding previous year period . This increase is due to the repo rate increase of 225 bps during the current year. This ends my short introduction to the cal l. Now we are open to questions.
Moderator: Our first question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: My first question was around the capex update. Like in the last call, you had shared the detailed project -wise update. I think in this quarter presentation, which is not there. So I just wanted to check, like is there any change from the last quarter plan or we are still there?
Management: There is no change in the plan.
Amit Murarka: Okay. So the overall capex guidance remains what it was guided for in the last quarter?
Management: Yes.
Amit Murarka: Okay. Got it. And secondly, just a question on the debt levels and the working capital li ke generally because fuel costs are coming off, there is good working capital release we are seeing across companies. So how much is the reduction are you expecting now in Q4?
Management: Regarding working capital...
Amit Murarka: Yes.

Management: It will be more or less the same because we do not hold more inventory, and we do not have that much of working capital. Therefore, there will not be any release on working capital as far as the Q4 is concerned.
Amit Murarka: Okay. Sure. And like on power and fuel cost, like what kind of reduction would you be expecting now with the fall in the coal cost and everything that you have seen in the last couple of months?
Management: So fuel prices have started increasing again. There was a brief fall in one month . We are not sure about what is going to be the prices in coming months . We expect that the average prices will be same as Q3.
Amit Murarka: So 2.43 per kcal what you have guided for what was in Q3. So you were saying that it will be more of a flat in Q4 as well.
Management: Yes.
Amit Murarka: Okay. I will come back in the queue for more questions.
Moderator: Thank you. Our next question comes from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain: Sir, first question on Kurnool , in the pre sentation, it mentioned that there are rate charges for sending clinker from Andhra Pradesh to Ta mil Nadu. Is it given that Kur nool has commissioned, can you maybe talk about where that excess clinker is going between Tamil Nadu and East. And what would be the strategy in the next 12 -odd months, and you would have, I guess, the Eastern GU also come up 0.9 million tons in the next few months.
Management: First of all, from Kurnool , there will not be any movement to East. Let me make it very clear. In Kurnool , the cement grinding has stabilized only in the month of December. So October and Nov

ember, we moved some Cl inker to Salem grinding plant, Chennai grinding plant and Mathod in Karnataka. So, then from coming quarters, movement to Salem and Chennai Grinding Plant will marginally come down as we started making cement in Kolimigundla and cement will move to the various markets. So, in the coming quarters we can say that the clinker movement will relatively come down from Kolimigundla to Tamil Nadu mark ets.
Satyadeep Jain: Okay sir, secondly, on that Karnataka green field plant, any update on any progress on land acquisition since the last quarter
Management: We are prepared for land acquisition, but government approval is awaited. Once government appro val comes, we will start the land acquisition. We are prepared for that.
Satyadeep Jain: So it has not started yet?
Management: Sorry?
Satyadeep Jain: The land acquisition has not s tarted yet.

Management: It is not started yet because government approv als are awaited.

Satyadeep Jain: Just one more clarification question on the long -pending Tamil Nadu limestone auction. Any update or expectation on that?
Management: No, sir, so far, no. We are also awaiting for the notification from the government.
Satyadeep Jain: Thank you.
Moderator: Our next question comes from the line of Prat eek Kumar from Jefferies.
Prateek Kumar: My first question is on industry pricing trends like getting into this quarter, like after like relatively muted December and last q uarter as well, prices have continued to slip in southern region in January. Switch is implying like in fourth quarter, we might see a Q -on-Q decline in prices. Is that the correct assessment for the quarter?
Management: The prices are very volatile. We cannot assume the prices will only decline. There are chances the price will go up also because these prices are very un viable too far many players.
Prateek Kumar: So we are expecting any major uptick in pricing in near term or like this would be only in April.
Management: Possible. Definitely, anytime it is possible.
Prateek Kumar: Sir, Second question is on your capex and leverage position. So we have been able to reduce like INR 200 crores of net debt. So wh ile our cash PAT during the quarter was also similar numbers. So is there any significant delays of working capital or some sale of non -core assets, which has helped us to pay down our debt as well as do capex?
Management: See, we are planning a sale of no n-core assets that already we are discussing with many people because mainly these are land banks, which we purchase for a certain specific purpose, which is not required now. That will happen. Maybe this quarter also it will happen and in the coming quart ers also, it will happen. Number two, the release of working capital is not possible in Q4 because the pet coke price remains at the same level of Q3. And for any contingency, we also maintain the same stock level. We do not want to reduce it.
Prateek Kumar: So in 3Q, I was actually regarding 3Q, there was a release of working capital to the tune of around INR 300 crores in last quarter, I mean any sale of non -core asset sale?
Management: No, last quarter, there is no sale of any non -core ass ets. See w hat I told, there won't be any release of working capital for Q4, but definitely, there has been some release of working capital happened in Q3.
Prateek Kumar: And is it possible to quantify the value, which we derive from sale of non -core assets?

Manageme nt: May be totally we identified around INR 300 crores to INR 400 crores of non -core assets. This is only land bank nothing else.
Moderator: Our next question comes from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: I just have a question on overall the market dynamics in Tamil Nadu

. So after many years, you have chunky capacity additions happening over the next 2 years by one by Dalmia and then by Ultratech. So how do you see the market dynamics changing the pricing environment ch anging there? Overall , I mean, what would be the size of Tamil Nadu as far as demand? I mean my sense is roughly a 20 million ton s market. In the last 7, 8 years, the size has been quite stable. I mean consumption in the state level has not increased. So if you can just share some understanding on the market demand size of the overall state?
Management: Okay. Both the companies, they are not increasing the clinker capacity here. They are increasing grinding capacity. They can bring clinker from outside state. So we will see at that time . As far as I am concerned, I do not see the dynamics to change dramatically.
Sumangal Nevatia: What would be the overall demand at the state level? How has it moved in the last 8, 10 y ears?
Management: The state is growing by almost 10% to 12%.
Sumangal Nevatia: 10% to 12% CAGR in the last 10 years? Sir, I am asking the trend over the last, say, one decade
Management: One Decade, it is 4% to 5%. For this year, the market has grow n by 12%.
Moderator: Our next question comes from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Just again, I wanted to check, is there any specific reason that we have removed the capex slide from the presentation this time?
Management: See, we have given for the benefit of info and for the investors' understanding ; we gave it in last quarter. It does not mean that we should give every time. As and wh en it is required, we will be given; there is nothing new or change in the capex guidance during the current quarter . If there is a change in the capex , we would have intimate d.
Shravan Shah: So in terms of the number that last time we have spoken in terms of the next year FY '24, INR 892 crores. So is there anything like you previously menti oned in answer to one of the participants that the Karnataka expansion where you are likely to go for land acquisition. So anything, which can come up in next 1 or 2 quarters where you start and this capex number of INR 892 crores for FY '24 can go up for this number is -- you will try not to increase this number?
Management: See, actually, if you look at the previous presentation, we earmarked INR 100 crores for Bommanahalli project for Q4 and INR 250 crores in the next financial year. We are ready to

start. We await approval from the government, how quickly we go ahead with this land acquisition depends on that.

Management: Second, if the cash flow is better and when we are able to sell non -core, we may expedite this land purchase faster .
Shravan Shah: But broadly, my point was that close to INR 900 crores capex number because previously, whatever we have guided , actual number has actually much higher in last 1 or 2 years. So that is my point, is there a possibility that any new capex or the expense we w ill announce in the next 2 quarters? And this INR 900 crores for FY '24 can go up to INR 1300 cores, INR 1,400 crores.
Management: This thing we will announce, once it start kicking, then we will come to know about it . We are not envisaging any new capital expenditure as of now .
Shravan Shah: Broadly, in terms of the net debt, which is currently at INR 4,5 56 crores. Any thought process we can see next -- by March or by maybe next 6 months about how much reduction we can see?
Management: See, it depends upon the prices. If the profitability improvement subject to capex expenditure, the balance would go towards only reduction of the debt .
Shravan Shah: Odisha grinding unit 0.9 M TPA when it would be likely to start?
Management: So already, we s tarted civil construction and in another 9 months times it will be completed.
Shravan Shah: So

by September, it should be operational?
Management: Yes, September it should be. Because it is only in cement mill, all other things are in place.
Shravan Shah: Lastly, on the trade set for this quarter, what was the trade set?
Management: Trade volume?
Shravan Shah: Yes, trade volume or our trade s ale. So last quarter, we said it was close to, I think, about 69%...
Management: 63%.
Shravan Shah: 63%. Okay . We have seen a decent Q -o-Q improvement in realization. So anything specific you want to highlight from where we have seen such a significant increase and currently till January and the seven days, the average realization, is it at par with the average o f third quarter or is there any some decline, is already there?
Management: See, for January, we will discuss in the next quarter. Therefore, with regard to Q3, definitely, the prices have improved with respect to Q2 .
Shravan Shah: I was asking, is there any specific state where you have seen a higher or in terms of the price, we have between trade, non -trade, anything you want to highlight?

Management: If you see the market mix, the market mix has not changed dramatically. Of course, the prices are varyin g across the markets. If you look at the East markets, the prices have marginally improved. South also is equally improved. The volumes are good in both the markets. This variation is due to market mix and the price mix. Not much to tell about with regard to change in the trade, non -trade mix, that kind of a change has not happened.
Shravan Shah: And lastly, on the volume front, we have done a good job in terms of a 30% kind of growth in 9 months. So we were previously looking at 33% for this year and maybe a significant growth in the next year FY '24. So anything, you want to highlight, sir?
Management: We will try to maintai n our growth rate. Our concept of right product for right applications is well accepted in many segments, and the project is approved in many of the new projects. So whatever growth rate we earlier told that will be maintained.
Moderator: Our next question comes from the line of Krishna Kumar from Lion Hill Capital.
Krishnakumar: Sir, in terms of various costs that we incur on a per to n basis, how do we see that into the next one year more from the benefits of the new plants that have come in the grinding units, etcetera. So what kind of costs we can see some improvements with other things remaining same, from your investments made , either logistics cost, etcetera, what kind of improvement over the next 6 to 12 months, we can expect sir, for any thoughts you can share?
Management: Thank you, KK, for your compliments. See, number one, the Waste Heat Recovery what we implemented and now we are able to get almost 25 to 26 megawatt Waste Heat Recovery from Jayanthipuram plant, which met a lmost 50% of our power requirement there . In coming quarters also, balance WHRS capacity in Kurnool plant will be commissioned. That will also reduce our power cost by at least INR 80 to INR 100 per ton . In Tamil Nadu, we have a lot of windmills and currently , we are selling the power to the Board.
Now already we made application for converting into captive consumption that is pending with the TNEB . Once it is approved, he re also the power costs can be reduced by INR 50 to INR 80

per ton . These are the areas where there we have direct control. Pet coke price is volatile. The pet coke and coal prices are going up in 2 weeks , in another 2 weeks, it's coming down. Little uncertainty is there. Therefore, once this is uncertainty is over, we are confident there is a scope to reduce by INR 200 to INR 300 per ton .
As far as the grinding units are concerned, already, our grinding units are located at strategic locations . The advantage we will continue to get it. As far as the RR Nagar is c

oncerned, we are
expanding where already we are moving certain amount of clinker from Ariyalur plant to RR Nagar plant because RR Nagar is having almost 2 million tons of cement grinding capacity against its on clinker capacity equator clinker capacity 1.2 million tons. So we are transferring clinker from Ariyalur to RR Nagar for around 0.7 million tons . By end of March, we will be

commissioning th e third line. T ransport costs advantage will definitely accrue in the next year on day number one.
Krishnakumar: So just on the product mix, sir, we have been pioneering this right product for the right application, etc. So from that kind of mix change, si r, over 1, 2 years, is there a possibility to improve contribution by INR 5, INR 10 per bag, sir, at the level, is that kind of improvement…
Management: Now definitely , we will get more than INR 5, INR 10 per bag . So more than that, we have segmented the customer's requirement. Since we have segmented the customer requirements, we are confident our growth will be very steady. So more than the contribution improvement, what we are seeing is the segment improvement.
Moderator: Our next question comes from the line of Girish Choudhary from Avendus Spark.
Girish Choudhary: Firstly, on this volume growth performance of 19%, if you can share a little more details on what drove this performance in terms of regions or states?
Management: The regional mix has not changed, as I mentioned earlier. So the east and the south mix maintained at the same level as of in the earlier quarters.
Girish Choudhary: So if you look at your capacity utilization this quarter growth is around 7 0%, if you can share in terms of how muc h south was operating, how much east was operating, that would be helpful?
Management: I will share it in the offline. I do not have the numbers right now. I share it later.
Girish Choudhary: The other thing, which I also noticed that you mentioned about Northeast demand improving. So if you can share how much contribution is coming from this market? Is it relevant or still is just a market which where you have just started operations?
Management: See, we will not be able to share the exact contribution nu mbers. But definitely, it is EBITDA accretive and profitable only.
Moderator: Our next question comes from the line of Rajesh Kumar Ravi from HDFC Securities.
Rajesh Kumar Ravi: Hoping to see this first quarter of operations and you have been able to achieve 54% utilization for the clinker at Kurnool -- is that understanding right?
Management: Yes, that is what we have mentioned.
Rajesh Kumar Ravi: So day 1, even in the first few months, only your plant has started to yield the numbers , right?
Management: So the clinker production, we have step ped up even much earlier, but for the cement mill was not ready. Otherwise, normally any of our plant within 30 days, we go to 100% capacity utilization. That is not a problem.

Rajesh Kumar Ravi: And sir, coming back to the leverage, because this quarter also our net debt -to-EBITDA number still significantly stretch more than 4x . And given the capex expenditures for this year and next year, whatever we have guided earlier stage. The leverage ratio will remain at 3x. So you know, you are still looking at your Karnataka expansion plans. So how do you see your balance sheet deleveraging happening by when, what comfortable numbers you are looking at?
Management: No, deleveraging has already started. INR 150 crores has already reduced even the current quarter . See there are two things. We have to balance between the growth and market share . See there are many players, who are growing in the market. We also should not lose our market share. See both we have to balance it, but we are confident with

the debt level we have, definitely,
we can meet all of our obligations in time, and there will not be any default . This debt level is manageable for the size our capacity because we increased the capac ity of 12 million to 21 million tons. So with that comfortably , we can meet our repayment obligation and our goal of deleveraging both can be achieved .

Rajesh Kumar Ravi: This year you would be doing 30% or at least volume growth, but for next year you ar e looking at what a normalized 10% sort of growth or?
Management: We will do more than that.
Rajesh Kumar Ravi: More to something like any particular range you are looking at that you would continue to grow for may be two -three years?
Management: Any n umber you will be interested we will do that. Since lot of new infrastructure proje cts are coming up, our cement is approved in many new projects. So far, we were concentrating only on trade. Now we started targeting non -trade customers also, we are able t o get good orders. So we are confident very decent growth in next year also.
Rajesh Kumar Ravi: So your non -trade will also drive your volume growth.
Management: Yes.
Rajesh Kumar Ravi: But would it not be, your blended margins may not expand significan tly but on absolute basis, you can see a strong growth.
Management: It depends upon price. See the price, if the trade price goes up, non -trade price also will go up automatically. So there is no big difference, there is no big discount to trade price as far as we are concern ed. If you see really, whatever the trade price minus discount given to the dealers and considering various schemes, non -trade price is not that bad.
Moderator: Our next question comes from the line of Parth Bhavsar from Investec India.
Parth Bhavsar: I just wanted to understand that what would be your share of premium cement in Q3? I guess the PPT mentions 25% for 9M.

Management: It is 26%.
Parth Bhavsar: What was this number for last year?
Management: Last year third quarter it was 23%. But you cannot see the share percentage alone because our volume has also increased.
Parth Bhavsar: That is also good for realization, right? Because it fetches premium.
Management: Yes, you are right.
Parth Bhavsar: Even that would have he lped the price improvement right, y ear-on-year and Q -o-Q?
Management: Yes
Parth Bhavsar: And this number what was it last quarter, if you could help?
Management: Last quarter it was 25%
Parth Bhavsar: In terms of volume, I understand the mix, the geo-mix has remained the same but like if you had to put a number what would it be like, would it be in the same range as your capacity mix?
Management: No, the premium product ratios would go up.
Parth Bhavsar: Not premium products, volume, the overall volume, how is it like between south and east?
Management: Same that is in this way, Mr.Vaithiyanathan have already explained that the ratio is same.
Parth Bhavsar: It would be in the same range as your capacity mix?
Management: Yes, yes. It is propo rtionate to the capacity only.
Parth Bhavsar: Sir, just wanted one clarification that R.R.Nagar, what is the incremental capacity are we looking at?
Management: It is 1.5 million ton s.
Parth Bhavsar: 1.5 million ton s and this would like come on stream in over the next two -three months, right?
Management: It will be commissioned before March.
Moderator: Our next question comes from the line of Abhimanyu Kasliwal from Choice International.
Abhimanyu Kasliwal: So most of my questions have been answere d, so I wanted to ask you one question. We are combining our capacity utilization which, do we have a hope to increase it? Do we have hope to increase the off -take, especially due to new infrastructure orders and non -trading orders? On a

combined manner, w hat do you see is the outlook for FY'24? That can we see noticeable improvement in capacity utilization because our capex, whilst we are doing a lot of maintenance capex, we are not doing so much capex to increase our capacity if I understand correctly. So what would you have to say in this combined manner?
Management: We have increase d the capacity from 12 million to 21 mi llion tons. Then how do you say? Its almost 75% increase in capacity . How do you say that we are not increasing?
Abhimanyu Kasliwal: I meant that incrementally from this point.
Management: Yes, incrementally again, it is not the question of only operational capacity. It is also, what are the capex that should be completed. See, in any project, all the facilities are not going to come

day number one. See, for example, we have to create a colony, that amount is to be spent. We have to create some more infrastructure facilities. See, those things also is to be completed. In addition , for the second line, already we have made provisions that also we are completing it. For example, take our Kurnool project today; people may think our capital cost is very high. Nevertheless, that is not true because all the facilities we created now itself considering the future capacity expansions there. So like that, see whenever the opportunity comes we will go on incurring capital expenditure so that operating cost is always kept at minimum.

Abhimanyu Kasliwal: And due to the infra projects do we expect to see like I mean, I know you are hesitant to give numbers but utilization may touch 75% for s ome example from current 70% to 80% anything?

Management: It will be 80% plus.

Moderator: Our next question comes from the line of Mud it Agarwal from Motilal Oswal Financial Services.

Mudit Agarwal: Hello. Thank you sir for the opportunity. I have just one question regarding the other expenses. So I just want to understand, apart from the variable component and the other expenses, is the re any major improvement in the advertisement and other fixed expenses during the quarter? How will be the run rate in the other expenses , going forward ?

Management: See, other expenditure includes ad vertisement also. One variable component is the packing material consumption. So, rest of the expenses are more or less fixed in nature. Therefore , definitely this year, advertisement expenses have increased. We have stepped up advertisement activities during the current year for brand building. Therefore , to that extent, there has been an increase in the other expenditure. Last year, because of COVID restrictions for the first two quarters, travelling expenses was not that much. This year, market is fully open ed. Therefore, there has been some increase in the traveling expenses. But for these two heads, there are other heads now that there are not much of increase in expenses . For employee cost of about a 6 to 8% increase, which is a normal thing.

Mudit Agarwal: Going forward will be in the same range or any other further increase we are expecting there?

Management: Same range.

Moderator: Our next question comes from the line of Prateek Kumar from Jefferies.

Prateek Kumar: My first question is on fuel mix. While pet coke has started to increase more recent ly, but the international coal is declining and you have like 30% -35% mix of coal as well. So when do you like sort of shift from pet coke to coal again, like in terms of fuel mix?

Management: See, whatever be the type of fuel per calorific value is cheap er, we will go for that. If the coal is cheaper, we can shift to coal. It will not take much time. It all depends upon, the fuel mix and cost per calorific value . We can shift to any fuel at any point of time.

Prateek Kumar: So pet coke is $180. So you, at what price of internation

al coal it becomes competitive

Management: Because the coal is not one quality. We have many verities of coal depending upon moisture , calorific value and Sulphur . Therefore, it cannot have a benchmark because the coal available even today, the c oal is available for $55, and it is also available at $150. We have to see calor ific value. The coal cost per CV is today around INR 2.5 0

Prateek ..., actually, the coal prices are trending slightly higher than the pet coke on a per kcal basis. That is why we started increasing their pet coke consumption. So again, there is an opportunity to buy coal depending on the market price on a kcal basis. If that opportunity comes, we will shift it. However, at this stage, we cannot say that at what percentage we will maintain for next quarter or next year or so . It will be difficult to say. It all depends on the prices of pet coke vis-à-vis the prices of the coal.

Prateek Kumar: INR 2.43 which we have reported for the overall fuel cost per CV for third quarter, how would that be for coal and pet coke for individually if we have that data?

Management: Sorry?

Prateek Kumar: We have reported 2.43 on a kilo cal basis cost for this quarter, fuel cost for third quarter.

Management: It is 2.43 is a b lended cost per kcal basis for this quarter, you want to have a previous year quarters number?

Prateek Kumar: No, I wanted to understand what how would that be different between pet coke and coal for last quarter?

Management: I do not have the details; break up details of coal and pet coke. I have only combine d numbers of 2.43. T he coal is costlier tha n pet coke. One thing is sure that currently t he coal cost per calorific value is costlier than pet coke. Coal mainly we use for power plants and pet coke mostly we use for our kiln.

Prateek Kumar: And our alternate fu els have dropped from 25% to 30% to sub 10% now. So, I mean what is sort of leading to that decline in terms of procurement of that fuel?
Management: As for as alternate fuel is concerned , the availability is not consistent throughout the period. Again, it depends on the price and availability. Sometimes some alternate fuel also will interfere severely with the pyro process. Therefore, we use the alternate fuels currently, depending on the process requirement as well as the overall cost benefits involved in this alternate fuel.
Moderator: Our next question comes from the line of Ajit Motwani from Pinpoint Asset Management .
Ajit Motwani: Just want to understand after R. R. plant is commission ed, you said 0.7 million ton of clinker that are moving from Ariyalur to R. R. Nagar, that the inter -unit clinker cost you will save, right? Am I correct?
Management: Right.
Ajit Motwani: So, alternately, as this any other benefit came from the R. R. Na gar internal efficiency, will the plant go up?
Management: R. R. Nagar is the closest to the highest realization markets for us. Therefore, any incremental production coming from that plant will have an EBITDA accretive clearly.
Ajit Motwani: So you are saying the additional capacity, cement capacity there is also going up apart from the movement of clinker?
Management: No, we have cement capacity already . There is no change in the cement capacity as of now. The additional clinker that we will be produci ng in R. R. Nagar will be consumed for production of cement and in turn, the moving of clinker from Ariyalur will be eliminated.
Ajit Motwani: Secondly, to service the Kerala market, will this clinker be utilized or the Ariyalur one will be utilized?
Man agement: For South Kerala RR Nagar will be used. For North Kerala, Ariyalur will be used.
Ajit Motwani: So, incremental, the one, the clinker that you are not moving from let us say Ariyalur that will help us serve the Kerala market?
Management: No,

it will serve both Tamil Nadu market as well as Kerala market.
Ajit Motwani: So essentially what you are trying to say is that…
Management: The only thing, whatever the Ariyalur to R. R. Nagar, the transport cost will be saved. Whatever R. R. Nagar incre mental capacity sold both in Tamil Nadu as well as in Kerala.
Ajit Motwani: Yes. My question really is that does the project help us capture higher share of the market

Management: Higher share of the market share as well as higher realization.
Ajit Mot wani: And in terms of, you alluded to, sale of some land bank which you have identified, how close are we to monetizing it and what's the kind of value we can monetize it from those land?
Management: We have j ust floated inquiries, maybe around INR 300 cr ores to INR 400 crores we are estimating towards monetizing of non -core lands .
Ajit Motwani: And the timelines for, such monetization?
Management : We cannot say because buying and selling of land involves a lot of negotiations. Because these are also large parcels, so you should also find the right buyer to get right value.
Ajit Motwani: Also for INR 4,500 odd crores debt th at we have, how much do we have any interest free sales tax loan that used to be there as a part of our debt earlier? You got some thing which is there or that is done?
Management: The soft loan is around INR 192 crores out of INR 4,555 crores.
Ajit Motwani: You alluded that the windmill capacity is in Tamil Nadu, which you are supplying it externally. That also you utilize for cap tive purposes.
Management: Yes, there is an opportunity because we have been selling at lower prices to the electricity board, which we can convert it into captive use. There is an opportunity to use that captively . We are working on with this government to seek, to get appropriate approval and convert it into captive use.
Ajit Motwani: But wouldn't you have tied up for, with the boards there and will it not be difficult to move it in house? Just my question.
Management: TNEB should approve it. Already there is an agreement with the TNEB for sale of wind power. That agreement should be cancelled and it should be converted into captive. There is a procedure to be followed.
Ajit Motwani: And it is possible you think?
Management: It is possible. We got necessary orders from the court also. They already given direction to convert it into captive. Already the court also given direction to TNEB. Part of the windmill we have already converted into captive use from the sale to board. Therefore, it is po ssible.
Ajit Motwani: So on energy front, putting WHR, which is yet to be stabilized at Kurnool and this, how much good this seems to be self -help measures. How much benefit can we see?

Management Yes, another 5-megawatt WHRs we will be getting from the Kurnool plant.

Ajit Motwani: And the windmill conv ersion from external to captive?
Management: Yes, totally we have 166-megawatt windmill. So today, that will give, suppose if you take the plant load factor of 22%, it will be around 35 megawatt to 40 mega watt. Out of that, today we are consuming 15 megawatts. Another 25 megawatt will be used captively.
Ajit Motwani: So on those 25 megawatts of windmill and another 10 megawatts on WHR?
Management: Yes.
Ajit Motwani: And one last question. The sequential increase in the freight cost on a per ton basis, how much of that is because of the increase in busy season for charge by railways and how much is, but still that seems to be the increase is higher than what? You had said INR 50 per ton
Management: INR 50 per ton is including outbound as well as inbound. Maybe if you look at only outbound, maybe it will be around INR 20 to INR 25 per ton .
Moderator: Our next question comes

from the line of Vishal Periwal from IDBI Capital.
Vishal Periwal: One thing, which I might have missed, this number if you have stated, what is the net debt number as of December?
Management: Net debt is INR 4,556 crores. It is there in our pres s release .
Vishal Periwal: And second, on this fuel cost, I think you mentioned this is lik ely to be same as we are moving in quarter 4, vis -a-vis the index level may be if the industry participants are guiding for marginal dip. So on this particular front are we a little conservative or we are sitting on high cost fuel inventory, thought to get some clarity?
Management: We are very conservative. We just dwell upon basis what is happening in the market. Even yesterday, the pet coke price has gone up by $5 in Index price.
Vishal Periwal: So that means like probably fuel cost there are certain ch ances maybe like, it could see…
Management: Compared to Q4, definitely it will come down. Compared to current Q3, it is very difficult to say whether it will come down or may not go up also much. That is our estimate.
Vishal Periwal: When you say, Q4, it is for the year -on-year basis.
Management: Yes. you are right.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Krupal Maniar from Antique Stock Broking Limited for closing comments. Please go ahead.

Krupal Maniar: Thanks, Ryan. On behalf of Antique Stock Broking, we would like to thank everyone for their participation and the management team for providing us this opportunity. You may now conclude the call, Ryan. Thanks.
Management: Thanks, Krupal.
Krupal Maniar: Thanks, sir.
Management: Thanks for all the participants.
Moderator: Thank you. On behalf of Antique Stock Broking, we conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

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THE RAMCO CEMENTS LIMITED

23 May 2023

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra- Kurla Complex,
Bandra (E), Mumbai – 400 051.
Scrip Code: RAMCOCEM
BSE Limited,
Floor 25, “P.J.Towers”,
Dalal Street,
Mumbai – 400 001.
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Conference Call to discuss the audited results of FY23

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In continuation of our letter dated 19th May 2023, providing you the weblink of the Audio Recording of Conference Call with respect to the audited results of FY23, held on 19.05.2023, organised by Batlivala & Karani Securities India Pvt. Ltd, we attach the transcript of the conference call and the s ame is also made available at –

https://ramcocements.in/cms/uploads/Transcript_Q4_FY_23_TRCL_caf13bc07a.pdf

Thanking you,

Yours faithfully,
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM
SECRETARY

Encl: as above

“The Ramco Cements Limited Q4 Earnings Conference Call”

May 19, 202 3

MANAGEMENT : MR. P.R.V ENKETRAMA RAJA -- MANAGING
DIRECTOR , THE RAMCO CEMENTS
MR. A.V. DHARMAKRISHNAN – CHIEF EXECUTIVE
OFFICER , THE RAMCO CEMENTS
MR. S. VAITHIYANATHAN – CHIEF FINANCIAL
OFFICER , THE RAMCO CEMENTS
MODERATOR : MR. AMIT SRIVASTAVA – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Ramco Cement Limited Q4 FY23 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask que stions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over t o Mr. Amit Srivastava from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.
Amit Srivastava : Thank you. Good afternoon, everyone. On behalf of B&K Securities, welcome you all to th e 4QFY23 Earnings Conference Call of Th e Ramco Cements. We have with us from the management, Mr. P.R.V enketrama Raja – Managing Director; Mr. A.V. Dharmakrishnan – CEO; Mr. S. Vaithiyanathan – CFO.
We would start the call with the "Opening Remarks" from the Management, which will be followed by Q&A. Over to you, sir.
P.R.V. Raja : Good evening, everybody. I warmly welcome you all to the Earnings Call of Ramco Cements and discuss the Audited Results of Quarter 4 Financial Year '23. Thank you for taking the time to join us for t he call. We hope all of you have seen our results and updates. I would like to summarize the key highlights of our performance for the Quarter 4 Financial Year '23:
Sales volumes for the quarter ended 31st March 2023 stands at 4.7 million tons as against 3.23 million tons during th e corresponding previous period with a growth of 46 %. Revenue for the quarter ended 31st March 2023 increased year-on-year from Rs. 1,719 crores to Rs. 2,581 crores. Revenue for the quarter ended 31st March 2023 surpassed Rs. 2,5 00 crores for the first time per quarter. EBITDA for the quarter has increased year-on-year from Rs. 305 crores to Rs.424 crores in the Quarter 4 Financial Year '23 with a strong volume growth of 46%.
During the 4th Quarter Financial Year ' 23, blended EBITDA per ton is Rs. 917 compared to Rs. 956 in Quarter 4 Financial Year 2022. Profit before tax for Quarter 4 Financial Year '23 is Rs.207 crores as against Rs. 164 crores during the Quarter 4 Financial Year 2022 with a growth of 26%.
We have c ommissioned the line 3 kiln of 1 MTPA and a dry motor unit of 1 LTPA in our R.R. Nagar unit in March '23. The infrastructure facility like 4 MW WHRS, 18 MW TPP and Railway siding in our Kolimigundla plant, the limestone beneficiation in R.R. Nagar are to be completed during the Financial Year' 24. Additional grinding capacity of 0.9 million tons in Odisha will be commissioned in Financial Year' 24. Other units of dry mortar units in Odisha and Jayanthipuram will also be completed in the Financial Year '24.

Current demand for cement is good in the individual homebuilder segmen t as well as the infra segments. T he cement demand in the medium term is expected to be resilient in view of the common focus on the infra spend and upcoming elections and the forecast of normal monsoon for 2023.
The profitability of the cement business was challenging in the last few qua rters in view of high fuel prices for such a long time . The CIF spot rate for pet coke was at $178 in February '23, and has been softening from then on. Now the current price stands at around $125 per ton. The margins are expected to improve from Quarter 2 Financial Year '24.
Thank you very much for your patience, and I would like to now start the question -and-answer session. Mr. Dharmakrishnan – our CEO will handle the question and answers along with our CFO.
Moderator : We will now begin with the question -and-answer session. We take our first question from the line of Shravan Sha

h from Dolat Capital. Please go ahead, sir.
Shravan Shah : First of all, congratulations on the super numbers, particularly on the volume growth. Sir just wanted first clarification. R.R. Nagar clinker line, so the clinker capacity that we are mentioning 14.99, I think previously , our stand was it will be a replacement of old kiln and only 0.35 million tons new capacity will be added net -net. So, are we also maint aining the old kiln and the new line added for both together? Therefore , that is the first. In addition , we did not previously mention 1 million ton grinding unit at R. R. Nagar and this quarter suddenly, we see addition of 1 million ton. So, just needed c larification on that.
A.V. Dharmakrishnan : As far as R.R. Nagar is concerned, we keep our option open to continue the second line also. With regard to Line II Kiln, either we can operate, or we can discontinue. However, as of now, we want to operate. With regard to 1 MTPA cement capacity, this has been created by debottlenecking the existing infrastructure.
Shravan Shah : Sir, also just wanted to understand in terms of if you can share the clinker production for FY23 and Q4 and the cement production? In the sense, I want to understand the CC ratio. So, how much more growth we can see in FY24 and '25 on the volume front?
A.V. Dharmakrishnan : You want for the whole year or only for the quarter?
Shravan Shah : I need for both, clinker and cement production.
A.V. Dharmakrishnan : See, the clinker production is 11.87 million tons. This is for the year.
Shravan Shah : And cement production?

A.V. Dharmakrishnan : Our cement production is 14.86 million tons.
Shravan Shah : So, then broadly, it works out around the same 1.25 CC ratio, which normally we have for last 3-4 years. So, just trying to understand how much more volume growth w e can see. So, even for this quarter also, to achieve this at our blended level, we have mentioned that for Kurnool clinker, it is 85 % utilization. To achieve this 4.7 million volume, the other kiln should be working more than 100% utilization. In the case of net -net for FY24, how one can look at the vol ume growth considering the 1.25 to 1.3 CC ratio.
A.V. Dharmakrishnan : See, our cement capacity for R.R. Nagar, whatever we complete it will be around 22 million tons. To backup that, we have clinker capacity for the same whatever conversion ratio we are talking about.
Shravan Shah : Sorry, sir, I didn't get.
A.V. Dharmakrishnan : See, our cement capacity is 22 million tons. With the conversion ratio, whatever you mentioned, we have backup clinker capacity.
Shra van Shah : Now the other question on the CAPEX front. So, for '24 and '25, so considering previously, we were looking at expansion at Karnataka also. So, when can we start the new expansion CAPEX ? And without that also, previously, we mentioned Rs. 892 cror e CAPEX for FY24. So, what is the stand? And accordingly, how do we see the net debt for FY24.
A.V. Dharmakrishnan : See, whatever guidance we have given earlier that will continue. So, unless you people advise me, because of good growth you want me to expa nd at the earliest, we will do that.
Moderator : We will take the next question from the line from Noel Vaz from Union Asset Management. Please go ahead, sir.
Noel Vaz : Just to confirm, just regardin g the volume guidance for FY24 and '25, so currently, we h ave seen very strong numbers for FY'23. So, what kind of growth should we expect. I think last time we had guided for roughly about low double -digit kind of a number.
A.V. Dharmakrishnan : So, internally, we have growth target of 30% for the year FY'23-24.
Noel Vaz : Just one more thing is, so the company has been able to deliver a much stronger growth in the industry level, both at the end of 4th Quarter as well as in your guidance as well. So, what exactly is going to enable Ra

mco to grow the industry to su ch a large extent? I just want to know the factor as well.

A.V. Dharmakrishnan : See, 4 things happened. Number 1, we had the capacity. Number 2, the demand was very strong. Number 3, we created necessary infrastructure to service this. That is in the last 3-4 quarters, repeatedly I was telling we invested so much money to create the infrastructure to service this kind of spurt in demand. See, you know very well, we are also promoting what is called the right cement for the right application. Nearly 1 2 types of cement we are manufacturing. That caught up very well. So, wherever we are giving our cement , that is accepted very well. So, because we are able to tailor -made and we meet the requirements of different customers, we are able to get repeat orders, so the growth is really good. So, whatever we had said in the last 3 quarters that everything falls in line this quarter.
Moderator : We take the next question from the line of Mr. Satyadeep Jain from Ambit Capital. Please go

ahead, sir.
Satyadeep Jain : A couple of questions. You're guiding us to 20% volume growth, which implies almost 18 million tons sales in FY24. You also mentioned the right cement for right applicatio n. Given there is so many varieties of cement being produced, does it limit your capacity of 22 million tons to something below 22 million tons? And tied to that would be, would it basically mean that you need to look at some capacity expansion in FY25, FY 26 to build some volume growth there?
A.V. Dharmakrishnan : You might have seen our conversion ratio. See, the right cement for the right application, we are doing for last almost 1.5 years. You might have seen consistency in conversion ratio to the extent it will not limit our capacity utilization. See, whatever capacity utilization we are doing, 22 million ton definitely is achievable . Given the demand and the capacity utilization, we have to definitely go for expansion. So, we will time it and we will let you know.
Satyadeep Jain : Just a small clarification. Next leg of growth would be Karnataka greenfield or could there be a brownfield, either it can be in Kurnool?
A.V. Dharmakrishnan : First, we will take up the Kurnool second line, then we will go to Kar nataka because Karnataka, we have to buy the land whereas in Kurnool, we have everything ready, all the infrastructure is ready. What is needed is you have to put 4 equipments, that is raw mill, coal mill, kiln and one cement mill , that's all. Otherwise, a ll other infrastructures are ready. So, first, definitely we will go for Kurnool second line. Then we will go for Karnataka. In the meantime, just I want to tell you, Karnataka we got necessary approval for land purchase , now we started buying the land.
Satyadeep Jain : And the second line possibly before it comes, railway siding would be up and running, I'm guessing before that?
A.V. Dharmakrishnan : Yes, it is possible. See, now we are also creating capability even without railway siding how to service th e second line. Also, we are creating necessary facilities for that. Definitely, railway

siding is going to be helpful, but our expansion is not dependent upon railway siding. It's not very constrained because of that. But the railway siding is also progres sing fast. Since it is long almost 25 kilometers , taking little time. But definitely, railway siding will help us at least in transport of coal and all these things. But our marketing of cement is not going to depend upon railway siding.
Satyadeep Jain : Second question was on cash flow. So, given, let's say, you do decide to go ahead with Kurnool second phase, would there be an upside to the CAPEX target we discussed for FY24? And there was very strong performance in the working capital cycle where receivab le days and

inventory
days shrunk. Is that sustainable going into FY24, this lean working capital cycle?
A.V. Dharmakrishnan : Once we finalize that, we will come back to you.
Moderator : We take the next question from the line of Mr. Prateek Kumar from Jeff eries. Please go ahead, sir.
Prateek Kumar : Congrats for great results. My first question is a data question. So, we have reported our volume numbers including dry mortar. So, what is the contribution of dry mortar in the volume for 3Q and 4Q?
A.V. Dharmak rishnan : See, dry mortar volume . For the who le year is 0.2 million i.e 2 lakh tons; for the quarter is around 70,000 tons.
Prateek Kumar : My other question is on your Northeast foray. So, we have been also trying to sell volumes in Northeast as we understand. So, how much of the non -South 25% would be Northeast volumes for us?
A.V. Dharmakrishnan : See, yes, same, around 25%, Whatever in the first 3 quarters, we are maintaining that nothing changed in that.
Prateek Kumar : So, I'm asking specifi cally on the Northeast which is other than East.
A.V. Dharmakrishnan : The Northeast includes East, It all depends upon price realization, cost, all these things we are talking. So, mostly Northeast, you are only servicing non -trade orders, not trade orders , Northeast, okay. To that extent , it does not matter whether Northeast or East because whenever we get good realization, then definitely we can go up to Arunachal Pradesh, Sikkim, and all these places.
Prateek Kumar : And then we are versus our peak debt of Rs. 4,700 crores, we are off like around Rs. 400 crores, something that we also talked about during the interaction in one of the quarters. So, what would be our target net debt like for the next year, what we are looking at?

A.V. Dharmakrishnan : We wou ld see the growth as well debt reduction.
Moderator : We take the next question from the line of Amit Murarka from Axis Capital. Please go ahead,

sir.
Amit Murarka : Congratulations on a great number. Just a couple of questions. Firstly, on volume target of 20% growth , as I understand, your clinker utilization was about 75% in FY23. So, this would take the utilization to almost 90% in FY24. So, like what are the growth plans? Because for FY25, then probably we will need more capacity to kind of participate i n the growth after '24?
A.V. Dharmakrishnan : I told you, we have growth plans. We have plans to expand our Kurnool second line. Then we will put up the plant in Karnataka also. So, the exact timing, definitely, we will let you know.
As soon as the Board ha s taken a decision , definitely we will let you know.
Amit Murarka : And the CAPEX , like as of now, what is the CAPEX for '24? Like you had earlier guided for Rs 850 crores I think in the prior Q4 quarter call.
A.V. Dharmakrishnan : Yes, around Rs. 800 to Rs. 850 crores.
Amit Murarka : And just the third question is on R.R. Nagar upgradation. Like post upgradation, what is the capacity there? Like there is slight confusion on the capacity number.
A.V. Dharmakrishnan : 3 million tons cement because there we make 100% PPC and 2.2 million tons clinker .
Amit Murarka : So, if I am not mistaken, earlier I think the plan was to kind of scrap one of the older units and then bring this unit in its place. So, now you are still running the older un it now, is it?
A.V. Dharmakrishnan : Yes. See, second plant we thought of shutting down. We are keeping our options open now. As of now, we have plans to run it.
Moderator : The next question is from the line of Mr. Rajesh Kumar Ravi from HDFC Securities. Pl ease go ahead, sir.
Rajesh Kumar Ravi : Sir, the volume guidance is 20%. I see in FY23, you have delivered strong growth both in trades and non -trades. In terms of volume, you would have grown by around 60%. So, any thought on increasing your blending ratio or the trade sale which is blended

cement which is 70%. Will you see this number going up in FY24? Or you would be mostly targeting aggressively the non -trade market?

A.V. Dharmakrishnan : So, we will try to meet it. Even though we have aggressively done in Q4, even though it's very aggressive growth, the blended ratio is same. Maybe 1% or 2% here and there can be there.
There will not be a major deviation.
Rajesh Kumar Ravi : So, this 70% is wha t you are comfortable, or you are looking this to go to 75%, 80% in next 1 - 2 years?
A.V. Dharmakrishnan : No, it is depending upon markets. See, I can't give you a particular number. These are depending upon market. If the trade grows, definitely I'll go fo r more trade growth. If the trade does not grow, then if nontrade grows, there also we are there. It all depends upon price, cost and where we can have the growth.
Rajesh Kumar Ravi : And sir, currently March end, your CWIP stands at Rs. 2,000 crores, most of your ongoing projects are already done. And only few projects are up for execution. So, what is this Rs. 2,000 crore CWIP pertaining to majorly?
A.V. Dharmakrishnan : Mainly balance works like TPP & Railway Siding etc. in Kurnool, R.R. Nagar beneficiatio n system, dry mortar expansion, Budawada mines railway siding and crusher etc.
Rajesh Kumar Ravi : And sir, 1 or 2 questions. You have seen that you have done phenomenally good on ramping up your green power usage. Last year, you had targeted 70% of your clinkerisation electricity requirement will be met through green power. I think we have still to go or you have achieved closer to that number.
A.V. Dharmakrishnan : Not for entire company, I told you for Andhra Pradesh. See, what I told, Andhra Pradesh already 70% to 80% of the clinker is green power. That is waste heat recovery. Tamil Nadu, what I told we have wind power, which are all almost 175 megawatts we have. I f you see the plant load factor it is around 40 megawatts. So, far they used to sell the power, now they are converting into captive consumption. At the year-end, by '24, the green power would be around 34% for the total cement and after that, the total fo r cement would be 34%.
Rajesh Kumar Ravi : Sir, alternate fuel usage, last year you did very good, but in FY23, that share came down from 20% to 13%
A.V. Dharmakrishnan : The cost has gone up more than the coal, so we stopped using that.
Rajesh Kumar Ravi : So, it's more than the coal that are you purchasing.
A.V. Dharmakrishnan : Yes. If everybody goes to that place, then the cost goes up. So, now we have to see alternate to alternates.

Rajesh Kumar Ravi : Sir, lastly on the leverage, what is your comfort level at which you would want to operate, net debt to EBITDA?

A.V. Dharmakrishnan : I will have an open conference with you. Whatever you suggest, we will follow that. If I say something, sometimes people are getting upset. Whatever is comfortable to me is not comfortable to you. So, I will go there. Let us have an open house. Whatever you people suggest, we will carry it out.
Moderator : We take the next question from the line of Mr. Pankaj Tibrewal from Kotak Mutual Funds. Please go ahead, sir.
Pankaj Tibre wal: First of all, congratulations on a good set of results. I have 2 questions. The first one is on the cash flows. We have seen a very strong generation of OCF this year. And a part of that was also because we released some money out of working capital. Can you help us understand from an overall cash flow perspective, how should we look at from FY24 perspective, in terms of CAPEX and in terms of debt deleveraging? I head you that between CAPEX and growth and deleveraging still you haven't made up your min d. But any thoughts on that will be appreciated. Then I will come to my second question.
A.V. Dharmakrishnan : The market is very d

ynamic, Pankaj. So, I have to blend both. Suppose if I look at only debt deleveraging and if I don't take part in the growth, then you'll tell me, everybody else is in growth path, you don't have a growth path. At the same time, if I don't deleverage, yes, people can say, okay, for this capacity others are having so much debt, but your debt is higher. So, we are taking a very , very conscious step to how to balance that. So, definitely you might have seen, whatever efforts I explained to you in person, I explained to you in many of my meetings, whatever efforts we are making in promoting our new products and all these things wi ll give good results. Last 2 quarters, definitely, we have done excellent job in that and coming quarters also, we are expecting that good growth and good realization is bound to come. See, definitely next year I have CAPEX plan of Rs. 800 crores, I can't reduce that. See, the balance amount as of now, I have plans to deleverage it. If the demand is so good, I have no option but to expand. Definitely, I will come there, discuss with you people, explain to you, then we will take a decision .
Pankaj Tibrewal : Will there be scope for release from working capital? Because the pet coke prices have started to come down.
A.V. Dharmakrishnan : Yes, definitely possible. Not big money, Rs. 100 crores to Rs. 200 crores is possible. Also, I told you that we are also plann ing to sell some surplus land. Some progress is made. I don't say great progress is made; some progress is made. Here and there we are able to find some buyers for the small parcel of lands.

Pankaj Tibrewal : But is there a scope for non -core assets to be disposed?
A.V. Dharmakrishnan : Non-core asset is only land.
Pankaj Tibrewal : And that can be disposed -off to fund a part of your land acquisition. Is that understanding correct?
A.V. Dharmakrishnan : Yes.
Pankaj Tibrewal : Second one is sir, when I look at your return on capital post tax, obviously, this was not a very good year except the 4th Quarter . Any thoughts on how you want to grow because growing at a faster clip without return on capital, the growth could be a little toxic because the returns won't support that growth. Any thoughts on that, at least that threshold level on the return on capital and then start the next CAPEX side. Any thoughts on that will be appreciated.
A.V. Dharmakrishnan : See, Pankaj, many times I explained in person as well as in meetings also, so many of our CAPEX expenditure is number 1, to reduce the cost compared to others because the time like this definitely whatever investment we made is going to help us. Number 2, also we created lot of facilities so that any big jump like this, okay, suppose not invested in many siloes, and also railway sidings in all the plants, had we not invested, definitely we can't take advantage of growth like this. So, I explained to you als o in my earlier meetings, my incremental CAPEX is going to be much less. So, at that time when I expand further, definitely my return of the investment will jump. There will be quantum jump in return on investment when I have scaled capital expenditure on. Because my incremental capital expenditure what is needed to create maybe another 5 million or 10 million tons capacity is going to be much less compared to my earlier capacities and also compared to anybody else in the industry.
Pankaj Tibrewal : I mean a s shareholders, we would like to see the double digit return on capital back.
A.V. Dharmakrishnan : See, only last 2 years, Pankaj. Before that, we have given the best return on investment.
Pankaj Tibrewal : Yes, absolutely, that's what I'm saying that we wa nt to see that again.
A.V. Dharmakrishnan : See, last 2 years of aberration because there was some delay in the execution of Kurnool project. Otherwise, before '21, tell me who has given the best return in the

market .
Pankaj Tibrewal : We will look forward f or that, sir.

Moderator : The next question from the line of Mr. Parth Bhavsar from Investec India. Please go ahead.

Parth Bhavsar: Sir, I have 2 questions. The first one is on the volume. So, you reported a very good set of volumes. So, just want to understand that in the area of your operation, which region did like pay better than the other one? if you could help us.
A.V. Dharmakrishnan : All regions have performed equally.
Parth Bhavsar: Every region?
A.V. Dharmakrishnan : Every region.
Parth Bhavsar : It was like, put it another way, like East performed better than South.
A.V. Dharmakrishnan : That is why I told you, my market mix is the same . There is no shift in the market mix.
Parth Bhavsar: So, you are saying growth in both the regions were the same?
A.V. Dharmakrishnan : Yes. In whatever state we are, everywhere we have grown.
Parth Bhavsar: And the other question was the R.R. Nagar modernization, the R.R. Nagar plant, that you were saying that you operated 1 million ton. So, what are the cost ov erruns over there?
A.V. Dharmakrishnan : Around Rs. 120 crores. See, the cost overrun is mainly because of steel price increase.
Parth Bhavsar: Where do we draw a line where we have stopped using that plant, like the 1 million ton, where do we draw the line ?
A.V. Dharmakrishnan : It depends upon demand growth and cost.
Parth Bhavsar: And there is no scope to also improvement as you said that all the CAPEX is being spent towards making plants better. So, is there any scope to improve?
A.V. Dharmakrishnan : No, in the entire company, only the second line of R.R. Nagar is a little inefficient. Either we can upgrade it or operate as it is. See, whenever say it is inefficient compared to our standard, not for industry standards . So, either we try to run it if th e demand is good. Or if there is slack in demand, definitely, we will shut down for 3 -4 months, and we will upgrade that.
Parth Bhavsar: And sir, if I can squeeze in one more. What are the limestone reserves at Tamil Nadu? And can we increase clinker capac ity hereon?
A.V. Dharmakrishnan : We have lot of lands. The bidding has to take place. If the bidding takes place, then I will let you what is the exact reserves. In Tamil Nadu , from 2014 till today, no bidding took place. So, whether to tell you what are t he limestone depth after whatever mining and all these things, it

will be too exhaustive. If the bidding takes place because these lands are owned by us, so most definitely we will get it. So, there is no problem as far as the limestone reserves are concer ned in Tamil Nadu. In Tamil Nadu, without that, we can't venture to expand in Tamil Nadu, we expanded. That shows that we have enough limestone.
Parth Bhavsar: What would be the current reserve of limestone?
A.V. Dharmakrishnan : That is why I told you, we have enough lands. If everything comes for bidding, then definitely we have enough limestone reserve even for next 30 -40 years.
Parth Bhavsar: Sir, any mines, is it coming near the expiry? I mean any leases that are near expiry.
A.V. Dharmakrishnan : No, th at would be beyond 2030, not now.
Moderator : The next question from the line of Mr. Keshav Lahoti from HDFC Securities. Please go ahead, sir.
Keshav Lahoti : Sir, can you please share the revenue and EBITDA number from dry mortar for FY23?
A.V. Dharmakrish nan: It is too small a quantity , 2 lakh tons, what is the EBITDA you wanted to see. See, when we have done 15 million tons, this is 2 lakh tons, do you want to know the number? For 15 million tons of volume , I told you our sale of dry mix is only 2 lakh tons. This isn't going to change anything.
Keshav Lahoti : No, I was trying to get actual EBITDA from that.
A.V. Dharmakrishnan : Is it going t

o change the number, 15 million to 2 lakh tons, put the ratio.
Keshav Lahoti : We have seen a sharp fall in you CO_2 emission, a 20% fall in FY23. So, what your main reason for that and will the trend continue?
A.V. Dharmakrishnan : I told you that our focus on right cement for right application, so in many projects, we are participating. Definitely, we are able to get re peat orders and ours is the most preferred product in all the major projects. So, that gives us confidence to grow.
Keshav Lahoti : And can you please give a broad bifurcation of your FY23 CAPEX plant wise, where and how much you have done the expense?
A.V. Dharmakrishnan : Kurnool is around Rs. 600 crores, the R.R. Nagar is around Rs. 500 crores.
Moderator : The next question from the line of Mr. Kamlesh Bagmar from Lotus Asset Managers. Please go ahead, sir.

Kamlesh Bagmar : And lot of congratulations on exem plary performance, sir. Sir, just one question on the part of like say the volume growth which we are targeting around 20 odd percent next year, so how do you see the margins? What is the trade -off between the margins? Like, would we be interested in pushi ng volumes even if it comes at like say, Rs. 900, Rs. 950 EBITDA per ton? How do you see the trajectory of the margins?
A.V. Dharmakrishnan : See, I am not pushing the volume. I am operating only in the South and East. In other regions, the margins are not that great compared to ours. For all the company if you see, the EBITDA per ton is more or less in same range. To that extent, it's all mainly demand and supply, different players strategy to expand the market. We will not spoil the price. Definitely, we want price because we make so much efforts in expanding, in modernizing, in introducing new products. If there i s no big margin then what is the point in hard work. So, definitely, we want price, but it all depends upon market dynamics.
Kamlesh Bagmar : And sir, secondly on the Kurnool side, like how much CAPEX we would be spending on that second line and when can we expect the commissioning the orders to flow in the market, sir?
A.V. Dharmakrishnan : See, the amount that we required for the second line is anywhere between Rs. 800 to Rs. 900 crores. We repeat the same capacity. And the timeline, as I told you earlier, we will let you know.
Kamlesh Bagmar : And lastly, sir, this conversion of grids wind capacity to captive, 19% odd percent you have converted it. So, what is the target for that in FY24? Would it be entirely converted or how much that would be? I know you h ave given a 10% incremental or 10% incremental share of renewables coming in next year.
A.V. Dharmakrishnan : Almost 60% of the wind mills are converted into captive; another 40% will be converted in another month or two. Before wind season, everything we w ill get it converted.
Kamlesh Bagmar : So, entire, it would be converted. But the way , the fuel prices are there in the market, do you see your margins getting improved from the exit of Q4 or the average of the Q4 leanings?
A.V. Dharmakrishnan : See, the margin depends not only in cost, it all depends upon prices also. See, whatever cost reduction definitely will accrue. In the first quarter there will be a small reduction, but second quarter onwards, I am expecting big reduction in the cost. For prices, you have to watch the market.
Moderator : We take the next question from the line of Mr. Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia : Congratulations on a good set of numbers. First question, first one is a bookkeeping one. if you can share what is the non -trade mix in 4Q and last year, what was it?

A.V. Dharmakrishnan : Same thing, there is no change here. Our percentage is around 35%. See, 1% or 2% here and there will be there. That's all. Otherwise

, the percentage is the same .
Sumangal Nevatia : Sir, second question, I mean when you are evaluating and the focus currently is on deleveraging and you are evaluating when to kind of start the next phase, I mean what sort of matrix are we kind of focusing on and any particular say net debt to EBITDA kind of matrix we are tracking and what level we are comfortable before?
A.V. Dharmakrishnan : See, net debt to EBITDA should be around 2 to 2.5. So, could be ideal.
Sumangal Nevatia : So, once it approaches this range, we will be kin d of starting the next phase. That is the way to think?
A.V. Dharmakrishnan : Yes. That is the right way to go. Again, that is why I am saying it all depends upon market growth also. If that is the case, maybe little bit we have to deviate here and there. S ee, otherwise, net debt to EBITDA, we want to maintain 2 to 2.5.
Sumangal Nevatia : Sir, and then our priority and strategy, is there any inorganic growth, which fits in, or you are evaluating or largely focus is on organic opportunity?
A.V. Dharmakrishnan : As of now, there is enough scope for organic growth also at a very, very reasonable cost. See, that is why I told you, my incremental capital cost will be much lower. As I told you earlier, to counter for Mr. Pankaj I have to give him good return on inves tment also. So, that is possible by this organic growth. That may not be possible to give in inorganic growth.
Sumangal Nevatia : And sir, just one last question. On the volume growth, I mean you said it is quite even. I mean, think this kind of growth is s omething which is sustainable and any particular project, any peculiar thing that has contributed to this level of growth in the last say few quarters.
A.V. Dharmakrishnan : See, I told you, even before we also had demand but we did not have capacity to sup port it. See, now I created capacity, so since you are able to take advantage of whatever good efforts we made in the last 1 year, that I may be able to take full advantage of what all the efforts we made because the capacity has come up.
Moderator : The ne xt question from the line of Mr. Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : So, I wanted to know like what was your clinker production in FY23 or if you could tell me what was the cement clinker ratio for ‘23?
A.V. Dharmakrishnan : My cl inker production was around 11.872 million tons.

Amit Murarka : And cement?
A.V. Dharmakrishnan : 14.866.
Amit Murarka : And also, on AFR, you like ramped up AFR mix a lot in FY23. Do you see that going up further in FY24?
A.V. Dharmakrishnan : It depends upon cost.
Amit Murarka : In rupees per kcal, like what will be the AFR cost versus let us say coke cost?
A.V. Dharmakrishnan : It used to be less than Rs. 1. Now it almost equal to coal cost.
Amit Murarka : And also , the fuel cost that you mentioned in the presentation like Rs. 2.21 this quarter, that doesn’t include the AFR cost, right? It is not average for AFR.
A.V. Dharmakrishnan : Average of everything.
Amit Murarka : It includes the AFR as well, is it?
A.V. Dharma krishnan : It includes AFR also.
Moderator : The next question from the line of Mr. Parthiv Shah from TSBPL. Please go ahead, sir.
Parthiv Shah : Congratulations for very good set of numbers. Sir, just a long -term sense. Basically, I do understand as and when time comes, you are not going to be shy to expand. Just for my understanding, you have done a lot of spending of your CAPEX at the risk of lower ROCE. But I do understand you have done a smart thing by building up a lot of infrastructure which you will no t have to repeat again. So, if I have to assume that over the next 3 years, you were to add another 5 million tons or for that matter say another 10 million tons in your existing plant capacity, can it come at around $60 EV by ton which is around Rs 5,000 cror

es. Is my assessment correct?
A.V. Dharmakrishnan : Even lower than that, we can do that. My cost will be lower than Rs. 5,000 crores even for 10 million tons.
Parthiv Shah : Sir, my second question is regarding pet coke. So, pet coke prices have come do wn. I do understand you had previously had a policy of hedging pet coke prices at the price where you are feeling it’s comfortable. How much more inventory of high-cost pet coke we still have? Have we replenished that?

A.V. Dharmakrishnan : At any point of time, we have only 2 months stock. See, less than $100 only we will build more. More than $100, our policy is to have only 2 to 2.5 months stock maximum.
Parthiv Shah : So, current average cost for 2 months would be what around?
A.V. Dharmakrishnan : See, Ja nuary, it was $176, February $178, and March was $161.
Parthiv Shah : So, only from the third month onwards you can expect $125 benefit, right?
A.V. Dharmakrishnan : Second quarter.
Moderator : The next follow up question from the line of Mr. Shravan shah fro m Dolat Capital. Please go ahead, sir.
Shravan Shah : Sir, in terms of the prices, so since the March exit till now, 1.5 months, sir, in terms of where we operate the current prices or the average prices for 1.5 months is similar or slightly lower than the 4th Quarter average?
A.V. Dharmakrishnan : So, you people know very well, you can do market check and find out what are the prices.
Shravan Shah : Sir, that we are doing, but just wanted your confirmation.
A.V. Dharmakrishnan : The prices vary every day . Goes up, also comes down. I am not saying it is coming down only, goes up, also coming down.
Shravan Shah : Sir, just one thing. In terms of Odisha, 0.9 mtpa grinding, we mentioned that it will come by second half. So, will it be in Q3F Y24 or Q4 it will start.
A.V. Dharmakrishnan : Q3.
Shravan Shah : And this Kurnool, when we say Rs. 800 crores, Rs. 900 crores CAPEX that we can look at when we start for the second line, so this will have around 2.25 clinker and 2-to-3-million -ton grinding.
A.V. Dharmakrishnan : Yes, you are right.
Moderator : Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.
P.R.V. Raja : So, I would like to thank everybody for their very interesting quest ions all of you asked and I hope we have answered all of them to your satisfaction. I’d like to say that we are working towards a sustained growth and we will be able to let you know on a plan as we slice. So, hope

to meet you all again and explain our gro wth plans, etc, as we make our decisions. Thank you very much.
A.V. Dharmakrishnan : Thank you for all the participants.
Amit Srivastava : Thank you, sir.
A.V. Dharmakrishnan : Thank you, Amit,
Moderator : On behalf of Batlivala & Karani Securities, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

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THE RAMCO CEMENTS LIMITED

16 November 2023

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra- Kurla Complex,
Bandra (E), Mumbai – 400 051.
Symbol : RAMCOCEM
BSE Limited,
Floor 25, “P.J.Towers”,
Dalal Street,
Mumbai – 400 001.
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Q2FY24 Results Zoom Call

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In co ntinuation of our letter dated 9th November 2023, providing you the weblink of the Audio Recording of Q2FY24 Results Zoom Call , held on 09.11.2023, organised by ICICI Securities, we attach the transcript of the conference call and the same is also made available at –

https://ramcocements.in/cms/uploads/The_Ramco_Cements_Q2_FY_24_Earnings_Call_Transcript_22cf8f06a7.pdf

Thanking you,

Yours faithfully,
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM
SECRETARY
The Ramco Cements Limited (RAMCOCEM)
Investor Update 2QFY24
November 9 , 2023

“The Ramco Cements Limited
Q2FY24 Earnings Conference Call ”
November 09, 202 3

MANAGEMENT: MF Farooqui – Chairman

A.V. Dharmakrishnan - Chief Executive Officer

Moderator : Good evening, everyone. On behalf of ICICI Securities, I welcome you all to the Q2FY24 earnings call of The Ramco Cements Limited. From the management, we have with us, Chairman, Shri. MF Farooqui; CE O, Shri. A.V. Dharmakrishnan; and CFO, Shri. S. Vaithiyanathan. We will start the call with opening comments by the management followed by interactive Q& A. So without any further ado, I 'll hand over the call to the management for their opening comments. Over to you, sir.

M.F.Farooqui : Thank you very much. Good evening , everyone. We very warmly welcome all of you to the earnings call of Ramco Cement to discuss unaudited results for sec ond quarter of financial year 2023 -2024.

We hope you would have seen ou r results and updates by this time. The cement demand has been strong , but the prices have been under constant pressure during this quarter. Prices have improved in October 2023 and I hope it sustains .

The key highlights of our performance for the current quarter is , sale of cement has improved to 4.61 million tons , compared to 3.35 million tons in the corresponding period , with a growth of 38%. The share of premium products has improved to 28% in the current quarter from 25% in the corresponding period . The cement utilization rate for the current quarter is 82% as against 66% in the corresponding period.

Net revenue for the current quarter is Rs.2,343 crores as against Rs.1,793 with a growth of 31% . EBITDA for the current quarter is Rs.412 crores as again st Rs.193 crores in the correspon ding period last year. EBITDA margin for the current quarter is 18% as against 1 1% in the corresponding period. Blended EBITDA per ton for current quarter is R s.894 as against Rs. 575 in the corresponding period . Profit befo re tax for current quarter is R.138 crores as against Rs. 16 crores in the corresponding period last year.

The power and fuel cost per ton of cement for current year se cond quarter has decreased to R s.1,358 from Rs. 1,989 in the corresponding previous year period . A change in utility of sale of wind power to captive use has helped to reduce the overall power cost.

The overall green power usage has significantly improved to 38% during the quarter from 22% in the corresponding period . Thanks to the wind power usage for captive purposes and the Waste Heat Recovery System, WHRS. The green power share is likely to reach 40% for the financial year 2024, and 45% in the financial year 2025.

Coming to fuel prices . The spot CIF prices of pet coke was as low as $104 i n June 2023, b ut slowly has gone up to $ 138 now. T he pet coke prices are key to watch. Our pet coke consumption for the current quarter stands at 53% . Due to commissioning of Kolimi gundla Integrated Unit, RR Nagar Line-3 and Dry Mortar Plants in RR Nagar and Salem , the interest cost and depreciation has gone up to Rs.117 crores and Rs. 157 crores , respectively , for the current quarter.

With regard to the status of capacity expansion in Kolimigundla , TPP of 18 MW will be commissioned during December 2023 and railway siding will be commissioned during June 2024 . Expansion of capacity of dry mix products in AP and Orissa will be commissioned during December 2023. Expansion of grinding plant from 0.9 MTPA to 1.8 MTPA in Orissa is expected to be commissioned duri ng January 2024 .

During the current quar ter, the company has incurred Rs. 941 crores towards Cap Ex, including the purchase of limestone bearing lands in Andhra Pradesh and Karnataka. The net debt as on September 30, 2023 is Rs. 4,966 crores.

With this, I w ill conclude my opening remarks. We are open to questions now. You are welcome to pose your questions. And indeed, befo

re parting, I'd like to wish all of you a very, very happy Diwa li.

Moderator : Great. Thank you so much, sir, for the opening comments. Should we begin the Q&A?

Management : Yes, please.

Moderator : Great. So, ladies and gentlemen, we'll start the Q&A. Please press the show of hand icon. We already ha ve three participants for the Q& A. First, we start with Amit Murarka . Amit, go ahead, unmut e yourself and ask your question, please.

Amit Murarka: Yeah. Hi. So the first question is on CapE x actually. So I see from the balance sheet that Rs.1,225 crores has been spent in the first half. Where do we stand now on the CapEx for FY 24? And could you explain the reasons for the spend being so much higher than the expected numbers?

Management : We h ave given in our notes . It includes the purchase of land in Andhra Pradesh as well as in Karn ataka. Otherwise, all other capital expenditures are in line wi th what we have expected .

Amit Murarka: Could you quantify that amount? So how much would that amount?

Management : Sorry. We cannot share the details now .

Amit Murarka: If Rs.1,225 crores is the number , even if I take like a Rs.500 crore, Rs.600 crore f or the land, even then it's like a Rs.600 crore CapEx for first half .

Management : Sorry, I don't want to elaborate. Okay , maybe whenever other companies elaborat e the details, we will give you the details. As of now, I can 't give you the details. Sorry.

Amit Murarka: Okay. And for full y ear then what should we expect? Like including this Rs.1,225 crores , what should we t hink of full year now?

Management : Maybe another Rs.300 crores to Rs.350 crores.

Amit Murarka: Okay. Sure. Got it. And your clinker uti lization , I believe now is almost like 92 %, 93%. And there is no planned clinker addition at this point in time . So should we then expect like FY 25 in that cas e to be a low -single -digit volume growth here now?

Management : We will announce once the board a pproves .

Amit Murarka: And the order of priority would remain the same .

Management : Yeah, Kurnool second l ine will be the first priority.

Amit Murarka: Got it. And lastl y, just around the debt levels like we have seen a consistent increase in debt for the last 3 years . I am sure too many questions have been asked on this to you. But still like what is the target, we can think of for March 2024 and March 2025 now?

Management : This is the maximum de bt. We will not go beyond this.

Amit Murarka: But delev eraging like in the second half , can we expect like Rs.400 crores, Rs. 500

crores? Or do you think that …

Management : Rs.400 crores, Rs. 500 crores may not be possible . Definitely, we will focus on deleveraging.

Amit Murarka: So, I will come back in the que ue. Thank s, sir.

Moderator : Thanks. Amit. Please mute yourself. We have the next question from Indrajit Agarwal. Indrajit, please unmute yourself and go ahead , please.

Indrajit Agarwal: Hi, thank s for the opportunity. I have a couple of questions. First, going back to the land acquisition that we have done, is it more for the expansion of capacities or will it only augme nt the current limestone block? So can we assume that this will enable us to add more capacities or just for reinforc ing whatever we have right now?

Management : These mines are very near to our factory and adjacent to our compound wall , number one. Number two, definitely it will augment our limestone reserve s by another 140 million tons of limestone reserves .

Indrajit Agarwal: Got it . And if you can help us understand what is the remaining CapEx on the ongoing projects? Not for the new projects, but for the ongoing projects, just to get a sense that what kind of CapEx we can see in FY 25?

Management : Maybe another

Rs. 350 crores only for ongoing projects. Maybe we will go for some WHRS which we are planning in Tamil Nadu plant. Those things we will announce maybe in another board meeting . See, previously we thought there were no more chances for WHRS in Tamil Nadu units. Now , we are able to find a way that we can put up some WHRS units in Tamil Nadu plants also. If those things are crystallized, then my capital expenditure will be , maybe considering per megawatt around Rs.5 crores to Rs.6 crores , we would spend. Maybe around Rs.100 crores to Rs.150 crores we may have to spend on WHRS if necessary .

Indrajit Agarwal: Yeah. This is helpful. And , lastly, one more question on expansion, right, while you will say that you will come back with more details . But is there a thought process of expanding out of south and east , maybe north or west ? Any of the other regions we are evaluating or any progress on that we have ?

Management : As of now, we do not have any mining leases in those areas , so it is not possible. So we also participated in many bids. But we were not successful. Maybe in the upcoming periods, whenever the new mining bids come , we will be participating in that. If we are able to get it, definitely there is a possibility . We want to diversify into different geographies also. But as we alre ady informed , we got one mining asset in Karnataka. We are in the process of buying land there also. Okay , once the land is completed, then we can enter into western markets also .

Indrajit Agarwal: Sure. Than k you. That is all from my side.

Moderator : Thanks. Next in line is Shravan Shah . Shravan , plea se go ahead with your question.

Shravan Shah: Hi. Thank you for the opportunity. So first is on the pricing front, how much of October prices what we have seen ? So how much till now we have seen the prices getting absorbed ? Moreover, is there a possibility , because in November festivity season, how much more rollback is possible? In addition, if at all happens and by December can we a gain able to take a price hike?

Management : These are very hypothetical qu estions. You will be knowing better than us, because already many earning calls you might have attended. See , the pricing scenario is very dynamic. See , definitely in October there was a significant price increase compared to second quarter . But I cannot quantify but definitely, there was a signifi cant price increase in October.

November as on today, whatever price increase we have done in October that is sustaining. We h ave plans to increase the prices depen ding upon the market situation.

The quantum in different months / different period will be very difficult to say, as you k now the dynamics of the market.

Shravan Shah: Okay. And in terms of the volume , so first half we have done up 33% kind of growth . So how one can look at the second hal f in terms of the volume growth?

Management : We will try to maintain the volume we have done in the first 6 months, we try to repeat in the second 6 month s also.

Shravan Shah: And the wind power that now we are using for our own consumption . So if you can help us in terms of quantifying for this quarter ? So, previously , it used to show as a revenue and now that revenue is not there. That is why maybe the realization is also looking slightly more decline and we are seeing a saving on the cost . So if you can help us how much saving , because of this change in the shif t from sale to the captive use?

Management : Whatever we were selling to the grid and group captive that is converted into captive consumption now . So whatever we are going to consume , definitely we can take around Rs .1.50 saving per unit . It depends upon the coal prices . Alternative was thermal power plant. If the coal prices were ve

ry high, like example last year, first quarter, second quarter where the coal price were some $200 , then saving will be much higher.

So now, the coal price has come down significantly. So to that extent benefit may not be that much. Again , advantages: n umber one , towards cost reduction ; number two, without making any further investment our green power will grow. See, that is the p urpose for which we converted from sale of power to the grid into the captive.

Shravan Shah: Okay. Got it. W hy our AFR share, if we look at 1H versus 1H has now reduced to 7%, which used to be 13 %, 14%. So is there any issue in terms of the sourcing the AFR cost?

Management : With the coal price of $200, the AFR look ed attractive. When the coal price comes down , AFR price has not come down. Hence, we do not have significant advantage in AFR .

Shravan Shah: Okay . Got it , thank you, sir.

Moderator : Thank yo u. Next is Satyadeep Jain.

Satyadeep Jain: Hi, sir . A few que stions, just on the follow -up on the land acquisition . I believe, in Kurnool, you already had sizable land acqui sition . The new acquisition you have done, most of it would be Karnataka, I imagin e.

Management : No doubt, w e have sizable reserves. The mining leases is also valid up to 2050, in respect of prism lands. Therefore, that is the attractive ness of this buying this land.

Satyadeep Jain: So you are saying most of the new acquisition is K urnool, additional acquisition.

Management : Yeah, you are right.

Satyadeep Jain: Okay. On Kurnool, g iven you are hitting capacity constraints soon , and as you mentioned, you r board may look at expansion. If I understand correctly, putting up new kiln at least take another , whenever you make that announcement 24 months, would that be the same timeline we look at K urnool for the next line ?

Management : It may not take that much time , because alread y most of the infrastructure was created . What is needed is on ly equipments rather than infrastructure like silos for the clinker; silos for the cement and many of the limestone storage shed have been

already created for the second line . See that is the reason, our capital cost for the f irst line were also elevated . Therefore, it will not take that much time.

Satyadeep Jain: So I believ e if you mentioned $40 per ton C apEx. So can we assume similar CapEx and possibly commissioning as soon as 1-year from the board announcement?

Management : Yeah, 12 to 15 months is pos sible , because we have to go through environmental clearances also. Nevertheless, 12 to 15 months is definitely possible.

Satyadeep Jain: Just one last quic k question on the volume growth, exceptionally strong volume growth. You historically had mentioned 25% mix in east and 75 %. Is that similar mix and are you given the volume growth you are taking significant market share ? Is that m arket share also largely on non -trade? Any additional insights on just the volume mix and product mix and all ?

Management : In fact, volume growth in south is little higher than east this time , it's not 75 %-25%, it is around in the range of 80%-20%. We see there is no big difference between trade and non -trade in terms of realisation . Wherever we have good realization , we will be selling in that segment . We have many a times reiterated , since we are making very special products , certain projects prefer our cement. That is the reason we have very good growth in volume. We continue to focus us on the right cement for right applica tion. Since these are all application based cement that we are manufacturing for certain applications, certain projects definitely prefer our cement , there we have strong growth .

Satyadeep Jain: Thank you so much.

Moderator : Thanks. Raghav Maheshw

ari is next in queue. Raghav, g o ahead , please.

Raghav Maheshwari: Sir, firstly , congratulations on good set of a volume growth. I think your right application of right product is right now working very well for you . Sir, my question is from you at the end of FY 25 our cement capacity will be around 24 million ton and clinker around 14.23 million ton . Is it the understanding correct ?

Management : You are right.

Raghav Maheshwari: What is our current CC ratio is right now ?

Management : See, the CC ratio is around 1.3.

Raghav Maheshwari: Sir, t hen it will we should , now will go for – if I map our cement and the clinker capacity , then it's showing some at a higher side 1.7 around according to the capacity wise, which is under co nstruction also. So in the near -term what we have to – how we should look we are going for a more clinker expansion or there is some more scope in this? Because you are primarily in the southern market key player. So improve ment of the CC ratio is also possible ?

Management : CC ratio definitel y improvement is possible. We are also debottlenecking kilns almost in all the plants . That will also increase our clinker capacity by a million ton . The only thing it may take some little longer stoppages. Now, we are not able to stop the kiln. That is the reason, we are not taking that. Hence, whenever possible , with 15 to 20 day stoppages, definitely we can explore the possibility of increasing capacity of clinker by another 0.7 to 1 million ton .

Raghav Maheshwari: Sir, from our existing clinker capacit y, what is the best-case scenario you can see for a cement? How much we can make fr om the current clinker capacity

Management : Yeah, 22 to 23 mi llion ton depending upon my OPC blended cement ratio .

Raghav Maheshwari: Okay , sir. One question from the righ t product and the right application. Basically, all the right products for the right application are primarily the b lended base or it is an OPC base, also just wanted to know?

Management : Both.

Raghav Maheshwari: And which segment is growing very faster in the premium produ ct, OPC based or the PPC based?

Management : Both are growing.

Raghav Maheshwari: Got it.

Management : See, for example, in blended cement, our Ramco Supercrete that is the cement suitable for concrete for individual houses is growing well. OPC for certain infr a projects are growing .

Raghav Maheshwari: Got it. Sir, what is your first preference? Is it Kurnool line-2 or the new expansion in Karnataka .

Management : Kurnool second line. Because, this can be done v ery fast. Also very, very less cost with around 40$ to $50.

Raghav Maheshwari: Got it, sir. Last question from the eastern market side. The premium products in the southern market , which you are gaining continuously the market share. Can you highlight someone to the eastern mark et also? How the eastern market responding for the premium products ?

Management : In the eastern market also, for certain infrastructure projec ts, we are the exclusive suppliers.

Raghav Maheshwari: Okay. Got it, sir. Okay, sir. Thank you from my side .

Moderator : Thanks, Raghav. We have a fo llow-up from Amit Murarka . Amit, go ahead , please.

Amit Murarka: Yeah. Hi. Just a question on power and fuel. I see that in rupees Kcal, the fuel cost has dropped , I think , 12%, 13% QoQ . But the power and fuel cost num ber seems to have dropped by almost like 24 %, 25% Q oQ. So could you just help bridge that gap in the two ?

Management : WHRS full benefit we got this year . Also, wind power , we got a full benefit from June, not for the full year. Power per Kcal is different from what I con sumed also now, you cannot directly correlate both.

Amit Murarka: No. My only purpos e of asking is should I

take this, rupees per ton , power and fuel as a run rate now . Or like should I adjust for some …

Management : Yeah, second quarter cost you can take for the third quarter also. I am telling you cost per Kcal.

Amit Murarka: Okay. I believe in the second half the wind power is not available . So to that extent like Rs.50, Rs.60 per ton cost will go up, right?

Management : But we will get full benefit from WHRS since c ertain WHRS are commissioned only in part of the year .

Amit Murarka: Sure. Just one question on Kurnool expansion. Like you said, $40 - $50 per ton

Capex cost. So that would only be equipment cost, right? There would still be some EPC cost, some contractor cost, some civil cost beyond that as well , right?

Management : Most of the civil cost is already incurred. For example, what is needed? Silos. Clinker s ilo we have for 1,50,000 tons. In other plants , we have 30,000 tons to 40,000 tons. There is no need for clinker silos, cement silos , investment in packers and inv estment in stacker reclaimer for raw materials for second line . See, most of the investment h as been already made .

Amit Murarka: But waste heat you will have to put up, right? That will still be an extra cost.

Management : Yeah. You are right. Waste heat recovery will be additional one

Amit Murarka: Okay. Also, just a thought which I wanted to check with you . Like w e understand that Tamil Nadu has low limestone r eserves, and the auctions are being delayed perpetually. So is there some like plan B , which you are trying to do over here by acquiring land in AP , Telangana , setting up more capacities there ? So at least you can feed the market from that belt in case these auctions continue to get delayed.

Management : We have enough limestone reserves in Jayanthipuram as well as in Kurnool.

Amit Murarka: Yeah, but that is less than 10 years , right?

Management : No, we have enough reserves with expiry more than 10 years .

Amit Murarka: Not Kurnool, sorry, I meant Tamil Nadu.

Management : We have already enough land s available. Mining reserves are available in both Jayanthipuram plant as well as in Kurnool plant. I can expand more there and send clinker here or limestone here .

Amit Murarka: So that is a plan B , then basically in case the TN reserve issue gets delayed for this .

Management : That is only thing possible now.

Amit Murarka: Got it. Thanks a lot.

Moderator : Thank you. Next is a follow -up again from Shravan Shah . Shravan, go ahead.

Shravan Shah: Yeah. Thank you. S ir, first is finance cost and depreciation, definitely, we mentioned the region just trying to understand this quarterly run rate. What we have reported both the depreciation and finance cost . Will it r emain or likely to even inch up further in third and fourth quarter ?

Management : Quarterly another 10 crores increase is possible for interest and depreciation.

Shravan Shah: Yeah. What is the depreciation projection for the full year?

Management : Depr eciation projection for the full year FY24 year is Rs.6 40 crores.

Shravan Shah: Okay. I am just trying to understand when we are saying that our preference is the Kurnool second line , and if the Tamil Nadu limestone does not work and the plan B is there . So the land acquisition that we have done from the Prism . So there , definitely , then we will be looking to add our clinker line there .

Management : As I told, it is a plan B.

Shravan Shah: Okay. Got it. Thank you, sir. I am done . Thank you.

Moderator : Hello. So the next question is from Pathanjali Srinivasan. Please go ahead.

Pathanjali Srinivasan: Hello. Am I audible, sir?

Management : Yeah,

you are audible.

Pathanjali Srinivasan: Yeah. So f irstly on the CapEx . I would like to know what your Cap Ex numb er will be for FY24 and FY25.

Management : It will be around Rs.1600 c rores.

Pathanjali Srinivasan: Okay, for the next year , sir?

Management : See, for the existing projects whatever I have planned, it would be around Rs.200 crores to Rs.250 crores.

Path anjali Srinivasan: Okay. Got it, sir. One more thing, with respect to regions like between east and south, what is the expansion based decision that we are trying to take? Because right now from a capacity mix we are strongly aligned towards south. But , I think , from a volume sales mix we might still have better volume in east. So are we trying to enter east by adding another plant or grinding unit in that region?

Management : In east, t he integrated plant is not possible , because no limestone reserve is av ailable . Already in Vizag, we have two lines. In Orissa, we are putting up second line . And in Calcutta already we have two lines. Therefore, we can grind around 4 million tons in both Ori ssa and Bengal units. The market mix ratio will be around 70 -30. You can take around 70% will be south and 30% will be east in terms of the capacity . However, actual sales in east may be around 25% . But the capacity will be around 70%-30%.

Pathanjali Srinivasan: Okay. Got it , sir. Just one last question. This trade -off b etween volume and pricing. So, I think , for us we were a little bit more of volume focused in this quarter . So how do we take these decisions and what is the reason behind this?

Management : So these are very dynamic thing based on market -based factors , which I cannot tell you. It depends upon dynamics of the demand and supply . How my co -producers behave? I cannot tell you that this is going to be my particular strategy. Nobody can say that . No individual company can say that t his is going to be the strateg y.

Pathanjali Srinivasan: So that part is fair, sir. But the concern is, spend capacity is getting coming in a very lumpy way. We are not too sure as to how sustainable the capacity addition is going to be for companies at a ROC E level .

Management : It depends upon the cash flows. If cash flow is strong, then you will concentrate on creation of the capacity. If the cash flows are not strong, then I have to align with my cash flow to create the capacity .

Pathanjali Srinivasan: Okay, sir. Just last question . There is no realization from sale o f power in this quarter, right?

Management : Some Rs.3 crores , Rs.4 crores. Not big.

Pathanjali Srinivasan: Okay. But substantially our net sales are realization from cement.

Management : Yes. Because t he power from windmill is convert ed into captive use from June 1. Therefore, the sale between April to May was the only small quantity that was sold to the grid.

Pathanjali Srinivasan: Okay. Thank you, sir .

Moderator : Thank you. We have a next question from Mr. Ragh av M aheshwari. Please go ahead.

Raghav Maheshwari: Sir, my question is right now; our green mix power is 38%. What you are indicating that we are also looking for adding WHRS for our Tamil Nadu based plant ? So if we get succeed into the set up a t Tamil Nadu b ased plants on WH RS, then what should be the target for the green power?

Management : We are on 38%. See , given today's capacity of WHRS and wind power, we are projecting to go up to 40% in 2024 and 45% in 2025.

Raghav Maheshwari: Okay.

Management : We are planning another 14 -megawatt WHRS from Tamil Nadu plants. If crystallizes, this will increase our green power to around 50% to 52% .

Raghav Maheshwari: So basically, FY26 we can assume 52 % is an achievable number for a green power side.

Management : End o

f 2025 is possible .

Raghav Maheshwari: Got it, sir. One question from the expansion plan now we are still on for the grinding unit projects in the South Maharashtra , which we are earlier looking with the Kurnool clinkerization unit. Its plan is still on or now we are not taking Maharashtra option as the first of the choice ?

Management : As of now, we are not taking any action on acquiring any land in Maharashtra.

Raghav Maheshwari: Kurnool clinker is primarily for the southern and t he eastern markets onl y, right?

Management : Yeah, you are right .

Raghav Maheshwari: Do we n eed any cement capacity expansion also , or current cement capacity is sufficient to absorb this clinker ?

Management : No, we will be increasing capacity in Kurnool also. Cement capacity will be increasing before adding the clinker capacity .

Raghav Maheshwari: 1 million ton i s already an under construction in Orissa , right?

Management : Yeah. With that, only I am telling.

Raghav Maheshwari: Okay. After Kurnool , your capacity will be 25 million ton.

Management : Yeah. Cement grinding capacity.

Raghav Maheshwari: Cement grinding capacity. Yes. Got it , sir. Thank you very much, sir.

Moderator : Thank you. We think that we have a follow -up question from Mr . Shravan Shah. Please go ahead.

Shravan Shah: Yeah. Sir, just to clarify. So currently our cement capacity is 22 million ton; 0.9 million ton, Or issa will come. So that will take to 22.9 million ton . And with the Kurnool grinding, whenever we will take – that will take to 25 million tons . So close to 2.5 million ton grinding will be there for Kurnool.

Management : Yeah.

Shravan Shah: Okay. And for the clinker…

Management : So I will tell you another reason . There are certain raw mills are available in our factory , which is not needed no w, because we have put up additional raw mills in different factories . Those raw mills can also be converted into cement with some

investments. For example, in Jayanthipuram, one raw mill today it is stopped , but it is in working condition. And we gone for new line with a bigger raw mill . Like that in different factories also we have raw mills available , which is not being used now. But if this is all in working condition , with some investments like conveying equipments I can convert into cement mill also w ith that only I'm telling I can go up to 25 million tons .

Shravan Shah: Okay. And f or clinker capacity , so correct me if I am wrong , existing is 14.94 , so 15 million ton clink er, so that will become how much, sir? You mentioned some number.

Management : Around 15.5 to 16.

Shravan Shah: Okay. G ot it. Thank you , sir.

Moderator : Thank you. We have a follow -up question with Mr. Raghav Maheshwari. Raghav , please proceed.

Raghav Maheshwari: Sir, one question from the pricing front. Firstly , we saw the price c ollapse particularly in the Tamil Nadu in the month of the March , which again started to raise until some level from the October. I think , in my understanding , I saw this is the first time in decade , where the Tamil Nadu prices are lower compared to the AP or the Telangana based players ? So how will you see the pricing right now and for the future and for this financial year , particularly for the Tamil Nadu and Ke rala markets ?

Management : As of now, it is much better than the second quarter , beginning of t he second quarter . We confident that trend will continue .

Raghav Maheshwari: But Tamil Nadu prices you think should be better compared to AP & Telangana , which was the earlier case ?

Management : Do you mean to say, Tamil Nadu price as of today is lower th an Andhra and Telangana? Is that your understanding?

Raghav Maheshwari: No, no , not today . But 4, 5 months befor

e, this is the situation.

Management : Even , 4, 5 months before also, never it was lower than Andhra and Telangana .

Raghav Maheshwari: Okay, s ir.

Management : Tamil Nadu prices were never been lower than Andhra and Telangana. At least my brand and leading brands.

Raghav Maheshwari: Right, sir. Got it , sir. Thank you, sir.

Moderator : We have a next question from Mr. Amit Murarka . Please go ah ead.

Amit Murarka: Yeah. Hi, thanks for the follow -up. So just wanted to get some update on the Karnataka also , I believe you already had some limestone and then you are acquiring land as well. So if Kurnool is going to the priority, then should we then e xpect like Karnataka project t o be taken up only like post FY 26?

Management : Yeah, 2025 -2026, we may start. Yeah, you are right. Because we have to acquire the land first . The process for acquiring land, then we have to go for clearances. So definitely, it would take minimum 2 to 3 years.

Amit Murarka: Got it . I am sorry; I did not get it properly. You said that your green energy could go from 45% to 5 2% based on which new projects y ou said ?

Management : WHRS in RR Nagar and other Tamil Nadu plants.

Amit Murarka: Okay. You plan to set up new WHR S. How much wil l be the capacity for that?

Management : It will be around 15 -megawatt.

Amit Murarka: Sure. So after that like you will be maxed out on our waste heat potential , right.

Management : Whenever we put up Kurnool second line , additional WHR S is possible .

Amit Murarka: Yeah, I mean on existing capacities, basically.

Management : Yeah, existing capacity , this is maximum.

Amit Murarka: Right. And just one question on your CC ratio. You sell like 20% of yo ur volumes in east, whi ch is generally seen like a 1.9 x, 2x CC ratio market . So why is it so that even with that you r CC ratio and an overall basis is like 1.3x or lower ?

Management : When we go for premium products, blending ratio comes down.

Amit Murark a: Okay. And is it also because like you are selling like a large part of your mix is still OPC in East India? Is it also because of that?

Management : You are right. Around 40% to 50% is OPC.

Amit Murarka: Sure. So do you plan to kind of – actually for m e, if I think of it's quite an easy low hanging fruit for you that if you can just sell more blended cement in east, which is anyway the market which sees that kind of a mix . So then in that …

Management : Not necessarily , Amit, i t depends upon price. But t here are certain specific projects, like defen ce projects, they want our cement and it is only OPC . So nothing wrong in selling OPC , it depends upon price. See , okay, the blended cement, albeit does not mean that your realization or your contribution going to be better , not necessary. Sometimes if you give some special type of OPC, then your realization can be much better than blended cement also, even after CC.

Amit Murarka: Okay. Sure. Thanks for that.

Moderator : Thank you. We have our next question fro m Mr . Rajesh Ravi. Please go ahead.

Rajesh Ravi: Yeah. I say congrats on good set of numbers. Very strong volume growth . Maybe you guided the second half also; you could replicate this volume growth of 1H. Just on the Cap Ex front , if I missed it earlier, what is the total CapEx guidance for this financial year and next year one? Second , for the Kurnool project , you mentioned the incremental capacity addition would be around 1 million -ton clinker and 2 odd million ton grinding ?

Management : The clin ker will be around 2.5 million.

Rajesh Ravi: Okay. And g rinding would be how much, sir?

Management : Pardon?

Rajesh Ravi: 2.5 is clinker , you are right ?

Management : 2.5 is a clinker.

Rajesh Ravi: And what will be the tot

al cost for this project?

Management : I told you it would be around $40 to $50 .

Rajesh Ravi: No. In absolute value , what will be the total cost?

Management : See, without WHRS, it will be around Rs.700 crores to Rs.750 crores.

Rajesh Ravi: Okay. Including all mining land and all , everything i s 750 crores .

Management : Already mining land is purchased .

Rajesh Ravi: So that is over and above this Rs.750 crores.

Management : Yeah.

Rajesh Ravi: Okay. And this total CapEx for this financial year and next year, sir?

Management : Yeah, total CapEx for this year will be around Rs.1,600 crores to Rs.1, 650 crores. Next year will be around Rs.200 crores to Rs.250 crores considering only the ongoing projects .

Rajesh Ravi: Okay.

Management : Whatever projects to be approv ed by board subsequently , that wi ll be extra.

Rajesh Ravi: Okay. This inc ludes your normal maintenance C apEx or these are only for the …

Management : Normal maintenance CapEx would be another Rs.100 crores to Rs.200 crores.

Rajesh Ravi: Okay. So around Rs.1,800 odd crores would be total CapEx for this financial.

Management : No. This year including normal CapEx will be Rs.1,600 crores. Next year , I am telling.

Rajesh Ravi: Okay . So Rs.1,600 crores this year and next year Rs.250 crore plus maintenance CapEx , and additional whatever may co me up.

Management : Yeah. It does not include whatever WHRS proposed for TN Plants and it is projected only for the ongoing project s.

Rajesh Ravi: Great , sir. Thank you. All the best.

Management : Thank you.

Harsh Mittal: Sir, I have a question. So, this is Harsh. I have a question , sir. How are we seeing the demand scenario panning up in the election bound states in AP and Telangana, sir?

Management : Demand is good. All market demand is good.

Harsh Mittal: Are we not seeing any obstacles and demand slo wdown due to the election? There is no such thing.

Management : My study, I will tell you. See now the demand is mostly fuelled by infrastructure projects , which just started. So the government is not afford to stop these infrastructure projects , because , okay , once these projects are delayed or stopped then there'll be huge NPA in the banking system and whatever problem we had in 2014 will be multiplied 3 or 4 times. That is my assessment.

So whatever the demand from the infrastructure project definitely will sustain for at least 2 to 3 years minimum . So take , for example , Tamil Nadu, take Chennai, now we have seen first phase of metro, now for second phase , they want to stretch it for

200 kilometres . Similarly, they want to go for metro in Madurai , Trichy , and Coimbatore . This is just the picture of TN alone.

Like that , different cities want to have a metro . Once such things started , you cannot stop it . Then, overall cost will be huge and infrastructure companies are not afford to, even the government is not afford to slow down or stop , because they cannot have another problem like 2014 .

Moderator : Right. Th ank you , sir. Therefore, we have next question from Navin Sahadeo. Sir, please go ahead.

Navin Sahadeo: Right. T hank you for the opportunity. S ir, just a clarification you mentioned volumes in the second half will be good as the first half , so did yo u mention the growth rate of 30%, 35% year -on-year or absolute volume?

Management : Whatever, first 6 months volume will be repeated. Second six months, a little bit more also we can do. Normally, fourth quarter will be very good.

Navin Sahadeo: Exactly . Therefore, that clarification is helpful . Second , sir, my next question is around the incentives , any reason why we

do not have incentives ?. Because other states typically in east , a lot of these companies claim incentives in Orissa and other states , I know West Bengal is a little difficult to get . But, Orissa, I thought does offer incentive. I mean I saw in your presentation that we do not have any incentiv es.

Management : See, Orissa, we have put up the plant after the cut-off date. They have given a cut-off date and whatever plan t put up before that date only are eligible for incentives.

Navin Sahadeo: Understood.

Management : In Orissa and Bengal, as I already told, we submitted application; even they have not taken up our application. In south, we are so called very developed states , so incentives are not available to us.

Navin Sahadeo: Understood . Just one last question and sorry if it is a repeat, bu t what will be the absolute peak net d ebt-to-EBITDA, within which we will want to do our Cap Ex program? I understand , you mentioned in your initial comments that board may approve Line-2 at Kurnool very soon. Also, understand that limestone, which we acqui red it, comes , then very handy for the sam e. But in terms of the net debt -to-EBITDA framework, what will be the absolute peak? Is it 3x? Is it 2.5x? How should when I look at it?

Management : Ideally , it will be 2x. That is how I want to work.

Navin Sahad eo: Okay. Understood . That's really helpful. Thank you so much.

Moderator : Thank you. We have our next question from Mr . Prateek Maheshwari . Prat eek, go ahead.

Prateek Maheshwari: Thank you, sir . Thank you for the opportunity. Sir, I have one question re lating to your east operations. So, just wanted to understand, sir, over the last 2 years, how's the presence in the other markets, apart from your South West Bengal, like for the Jharkhand, Bihar and North Bengal, which was planned to kind of you will expand your presence . So how has that shaped out like has the share of your volumes in east has increased in these mark ets and what is happening there?

Another question , sir, just wanted to understand since you are saying that you do not have lot of reserves in other markets apart from the Karnataka . So what is your perspective on inorganic expansions? There are a lot of assets that have come in , but we have rarely seen your participation for these assets. Apart from this just recently bought Prism . So just w anted to understand , sir, yo ur perspective on both aspects.

Management : We have bought land only from Prism is only land and not acquired any plan t.

Prateek Maheshwari: Yeah, c orrect , sir.

Management : I cannot say this inorganic expansion; it is only land with limestone .

Prateek Maheshwari: Correct , sir, that's the reason , sir, like a lot of assets, other assets which have also been bought in by your peers at attractive valuations , but we have not seen your participation while you have a very solid brand to enter any other region as well . So just wanted to u nderstand from these two points.

Management : So at any point of time whenever we internally assess whatever we are seeing, whatever the incremental investment in our own area in both Tamil Nadu versus Andhra Pradesh is going to be much cheaper than whatever available inorganically . Then, organically when you can grow with some $40 or $50 , to pay $120 or $130 for inorganic expansion , which is going rate today in the market does not look attractive . That is the only main reason .

Prateek Maheshwari: But, sir, that would help you improve on the concentration that you have with your south plants, right?

Management : I agree with you. At the same time, whatever the capacity we are able to fill up, we expand it from 12 million to 22 million tons, we are able to grow . I have growth opportunities . What is wrong

in growing in this area? A nother thing I will tell you,
see, 1980s and 1990 s were era of South. The south was growing almost by 14 %, 15%. At the t ime, northern states are growing only in single digit . See, afterwards southern states, we may have political instability , or there's no good leaders in this area. So to that extent , the growt h in south has come down.

But in my view , the glory of south wi ll come , where we will have double -digit growth . Once the double -digit growth comes, then whatever growth possibility by Ramco C ement can be absorbed in the market.

Prateek Maheshwari: Yeah. Got it, sir.

Management : Prateek, See, in about 15 to 20 years from now, you look at only north and south will be producing cement predominantly . Rest of the regions will only consume cement from these two r egions. Central to some extent.

Prateek Maheshwari: Got it, sir. Would you also comment on the part that I asked for the east market, sir? How is that panning out your presence? Are you expanding your presence into Jharkhand, Bihar , basically West Bihar and North Bengal?

Management : Not much.

Prateek Maheshwari: Not much is happening.

Management : See, when we ha ve gone for Bengal , at that time we are doing by ship also . There are certain strategic reasons why we have gone for Bengal as well as Orissa . Southern Orissa is very near to our plant, our Vizag grinding unit. That is the reason we expanded Vizag grinding and we double d our capacity.

In addition , we are largely present in South Orissa and the Coastal Orissa . In addition, Bengal , this is the plant , where they have given us land inside the thermal plant. Where at that time they were promising lot of fly ash available, almost free. These all the reasons we gone for that . At that time , they were promising me unlimited availability of the fly ash .

Prateek Maheshwari: Okay, sir. Got it. Thank yo u, sir. Those are my questions.

 Moderator : Thank y ou. We have a fo llow-up question from Mr. Rajesh Ravi. Rajesh, please go ahead.

Rajesh Ravi: Yeah, Sorry, sir, missed again on this volume commentary . What you answer to an earlier participant. So first up you grew almost 30% plus. So what is the outlook for the full yea r you are looking at, sir ?

Management : We will be doing around 18 million tons minimum.

Rajesh Ravi: Okay , sir. So 20% volume growth , what you ar e looking at for the full year?

Management : Yeah, 18 plus.

Rajesh Ravi: Okay sir, this wind, are we booking any sales revenue now or it is totally getting consumed captive ?

Management : I told you , 100% captive from June .

Rajesh Ravi: Now it is 100% ca ptive from June quarter itself.

Management : June 1st.

Rajesh Ravi: Okay. 1st June.

Management : But g enerati on will be peak only this quarter. Third quarter will be very weak. Fourth quarter , there will be some generation .

Rajesh Ravi: Okay, understood. Yes, generation generally peaks out in September quarter.

Management : When I told you this quarter , the seco nd quarter.

Rajesh Ravi: Yes. Great , sir. That is all from mine. Thank you.

Moderator : Thank you. As there are no further questions, I hand over the call to the Ramco Cement management for their closing comments . Over to you, sir.

M.F.Farooqui : Yeah, I think we had a wonderful interaction , and I must thank all of you for your active participation and all the queries, which you have raised. I think we believe in transparency, and we hope that we would have answered all your queries to the best of your sat isfaction . Therefore, we would now like to close this meeting, and I would once again like to thank all of you an d wish you all a very happy Diwali . Thank you.

Moderator : Thank you, sir. On behalf of ICICI Securities Limited, we thank you for jo

ining us
on this call . Thank you and H appy Diwali . Thank you.

Disclaimer

Call: Feb 2024

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THE RAMCO CEMENTS LIMITED

16 February 2024

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra- Kurla Complex,
Bandra (E), Mumbai – 400 051.
Symbol : RAMCOCEM
BSE Limited,
Floor 25, “P.J.Towers”,
Dalal Street,
Mumbai – 400 001.
Scrip Code: 500260

Dear Sir,

Sub: Transcript of the Audio Recording of Q3FY2024 Earnings Conference Call

Ref: Disclosure under Clause 15(b) of Para A, Part A of Schedule III, read with Regulation 30 of SEBI (LODR) Regulations, 2015.

In co ntinuation of our letter dated 9th February 2024 , providing you the weblink of the Audio Recording of Q3FY2024 Earnings Conference Call , held on 09.02.2024, organised by B & K Securities, we attach the transcript of the conference call and the same is also made available at –

https://ramcocements.in/cms/uploads/Earnings_call_transcript_for_Q3_FY_24_d6752f9fc0.pdf

Thanking you,

Yours faithfully,
For THE RAMCO CEMENTS LIMITED,

K.SELVANAYAGAM
SECRETARY

“Ramco Cements Limited
Q3FY202 4 Earnings Conference Call”

February 09, 2024

ANALYST : MR. AMIT SRIVASTAVA – BATLI VALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

MANAGEMENT : MR. M F FAROOQUI – CHAIRMAN - RAMCO CEMENTS
LIMITED
MR. A. V. DHARMAKRISHNAN – CHIEF EXECUTIVE
OFFICER - RAMCO CEMENTS LIMITED
MR. S. VAITHIYANATHAN - CHIEF FINANCIAL OFFICER
- RAMCO CEMENTS LIMITED
 Moderator: Ladies and gentlemen, good day and welcome to Ramco Cements ' Q3 FY2024 Earnings Conference Call hosted by Batli vala & Karani Securities India Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conf erence call please signal an operator by pressing "*" then " 0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Srivastava from B&K Securities India Private Limited . Thank you and over to you Sir!
Amit Srivastava : Thank you Manav. Good afternoon everyone. On behalf of B&K Securities, welcome you all to the Q3 FY2024 Earnings Conference Call of the Ramco Cements. We would like to thank the management for giving us the opportunity to host t he call. We have with us from the management Mr. M F Farooqui , Chairman, Mr. A. V. Dharmakrishnan, CEO; and Mr. S. Vaithiyanathan, CFO . We w ill start the call with the opening remarks from the Chairman, Mr . M F Farooqui which will be followed by the Q&A. O ver to you Sir !
M F Farooqui : Thank you very much. A very good afternoon to all of you. On behalf of Ramco Cements, I very warmly welcome you all to the earnings call of the Ramco Cement s to discuss the unaudited results for third quarter for the year 2023 -24. We

hope you would have seen our results and updates by this time .
The cement demand was affe cted due to heavy rain in Tamil N adu and Andhra Pradesh due to cyclone in December 2023. The cement prices have been under pressure during this quarter. The key highlights of our performance for the current quarter is sale of cement has improved by 10%, the share of premium products have improved to 27% from 26% in the corresponding period. The cement utilization rate for the current quarter is 74% as against 70% in the corresponding period. Net revenue for the current quarter has grown by 5% ; EBITDA for the current quarter is Rs.402 Crores as against Rs.294 Crores in the corresponding period. EBITDA margin for the current quarter is 19% as against 15% in the corresponding period. Blended EBITDA per ton for the current quarter is Rs. 1007 as against Rs. 808 in the corresponding period with a growth of 25%.
Coming to fuel prices , the current spot CIF price of pet coke is $118 to $120 and the pet coke prices are key to w atch. Our pet coke consumption for the current quarter stands at 51% for the current quarter . The reduction in fuel prices and change in utility of sale of wind power to captive use has helped us to reduce the overall power cost . During the
 quarter, the com pany had increased the clinker capacity by 0.65 MTPA at Kolimigundla and 0.35 MTPA at Ariyalur through pyro process optimization. With this, the installed capacity of clinker stands at 16 MTPA. Our in-house team had carried out the de-bottlenecking activitie s that included design, engineering and execution. The company has identified the opportunities for debottlenecking of cement capacity aggregating to one MTPA. The company prop oses to establish a WHRS of 10 MW capacity at its RR Nagar plant at a cost of Rs .153 Crores, which is to be commissioned by March 2025. The company is in the process of getting necessar y statutory permissions. W ith establishment of WHRS at RR Nagar, the aggregate in stalled capacity of the company' s WHRS would increase from 43 MW to 53 MW by FY2025.
The company proposes to double the clinker cap acity in Kolimigundla to 6.30 MTPA and double the cement capacity to 3 MTPA with 15 MW of WHRS at an estimated project cost

of Rs.1 ,250 Crores. This expansion is scheduled to be commission ed in FY2026 . Consequently, the aggregate installed capacity of the company would reach 19 MTPA for clinker and 26 MTPA for cement. The aggregate WHRS capacity would further increase to 68 MW by FY2026. In Kolimigundla TPP of 18 MW will be commissioned in March 2024 and railway siding will be commissioned in June 2024. The capacity of dry mix products in AP and O disha will be commissioned during March 2024. Expansion of grinding plant from 0.9 MTPA to 1.8 MTPA in Od isha will be commissioned in March 2024 .
During Q3 FY2024, the company has incurred Rs. 385 Crores towards ongoing capex, earlier we had guided Rs.900 Crores for FY2024 which was subsequently revised to Rs.1,600 Crores consequent to the acquisition of mining lands from Prism Cement among other cape x. Now, the guidance is further revised to Rs.2 ,000 Crores for FY2024 given the capex incurred for de -bottlenecking and increased momentum of land acquisition for Bommanahalli project. The capex guidance for FY2025 will be Rs.1 ,700 Crores which will be funded predominantly through internal accruals.
The net debt is as on December 31, 2023, is Rs.4,993 Crores including working capital borrowings and the net debt to EBITDA is at 3.22 times . The average cost of debt for the nine months FY2024 is at Rs.7.82% as ag ainst 6.16% in nine months of FY2023 due to increase in the market rates. With the se opening remarks, I hand over to my other colleagues to take you further on the details of the current quarter’s performance. Thank you very m

uch !

 Management : Hello everyone . This is Vaithiyanathan here. I would like to give a brief on borrowings for the benefit of all. Our peak borrowing was around Rs.3 ,000 Crores in the year FY 14. At the time, our capacity was 12 MTPA . Our sale was 9 million ton per annum . Our ave rage EBITDA for the five years period that is from FY10 to FY14 was Rs.840 Crores. Our average net debt to EBITDA was 3.5 times for said five-year period. From FY 19 to FY24 we started spending capex for the capacity additions. We have spent so far about Rs.9 ,800 Crores towards that. Now our Cement capacity is 22 million ton an increase of about 83% from the level of 2014. Our annual sale volume now is to reach 17 million ton an increase of 88% from the year 2014. Our average EBITDA for five-year period that is FY 20 to FY24 is Rs.1 ,400 Crores. Our a verage net debt to EBITDA is still 3.5 times only, which has not, increased. To increase the capacity from 12 million ton to 22 million ton we have spent about Rs.9 ,800 Crores so far , out of which Rs.7,800 Crores were from free cash flow from operati ons for the said period whereas our borrowings have increased only by Rs.2 ,000 Crores since 2013 -14. This I would like to bring to your notice of all. Over to question and answers please.
Moderator : Thank you very much. We will now begin the question an d answer session. We have our first question from the line of Parth Bhavsar from Investec. Please go ahead.
Parth Bhavsar: I have two questions. Considering the capex that you announced in Kurnool taking that into consideration what would be a peak net deb t going ahead?
Management : The peak debt will continue to remain same because we have planned to meet the capex through internal accruals predominantly.
Parth Bhavsar: So it would be Rs.5 ,000 Crores?
Management : Yes.
Parth Bhavsar: Okay.
Management : Because we expect free cash flow of around Rs.1 ,700 Crores in th e FY25.
Parth Bhavsar: The other thing is on volumes, what is your volume guidance for Q4 and FY2025?
Management : Q4 will be around 5 million ton, so 17.5 million ton for the full year.
Parth Bhavsar: How much?

 Management : 17.5 million ton for the full year and 5 million ton for Q4.
Parth Bhavsar: FY2025?
Management : For FY25, it will be around 19 to 20 milli on ton.
Parth Bhavsar: I guess our Kcal cost has declined to 1.64 so how do we see that going ahead in Q4?
Management : Q4, it will remain same or may come down marginally , so for all practical purposes you can assume the same cost per ton.
Parth Bhavsar: There would not be any benefit coming from PLF 25% ? Would that increase not going ahead ?
Management : The wind power PLF of 25% is the normal , so that will not increase . So, the 25% PLF is only for wind power capacity .
Parth Bhavsar: So this would not increase going ahead ?

Management : That remains the same because the wind pattern for over a long period of time the average PLF is coming only at 25%.
Parth Bhavsar: Thank you. Those are my questions. Thank you for answering.
Moderator : Thank you. We have a next question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah : Thank you, sir. Again coming back on the capex front I listen to your opening re marks that you mentioned about the historical numbers I just wa nted to add my numbers to that, s o in last seven years from FY 19 to FY 25 if I look at the capex we spend 12 ,173 odd Crores and the capacity that we will be adding by FY2025 would be 7.2 mill ion ton so that is close to 1,700 Crores per year and 1 ,700 Crores per million ton and this will be the third year where we are increasing our capex guidance, s o if you can help us in terms of why this is happening so in FY2022 -2023 and this 2024 and what gi ves us

the confidence that for
whatever the capex we have said for FY2025 also will not further increase ?
Management : See the increase in capex for the current year is mainly due to the addition of mining land and we also started buying lands for the Bommanahalli project.
 Shravan Shah : Sir my point was that the kind of capex we are doing per year or per million ton is one of the highest in the entire industry and I understand the pricing and the volume is not in our control it is the mark et driven, but in terms of the cost efficiencies if somebody has to look at that if we are spending so m uch then our efficiency or the o pex per ton should be much, much lower, which is not the case if we look at the historical numbers our cost have rather increase d definitely because of the power and fuel cost that is the case, but despite that also it is not reflect ed, s o just trying to understand why we are doing a such a high capex and compare d to the state s, so in terms of the per ton if you look at is a $200 per ton versus all other players are putting at $70 to $80 per ton, s o at least it should result in a better efficiency and our profitability has to be a muc h better which is not the case, s o that is the point I just wanted to put forward ?
Managemen t: No, whether $200 or $70 you have to see what are the facilities that are created at day number one. See in earlier cases if you see our capacity is much lower because the railway siding, the colony as well as the wast e heat recoveries, thermal plants, all these things a re added over a period of time. Whereas for Kurnool plant , all the facilities a re created da y number one. T hat is why the initial capex seems to be high compared to others . Normally the companies will add all these capacities over a period of time and not the day number one. Now the trend is for green energy. unless I invest that I cannot be competi tive so you should understand that, that is why even though for first phase we spend over 3 ,000 Crores , for the same capacity second phase is goi ng to be only 1 ,250 Crores because already all the infrastructures we have created. Most of the benefits we can see in the coming years
Shravan Shah : Got it Sir. Thank you . All the best.
Moderator : Thank you Sir. We have our next question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo : Thank you for the opportunity. Sir I would request if y ou can give the breakup of the capex like this year the revision I can understand as you said is for the land that you are buying so 1,600 Crores becomes 2 ,000 Crores, but next year what is the breakup for 1 ,700 Crores because if the capex is 1 ,400 odd Crores 1 ,250 for Kurnool line two which is again spread over two years which is 2025 -2026, so broadly let us say 700 Crores each year then w hat is the extra 1 ,000 Crores that you are budgeting for if you can just help me understand that ? Thank you.
 Management : See next year , the major capex for FY25 include Kurnool second line we have budgeted 750 Crores, land for Bommanahalli we have budgeted for around 200 Crores, maintenance capex 300 Crores, balance left over Kurnool line one project 200 Crores, RR Nagar WHRS 150 Crores.
Navin Sahadeo : Understood that is helpful . So that one important point, which you said, is that the net deb t has peaked out at 5 ,000 Crores is that a commentary that you are firm on that net debt is peaking out at 5 ,000 Crores.
Management : Yes.
Navin Sahadeo : Can I request your comment on this same thing sustaining even if we were to look at Bommanahalli project because there if the land acquisition is at a blazing pace would it also mean that we are looking at that project announcement in the coming one to two quarters or it could be keeping in mind that net d

ebt does not really go beyond this , how is the thought
process on that?
Management : First, we will complete the land acquisition for Bommanahalli , that the announcement with regard to plan t thing we will come after the B oard approval is done. I t will take minimum 18 months and a nnouncement will come at minimum 12 to 18 months.
Navin Sahadeo : So in that case there is fair amount of certainty that net debt will remain in this range and as the company improves on EBITDA net debt to EBITDA will only improve from here on is that a correct understanding ?
Manag ement : See Navin, our plan is to make sure that our free cash flow from operations will be used for capex, so we do not propose to add more borrowings for capex that is the idea that we are carrying on.
Navin apart fr om that , we told you a number of times there are certain non -core assets we want to monetize, see already we identified certain noncore assets, but because of political situation, we do not have the right value. If I get the right value definitely, we can m onetize to the extent of 500 -600 Crores. If necessary, I will use that for my projects, s o with that we are very confident the net debt will not go beyond 5 ,000 Crores.
Navin Sahadeo : Yes, sure and I think the Kurnool line two will also have some more effici ency because of the mines that we are trying to utilize further .

Management : Yes, you are right that is why we are very confident that free cash flow will meet the capex requirements.
Navin Sahadeo : Just one last question. This shift from windmill to capti ve purpose, so are all the benefits captured into the base for the quarter or there is some amount ?
Management : This year three q uarters benefit only we got because we started doing it from July. Next financial year we will get a full benefit.
Navin Sahadeo : I appreciate that, I was only checking because it is seasonal I believe that business is seasonal it is Q2 and Q3 heavy or how should one look at it ?
Management : See any way it is whatever power generated is banked so as and when it is required it is used.
Management : The power generatio n normally is between May 15th and September 15th.
Navin Sahadeo : Fair point so we can expect better performance, but great. Thank you so much for the clarification on capex that will really help. Thank you.
Moderator : Thank yo u Sir. We have our next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka : Good afternoon. Sir just on the question of the peak debt and capex so while I see that your EBITDA is about close to quarterly EBITDA is about 400 Crores so like if I just take analyze of that 1 ,600 Crores plus and out of that you have to pay about 400 Crores in interest about another 100 Crores in dividend and 500 -550 has actually gone, s o we have actually left with like 1 ,000 odd Crores , so how will we manage with same level of debt then are we either expecting prices to go up or like we can think of like big non -core assets is as you said of maybe 400 -500 Crores ?
Management : Of course next year volume will also go up definitely, we would like to increase volume by another 2 to 2.5 million tons of volume.
Amit Murarka : But you do not have capacity to do that. Y our clinker utilization is 90% ?
Management : We have capacity . We can go up to 22 million tons serving capacity so this year we will reach 17.5 another 2 -3 million tons capacity is still available.

Amit Murarka : What is your clinker utilization for nine months clinker volumes production?
Management : Clinker volume production is around 10.5 million.
Amit Murarka : Also, could you quantify the impact due to the flooding in Tamil Nadu how much volume was lost because of that ?
Management : Around 3 lac tons not necessarily only fl

ood alone because there was flood and Diwali holidays, Pooja holidays, see all these things come together coupled with monsoon. See if you take first six months we have done almost 4.5, 4.5 each a nd third quarter we have done 4. So the differ ence is only because the floods, also holidays, monsoon, and the next quarter we are confident that we will do 5 million.
Amit Murar ka: Generally like what we have been hearing is that prices have c orrected very sharply actually so like what is exactly the problem there like now we are in t he peak demand period actually s o any sense you can give on that ?
Management : The pr ices are depe nding upon players. W e are confident that the prices will come back .
Amit Murarka : Sure. I will come back in the queue. Thanks.
Moderator : Thank you Sir. We have our next question from the line of Satyadeep Jain from Ambit

Capital. Please go ahead.
Satyade ep Jain : Thank you. The first question is on the capex. You have outlined the details for FY 25. As we look at FY 26 given you would not have any pending capex from Kurnool one the land acquisition should be more or less be complete so do we see a steep drop in capex in 2026 do you have continued land acquisition and any other pending capex?
Management : We have given guidance for 2025. For 2026 we will discuss later.
Satyadeep Jain : The timeline for completion I think in the previous call you had m entioned that the new line can come in 12 to 15 months we will be looking at now about two years is it may be possible ?
Management : Because we are yet to get environmental clearance , now it will be taking little more time than before given the elections in three months and other practical aspects, we are providing the outer limit now.
 Management : We are also planning to align our capex to our cash generation that is also to keep it in mind if we speed up the capex the borrowing will go up.
Satyadeep Jain : Just lastly, on the volume that you have seen in January have you been able to recoup some of that loss in, how is the trajectory is being so far ?
Management : I told you know we will do 5 million tons then you can understand whether you can recoup or not.
Satyadeep Jain : Thank you so much Sir and wish you all the best.
Moderator : Thank you Sir. We have our next question from the line of Vikram from Vikram Securities . Please go ahead.
Vikram : Good afternoon, gentlemen and congratulations again on a great set o f margins at least.
Management : Thank you. You are the first person to congratulate before asking about capex and borrowings. Thank you very much.
Vikram : I saw some things, which were very nice to me. Sir, all these questions were answered about the volume . Only one thing then is I noticed that you have introduced ESOP program is that a first for the company or is it first for the year ?
Management : We had ESOP program already in place in the earlier years. W e have 12 lakh options reserved and out of that t o my knowledge we have already granted around 7 lakh options.
Vikram : Thank you sir. Thank you very much.
Moderator : Thank you Sir. We have our next question from the line of Hrishikesh Bhagat from Kotak Mutual Funds. Please go ahead.
Hrishikesh Bhagat : Good afternoon. Thank you for this opportunity. Just want management sense was that we ever consider probably pushing back this capex in the sense the sense of urgency I just wanted to understand the sense of urgency because if I take your earlier comment we have reasonable runway to reach 22 million ton volume, if you can help me understand why this so urgency in this capex in the sense that had we done it one year down the line the deal if balance sheet would have been much better so if you can help me unde rstand that will be helpful ? Thank you.
 Management

: No, that is why we are very clear, and we told we are n ot going to complete it in one year, we told we would complete in two years. Now, I have to make an application for environmental clearance. If I had to make application for en vironmental clear ance, Board resolution is necessary. If I pass the Board resolution, I have to intimate to stock exchanges. So unless I pass the Board resolu tion announced today even I canno t compl ete the project in 2 years time. So I am not rushing in fact these things are necessary today because the environment clearances take lo t more time than used to be before. So that is why clearly we told it should be completed by 2 026. So till 2026 we have enough capacity to cater the market needs. So from 2026 onwards we should be ready now so that is why. In fact i t is not that we are rushing in, it is well planned, well organized only.
Hrishikes h Bhagat : No I just feel that probably considering Brownfield , the ges tation period should be shorter ?
Management : Only land purchase is not there but in fact the environment al clearances, the public hearing, all the procedures are same and no less for bro wn field.
Hrishikesh Bhagat : Sure thank you.
Moderator : Thank you Sir. We have our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia : Yes, good afternoon. Thank you Sir. Just few clarifications. With r egards to the timeline we are expecting end of FY20 26 for this expansion completion ?
Management : Yes.
Sumangal Nevatia : In this 1 ,700 Crores capex for next year which you ha ve guided how much of this 1 ,250

Crores will be included in that ?
Management : I have already mentioned that Rs.750 Crores was included for next financial year for Kurnool Line-2.
Sumangal Nevatia : Generally for our asset base, what sort of maintenance capex shoul d we expect on an ongoing basis ?
Management : 200 to 250 Crores per annum.
Sumangal Nevatia : Understood, all right . Thank you. That i s all from my end.
 Management : Last year the maintenance capex also little bit more because we have de-bottlenecked and we created capacity almost 1 million ton, we have proposed to create another 1 million ton also. That is why even capex and Opex whatever mentioning is high.
Sumangal Nevatia : Got it. Thank you.
Moderator : Thank you Sir. We have our next question from the line of Raghav Malik from Jeff eries. Please go ahea d.
Raghav Malik : Thank you for the opportunity Sir. Just wante d some color, if you could be a bit specific on what we are seeing on pricing maybe overall as well as specifically to the So uth and the East, if you could give us some color on that ?
Management : The price s are volatile. So I can not give a proper gu idance on the prices. In fact, we are one of the last to give the concall so whatever guidance given by my colleagues in different companies that will me my guidance; it cannot be different from others.
Moderator : We have our next question from the line of Parth Bhavsar from Invest ec. Please go ahead.
Parth Bhavsar : Thank you for the opportunity. Sir, I did not catch the number that you mentioned on the sales volume lost during the quarter, the potential sales volume was it 3 000 tons ?
Management : Sorry, I could not understand your qu estion.
Parth Bhavsar : You mentioned a number potential v olume lost during Q3 because of cyclone and rain?
Management : First quarter we have done 4. 3, second quarter we have done 4. 6, normally thi rd quarter also we should have done 4.5 t hat was our plan. We could not do that because rains in Chennai also entire Southern districts which is our core market that was under water almost for 15 days, s o that is one of the reason s then general monsoon across our markets , third is number of holidays in East as well as South Pooja holidays and Diwal

i. These things affected our sales, but if you see the corresponding year of last year defini tely we have grown, in spite of rains and holiday s, all these things if you see year -on-year definitely we have grown even though the monsoon was very vigorous, and our core market has affected.
Parth Bhavsar : Second question is on the debottle necking w e have de bottlenecked approxi mately 1 million ton of clinker s o what would be the cost like what have we spent on this?
 Management : It will be difficult to quantify to tell because we have spent it in different factories.
Parth Bhavsar : Correct me if I am wrong, I just pulled this one presentation from Q2 F Y2023 so there we had spelled ou t like our capex plans and that included approximately 250 Crores of towards Bommanahalli land acquisition so when we revised our capex to 1 ,600 did not that include Bommanahalli land acq uisition am I missing something ?
Management : See, sometimes you may have to quickly buy the lands when it is offered . Sometimes if the lands are offered in bulk you have to quickly act and complete the buying, otherwise it may turn to be diffi cult later. See land purchases sometimes even two months, three months we may not be able to buy. Sometimes we may have to accommodate the request of land sellers to meet their urgent financial commitments. Land acquisition is the most difficult job in setting up of a manufacturing unit. So exact guidance it is difficult because we have to buy huge land parcel , so the efforts are continuous and whenever the opportunity comes, we need to act fast to complete the land purchase activity depending upon the situation .
Parth Bhavsar : This 500 Crores of incremental spend that is towards Bommanahalli land acquisition is this over and above your 250 Crores mentioned earlier ?
Management : Sorry, I do not correlate the earlier numbers right now.
Parth Bhavsar : Done Sir. Thank you so much.
Moderator : Thank you Sir. We have o ur next question from the line of Rajesh Ravi from H DFC Securities. Please go ahead.
Rajesh Ravi : This is Rajesh Ravi here from HDFC Securities. Sir my question pertains to your clinker utilization. Clinker utilization you mentioned 10 million ton production which is 9 month s works out to be 90 % utilization and this year you a re targeting around 17.5 ton cement production right full year s o next yea r at what sort of volume number you are looking at, is it 20 million ton s o around 15%-20% volume grow th?
Management : 19 to 20 million ton we have projected.

Rajes h Ravi : So there you would be close to 100% clinker utilization is this understanding correct because for 9 months the blend…
Management : It depends on the blending ratio.
 Rajesh Ravi : Correct, so 9 month it is coming out close to 1.38 so how do you plan to take your blending ratio up?
Management : It depends on the market condition. Debottlenecked capacity is 1 million ton is coming up now which we have completed only now that is available for us.
Rajesh Ravi : So for next two years we will be having the 16 million ton clinker to rely upon ?
Management : See this until 2026 this 19 million ton will be good e nough to meet the market demand.
Rajesh Ravi : This premium cement share ratio came down to 20% in this quarter any specifics ?
Management : Not came down . It is increased.
Rajesh Ravi : I think in the preceding qua rters you have given 28% number June and September quarters ?
Management : Please go through my presentation ev erything I have clearly covered.
Rajesh Ravi : Because I have noted down 28% for June and Septe mber that is why I was surprised maybe I will recheck my numbers.
Management : The premium products have improved to 27% for the third quarter as well as for 9 months .
Rajesh Ravi : Lastly on the b

alance sheet you are comfortable with this net debt to EBITDA for 5,000 Crore s because why I a m looking at see you said in 12 months it will be coming up 12 to 18 months it will be coming up for the Karnataka expansions , so that is I assume somewhere in FY2026 this p roject m ay start s o that year also you may have major capex coming through so this net deb t to EBITDA number may not meaningful ly come down is that understand, you may be comfortable close to 2.5 -3x?
Management : Net debt to EBITDA in percentage terms to co me down but a bsolute borrowing number s will remain same.
Rajesh Ravi : Understood.
Management : Last 50 years not even single day there w as a delay in repayment of loan.
Rajesh Ravi : No, that is for sure right.
 Management : We are fully conscious of our leverag e, so we will maintain, that is why I was telling to you again, and again we have such non-core assets necessary I can monetize that if required .
Rajesh Ravi : What is the potential of those non -core asset monetization Sir, which you are able to do that?
Management : If necessary I can monetize non-core assets like wind power assets by selling upto 74 % stake .
Rajesh Ravi : If you sell out the 74% stake will this not increase your green power costing then ?
Management : I have seen the opportunity cost; suppose I am selling to t he grid I used to get Rs.3. Even otherwise, see the windmill what we are managing before I have thermal plant. Even today 100% of production capacity is backed by thermal plant because at wind power even I have shut down some of my thermal plants. Necessary with wind power also if the coal price comes down see before 2021 -2022 my cost of generation was less than Rs.3 that is why we were selling to the Board and making some profit , now the cost of generation gone up because the coal prices gone up. See these are all opportunities alread y we created enough assets, so I am qualifying if necessary we do not mind monetizing some of the assets, noncore assets.
Rajesh Ravi : Thank you Sir. I will come back i n queue. All the best.
Moderator : Thank you Sir. We have our next question from the line of Aditya Chheda from In Cred Asset Management. Please go ahead.
Aditya Chheda : If I understood correctly, monetization of these non core assets will not be a priority wi ll do it only if you feel the requirement to do so?
Management : You are right.
Aditya Chheda : Got it and next one we ha ve seen a sharp bump in other expenses, s o is there any one -off there or if you c ould highlight what led to this ?
Management : There are no one -off items. If you look at the a bsolute numb ers, it is about 30 Crores for Q3 YoY; for Sequential quarter, it is only Rs.11 Crores. In some quarters, certain expenses will be there, in some qua rters such expenses may not be there. So on a per ton basis if you look
 at because of the lower vol ume in the current quarter it looks little higher whereas if you look at the absolute va lue there may not be big variations.

Aditya Chheda : Got it thank s. That is it from me.
Moderator : Thank you Sir. We have our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah : Yes, thank you for the opportunity again. Sir this 1 million ton debottlenecking so will it be at any one or two plant s specifically or across the plants ?
Management : We have mentioned in the investor update that it is done in two plan ts.
Shravan Shah : No Sir I am not asking about clinker I am saying grinding we said 1 million ton grinding debottlenecking we are looking at , so this will be across t he plan ts or any specific plant ?
Management : The de -bottlenecking opportunities of cement capacity are identified in both grinding and integrate plants as well.
Shravan Shah : In t

he presentation we have said, currently we have a 22 million, Odisha 1 million ton will take up to 23 then 1 million ton will be a debottle necking and then in F Y2026 we have return a 2 million ton, but Kurno ol we have mentioned 1.5 ?
Management : We have rounded it up . I am also saying even with some blending ratio changes , not even 0.5 million, we can also increase it by 1 million.
Shravan Shah : Yes, I got the po int. Sir I just have one clarification you said 3,000 acres you need to buy for Bommanahalli land so total how much we have already spent on that and what would be the likely total cost or how many acres we have already acquired ?
Management : The cost per acre details cannot be given. Please appreciate th at. I can tell you the total number of acres required.
Shravan Shah : Got it and then lastly on the in terms of the prices so currently in January until now February broadly if I have to look at in South and is where we operate how much prices would have de clined versus the average of the third quarter broader range would be a fine ?
Management : The price drop is around Rs.5 to Rs.10 per bag across the market different markets
 Management : What is drop or what has gone up depends upon relative terms see sometimes we have to increase the invoices that method also affect us, that is also called as drop. See that is why I told you it is very difficult to give the guidance for cement prices and even tomorrow, the prices can go up depending upon the demand and supply, depend ing upon different markets. In some markets , prices have gone up; in some markets , it has come down.
Shravan Shah : Got it Sir, thank you, all the best.
Moderator : Thank you, sir. We have our next question from the line of Navin Sahadeo from ICICI Securitie s. Please go ahead.
Navin Sahadeo : Yes, thank you for the follow up. First on the volumes, the mix between South and East has broadly remained same at about 75 :25 and t he overall volume growth is 10%, s o does this imply that we are gaining market share in E ast because that region I think is not showing a positive trend at least for Q3 I think there w as a dip ?
Management : For Q3 the volume growth is 10 % wheras for 9 MFY24 it is 25 %. We have grown in a ll markets except West Bengal . To add that , please do not look at one quarter to see the market share .
Navin Sahadeo : Yes, helpful and just last question, sorry, I did not follow the previous participant ’s question very clearly. My point just to ask was the 16 million ton clinker that we are saying so does it has more scope of de-bottle necking over a period ?
Management : There i s no big scope , but we can try another 0.5 to 1 million at the best .
Navin Sahadeo : That is good enough, great. Thank you. Thank you so much.
Moderator : Thank you. That was the last question f or today and I now hand the conference over to management for the closing remarks. Over to you !
Management : Thank you very much for all the participants for their active participation and we hope that we would have given our reply clearly and transparently. I wish you all the very best. Thank you very much.
Moderator : Thank you! On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us. Y ou may now disconnect your lines .
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